The Liberal Tilt of Financial Regulators*

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Abstract

In contrast to the mandated bipartisanship of the SEC Commissioners, we find a strong liberal tilt among 4,500 SEC agents tasked with implementing financial regulation. Democrats outnumber Republicans four to one and dominate all regional offices. This liberal tilt increases in senior ranks, grows over time, and persists across administrations. It reflects agents' sorting on preferences for public service correlated with partisanship. Political misalignment between enforcement attorneys and defendants is associated with a lower likelihood of case dismissal, greater monetary sanctions, more industry bars, and compulsory governance interventions. Career attorneys represent a significant regulatory force distinct from political appointees.

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Political balance is one of the tenets of financial regulation codified in the Securities Exchange Act. To maintain a partisan balance among financial regulators, the law mandates a bipartisan composition for the leadership of the Securities and Exchange Commission (SEC) and promotes their political alternation. Among the five SEC Commissioners, no more than three may belong to the same party, and "members of different parties shall be appointed alternately as nearly as practicable" (15 U.S. Code §78d).

While this system of built-in partisan balances encompasses the SEC's top leadership, the political composition of the thousands of other SEC bureaucrats responsible for its policy implementation remains largely unregulated and opaque. On the one hand, these unelected bureaucrats could reinforce the political balance among financial regulators because they are shielded from electoral pressures and are more likely to be politically agnostic (Maskin and Tirole, 2004; Alesina and Tabellini, 2007). On the other hand, the personal ideology of these career regulators need not align with the incumbent political leadership, the constituents they serve, or the entities they oversee. This distinction is important because long-standing theories of government bureaucracy offer diverging views on the composition of government agents and their impact on regulatory outcomes.

The top-down view of bureaucracy models civil servants as homogeneous and impartial conduits of regulation; they follow standardized legal directives and impose no personal imprint on outcomes (Weber, 1922). Consistent with this view, the SEC's mission aspires to follow a Weberian bureaucracy in which regulators act as impartial conduits of financial directives (SEC, 2026, p. 1). In contrast, the bottom-up view suggests that civil servants exercise significant discretion by incorporating their own beliefs into regulatory actions. Under this view, career bureaucrats contribute to policy implementation independently of the elected officials (e.g., Lipsky, 1980).

These diverging views highlight the importance of understanding the composition of financial regulators and their role in policy implementation. These issues are especially relevant today, in light of the recent scrutiny of government bureaucrats, their individual output, and their political leanings.

Our paper takes a step toward a better understanding of the hiring pathways, political ideology, and regulatory impact of SEC officials. We construct one of the first datasets on the political ideology and career histories of 4,500 SEC attorneys tasked with policy implementation from 1996 to 2023. This database combines the SEC's payroll records with hand-collected data on the attorneys' academic and professional credentials, employment history, demographics, immigrant status, and home state. To study selection into government careers, we augment these records with individual data on 365,000 attorneys outside the SEC and identify their political affiliations via administrative voter history files and political donations.

We find a strong liberal tilt among SEC attorneys. Democrats outnumber Republicans 4 to 1, and this ratio rises to 4.9 to 1 in recent years. This is a significant partisan skew relative to a variety of benchmarks such as other government sector attorneys in securities regulation, private sector attorneys, and voters with advanced degrees. Democrats outnumber Republicans across all 12 SEC offices, including those in Republican-leaning states such as Texas and Utah. In contrast to the political cycles in the composition of the SEC Commissioners, the Democratic majority among SEC attorneys persists under all presidential administrations from 1996 to 2023. The partisan composition of career bureaucrats remains stable around leadership turnovers, and the average SEC attorney stays at the agency for 12 years, far outliving the typical five-year term of the Commissioners.

In contrast to theories of politically agnostic bureaucrats, SEC attorneys are very politically active. Half of them make political donations, a significant share of them during their SEC tenure, allowing us to infer their ideological beliefs from sponsored candidates. SEC attorneys endorse candidates on the left side of the political spectrum, with the modal donation made to candidates ideologically proximate to Barack Obama. This preference reflects a 0.3σ leftward shift relative to private sector attorneys and a 1.9σ leftward shift relative to CEOs.

Since political activism can reflect both intrinsic beliefs and strategic motives, we exploit partisan flips of the SEC's Chair (largely exogenous for the incumbent bureaucrats) to distinguish between these motives. We find that SEC attorneys hold persistent political affiliations and do not alter them in response to the agency's leadership turnovers. For example, only 2.4% of attorneys switch their registrations between the Republican and Democratic parties (in either direction) at any time from three years before entering the SEC to three years after leaving the agency, and such switches are unrelated to the party of the SEC Chair. As another validation that political donations reflect intrinsic beliefs, we show that the attorneys' donations align with their voting behavior. Using admin records from primaries in Virginia, we find that 83% of Democratic attorneys and 81% of Republican attorneys (based on their donations) cast their votes in the primary elections of the respective party.

Next, we study the mechanism contributing to the SEC's liberal tilt. We hypothesize that selection into the SEC reflects an agent's intrinsic job preferences correlated with partisan views. This hypothesis follows theoretical frameworks predicting that government agencies attract people whose preferences align with public service (Besley and Ghatak, 2005). Relative to Republicans, Democrats express stronger preferences for altruism and societal impact (Pew Research Center, 2017). In contrast, Republicans show stronger preferences for monetary rewards, a small government (Pew Research Center, 2024), and risk taking (Engelberg et al., 2026). Consistent

with these views, 82% of Democrats say that government regulation is necessary to protect the public interest, while 65% of Republicans state that government regulation does more harm than good (Pew Research Center, 2024). If these intrinsic preferences extend to attorneys, they could steer Democrats toward the SEC and Republicans away from the agency, given its lower pay, flatter pay-performance sensitivity, and a core mandate to regulate markets.

Consistent with this hypothesis, Democratic attorneys are 35% more likely to join the SEC than the private sector, compared to their Republican classmates from the same law school class and home state. This effect is robust to controlling for the candidates' gender, race, and immigrant status, as well as their school quality and local origin, captured by school × cohort and home state × cohort fixed effects, respectively.

After joining the SEC, Democrats stay with the agency longer. Among the attorneys at the same office, rank, and starting year, Democrats are 21–27% less likely to exit the SEC than Republicans. Correspondingly, Democrats are significantly more likely to reach the SEC's managerial and executive ranks, which usually require extended agency service. As a result, the liberal tilt intensifies in senior SEC positions.

To test the role of pecuniary preferences in the SEC's liberal tilt, we exploit changes in the pay differential between comparable positions at the SEC and the private sector. The average private sector premium amounts to $261,000 per year for the modal attorney position. We find a partisan contrast in the regulators' responsiveness to outside options. Republicans react more strongly to pecuniary incentives, joining the SEC when the private sector premium is lower and leaving the SEC when this premium expands. In contrast, Democrats are less responsive to the private sector premium and continue to pursue nonprofit jobs after leaving the SEC. In particular, Democrats are 27–35% more likely than Republicans to join nonprofit organizations after leaving the SEC, consistent with a preference for public service. Combined, these findings suggest that partisan selection at the SEC is related to intrinsic preferences, with Democrats less sensitive to financial motives. This evidence is consistent with theoretical predictions that value alignment attenuates the role of financial incentives (Bénabou and Tirole, 2003).

One alternative explanation is that Republican and Democratic SEC attorneys differ in their innate ability, and this gap explains the differences in their entry, exit, and promotion rates. While our tightest specifications compare graduates from the same schools and cohorts, it is possible that Republican attorneys from the same schools have stronger credentials, resulting in more outside options. To test this hypothesis, we hand-collect proxies for within-school variation in academic achievement for a subsample of SEC attorneys using law firm biographies, SEC press releases, and other professional profiles. We find virtually no differences in academic

achievement between Republican and Democratic SEC attorneys from the same cohorts, as proxied by their undergraduate honors, law school honors, or leadership positions with law school journals.

While academic achievement correlates with innate ability, it is possible that Republican and Democratic attorneys differ along some unobservable credentials important for labor market outcomes. To account for this possibility, we exploit a natural experiment that temporarily compresses the pay gap between SEC attorneys and the private sector. This experiment allows us to test for the differential responsiveness to pecuniary motives between Republican and Democratic SEC attorneys, while holding constant their credentials and personal characteristics. In 2001–2002, the SEC uniformly raised the compensation of its attorneys by 36%, with a stated objective to reduce pay disparity with the private sector. The results from this experiment confirm partisan differences in responsiveness to monetary incentives. Before the reform, Republicans are more likely to exit the SEC than Democrats. Shortly after the reform, Republicans' exit rates fall significantly more than Democrats', consistent with the Republicans' greater sensitivity to monetary incentives.

Overall, the liberal tilt at the SEC appears to reflect individual sorting on preferences for public service and pecuniary incentives. Evidence from the compensation reform suggests that paying market wages in the public sector would likely contribute to a more balanced partisan composition of public servants. In contrast, the gradual expansion of the private market pay premium during our sample accentuates the tradeoffs between public service and monetary rewards and is associated with a persistent rise in the liberal tilt.

Next, we study the implications of the SEC's liberal tilt for enforcement outcomes. We hand-collect case-level data from SEC civil actions and related administrative proceedings between 2002 and 2023. For each case, we identify the enforcement attorneys, defendants, alleged violations, and case outcomes. Each enforcement case is handled by career attorneys, who determine the pace and scope of the investigation, classify the severity of misconduct, recommend bars and penalties, and negotiate settlement terms. Since nearly all defendants (89.3%) settle their cases via negotiations, this procedure leaves enforcement attorneys with significant room for discretion.

Our analysis reveals a key role of enforcement attorneys for case outcomes. In a variance decomposition, we find that the supervisory attorney responsible for the enforcement case explains 11–25% of the variation in case outcomes after controlling for case characteristics. This effect is several times greater than the combined contribution of the SEC Chair and regional office fixed effects (3.5–8.5%). This pattern points to a bottom-up enforcement bureaucracy in which the SEC attorneys leave a significant personal imprint on case outcomes.

Given the importance of attorneys for case outcomes and a strong partisan tilt in their composition, we examine whether the ideological alignment between the attorneys and defendants is associated with case outcomes. We find that the partisan misalignment between the supervisory attorney and defendant is associated with stricter sanctions. In the analysis of nonmonetary outcomes, we find that misaligned cases are 3 p.p. less likely to be dismissed, 9 p.p. more likely to trigger compulsory governance interventions, and 12 p.p. more likely to result in industry and officer-and-director bars, which ban the defendants from serving in executive roles.

Monetary outcomes show a similar pattern. Partisan misalignment between the defendant and supervisory attorney is associated with a 7 p.p. higher likelihood of monetary sanctions and a $13 million increase in their amount. Our estimates for monetary and nonmonetary sanctions are derived for the same statute violations investigated by the same SEC regional office and under the same SEC Commissioners. They are also robust to including supervisory attorney fixed effects, which absorb the attorney's persistent attributes such as ability, ideology, and aggressiveness, with the variation identified from the defendant's partisan alignment. Given the strong liberal tilt in the composition of supervisory attorneys, our estimates reflect mainly the differences in case outcomes led by Democratic attorneys against Republican and Democratic defendants.

The economic link between the attorney-defendant misalignment and SEC sanctions strengthens when the supervisory attorney is more politically active, as measured by their donations and voter turnout (from administrative files), consistent with stronger beliefs. The differences in case outcomes matter for firm value. The resolution of enforcement sanctions triggers a 2.7% lower announcement return for cases with a misaligned defendant and supervisory attorney, equivalent to a $98 million value loss for the average firm.

We study whether the differences in case outcomes are attributable to the assignment of cases to attorneys and find no significant correlation between the supervisory attorney's ideology and their assigned cases. Rather, case assignments are based on institutional factors such as the office's jurisdiction and the attorney's expertise and prior caseload. After conditioning on these factors, we simulate a random distribution of partisan alignment between the defendants and supervisory attorneys and find that the observed misalignment rate in our sample is nearly identical to the mean of the simulated distribution. In other words, after accounting for the institutional drivers of case assignment, the political alignment between the case supervisor and the defendant resembles a random draw.

It is possible that misaligned cases involve more egregious violations that remain uncaptured by our controls for case severity and statute violations. We compare aligned and misaligned cases on the characteristics

of their firms, defendants, and allegations, and find that these case groups are statistically indistinguishable on these observable attributes. To account for the possibility of unobservable differences in case severity, we use announcement returns around the first disclosure of the alleged misconduct, which long precedes the SEC's assignment of an enforcement team. The first disclosure of financial misconduct triggers large negative returns of -10%. These returns are statistically indistinguishable between the cases that are eventually assigned to aligned vs. misaligned supervisory attorneys, suggesting that market participants do not view these cases differently.

We also use the announcement returns to the first disclosure of financial misconduct as a market-based estimate of case severity, relying on all investors to interpret the violations. We replicate our analysis after controlling for this market-based proxy for case severity and obtain similar results. That is, the partisan misalignment between the supervisory attorney and defendant is associated with stronger enforcement sanctions.

The combination of these tests raises the bar for a potential omitted variable but does not rule it out. Such a variable must systematically generate stricter sanctions for the same statute violations, remain unobservable to financial markets, and arise for the same attorney only on misaligned cases. To assess the economic plausibility of such a variable, we apply the Oster (2019) coefficient stability test. We find that selection on unobservables would need to be at least 3.2 times as strong as selection on observables to explain away the estimated effects.

The correlation between political misalignment and case outcomes need not reflect a political bias. Rather, this effect may operate indirectly, capturing a divergence on core beliefs, of which partisanship is just one observable proxy. Enforcement attorneys routinely subpoena the defendants' communications, study their professional and political ties, and interact with them in testimony and settlement negotiations. These interactions typically elicit the extent of their ideological alignment. Theory posits that a divergence in values between counteragents weakens their willingness to cooperate (Tabellini, 2008) and share information (Crawford and Sobel, 1982), narrowing the scope for compromise. Consistent with theory, experiments show that political misalignment hinders collaboration, especially under information asymmetry (Balliet et al., 2018). If these patterns extend to our setting, they may affect case outcomes. For example, a defendant's lack of cooperation may alter the attorney's assessment of their character and fitness for executive roles, which form the basis for industry bars. Conversely, cooperative behaviors provide SEC attorneys with discretion to recommend penalty waivers and cooperation credits.

Our evidence suggests the collaboration mechanism is one of the contributing effects. Using disclosures of case proceedings, we find that political misalignment between the SEC case supervisor and defendant is

associated with a lower degree of their cooperation. When defendants face a misaligned case supervisor, they are 4 p.p. more likely to engage in noncooperative behaviors such as refusing to produce documents, declining to testify, delaying the evidence, or invoking the Fifth Amendment to ignore the SEC attorney's requests. Correspondingly, such cases are more likely to rely on compulsory assistance. Consistent with these frictions in the defendant-attorney interactions, misaligned investigations take three months longer to consummate.

These contentions arise between misaligned agents engaged in prolonged, antagonistic interactions. In contrast, unconditionally, we find no partisan differences across CEOs in their propensity to disagree with financial auditors or commit observed financial misconduct. We validate this result out of sample by showing that Republican and Democratic CEOs do not differ in their unconditional likelihood to commit earnings restatements, disagree with financial auditors, or trigger auditor resignations.

In summary, our findings expand the scope of inquiry beyond the SEC's top leadership and provide micro evidence on an understudied group of agents who translate policy into practice. We show that the mandated bipartisanship of the five SEC Commissioners tells an incomplete story about the agency's political makeup. Our evidence helps refine the existing framework that has viewed SEC regulation primarily through the lens of its top Commissioners. In particular, our results point to the elements of a bottom-up bureaucracy in policy enforcement, in which career attorneys leave a significant imprint on regulatory actions beyond the political appointees.

Overall, we alert the reader that our evidence does not imply a social inefficiency. For example, an overrepresentation of left-leaning regulators aligned with the SEC's mission could be socially optimal to induce effort, as modeled in Besley and Ghatak (2005). Similarly, the link between political misalignment and case outcomes need not imply a deviation from optimal sanctions. A comprehensive efficiency evaluation would require a general equilibrium benchmark beyond the scope of our paper.

1. Contribution to the Literature

This paper is one of the first to provide micro evidence on the political composition of SEC regulators and study their individual impact on policy enforcement. Our contribution is to uncover a partisan tilt among SEC regulators, study its origins, and investigate its implications for regulatory outcomes. Unlike prior work that focuses on top appointees and implicitly treats regulatory personnel as their delegates, we find that financial regulators are politically active, overwhelmingly liberal, and independently important. Our findings suggest that partisan sorting into regulatory agencies matters for their ideological makeup and policy enforcement.

The regulators' ideology is of particular interest because regulatory decisions are often subjective, and they establish the norms for market participants. Regulatory actions internalize a variety of inputs affected by the agents' political beliefs such as their corporate governance views (Gormley, Jha, and Wang, 2026), financial forecasts (Kempf and Tsoutsoura, 2021), economic outlook (Dagostino, Gao, and Ma, 2023), interpretation of market data (Cookson, Engelberg, and Mullins, 2020; Meeuwis et al., 2022), legal opinions (Gormley, Kaviani, and Maleki, 2026), and global outlook (Kempf et al., 2023; Ayyagari, Gao, and Ma, 2026). Our paper provides novel evidence on the ideology of career regulators and studies its implications for enforcement outcomes.

Political considerations matter for U.S. government agents. Duchin and Sosyura (2012) find evidence of political favoritism in the distribution of government aid during the financial crisis. Goldman, Rocholl, and So (2013) detect political interference in the allocation of government contracts, and Brogaard, Denes, and Duchin (2021) highlight the role of political connections in contract renegotiations. Dagostino and Nakhmurina (2025) show that partisan alignment between local and state governments reduces borrowing costs and increases financial assistance. Engelberg et al. (2023) document partisan language in the speeches of Fed governors and SEC Commissioners and show that their voting patterns coalesce along party lines. Pandey, Shen, and Wu (2025) focus on the partisan affiliation of the SEC Commissioners and find that the SEC is more likely to investigate, but not more likely to issue enforcement against, firms that are politically misaligned with SEC Commissioners. They also show that firms whose political orientation differs from that of the Commission face higher penalties.

Our paper departs from this research along two dimensions. First, while prior work focuses on the political appointees at government agencies, we study unelected career bureaucrats who comprise the bulk of government staff and make most day-to-day decisions. We show that the bipartisan balance among SEC Commissioners masks a persistent liberal tilt among the agency's career attorneys, and that their political affiliation matters for enforcement, while holding constant the effect of political appointees. Our findings demonstrate the importance of a bottom-up bureaucracy in an agency traditionally viewed through the prism of its top leadership. From this perspective, we provide micro evidence on the theories predicting that unelected civil servants present a significant force in government regulation (Page and Jenkins, 2005; Sager and Rosser, 2009; Page, 2012).

Ewens and Giroud (2025) highlight the importance of looking inside an organization's hierarchy and studying the impact of decision agents outside the executive suite. Toward this objective, we study the incremental contributions of government officials across multiple layers of policy implementation and highlight a novel group

of agents who explain a significant share of enforcement outcomes. Research shows that a better understanding of an organization's human capital improves our insights into firm outcomes (e.g., Giroud and Mueller, 2015; Tate and Yang, 2015; Bennedsen, Tsoutsoura, and Wolfenzon, 2019). We complement this work on firms by providing novel evidence on the inner workings of their financial regulators.

Second, we are among the first to provide evidence on agents' sorting into SEC jobs. While most prior research views the regulators' composition as given, we offer a within-cohort analysis that reveals professional, demographic, and partisan attributes associated with selection into SEC careers. This evidence identifies pecuniary and nonpecuniary factors that reinforce the agency's liberal tilt.

Our labor market evidence extends the literature on the revolving door between the government and the private sector. Prior work identifies aggregate determinants of federal employees' outside options, such as economic cycles (Lucca, Seru, and Trebbi, 2014), regulatory changes (Emery and Faccio, 2025), compensation practices (Chen, Hajda, and Kalmenovitz, 2025), post-employment restrictions (Kalmenovitz, Vij, and Xiao, 2025), and the subsequent careers of senior regulators (Duchin, Wang, and Kalmenovitz, 2024). Our novel insight is that the employees' take-up of outside options varies with their ideology. Democratic attorneys are less responsive to the private market premium and show a persistent preference for nonprofit jobs after leaving the SEC. Thus, while most papers study employee departures through the revolving door (e.g., Kempf, 2020), we highlight an intrinsic mechanism contributing to employee retention. This behavior aligns with the theoretical models predicting that government agencies attract some agents because of their ideological alignment (Besley and Ghatak, 2005), and that these agents are less responsive to outside incentives (Bénabou and Tirole, 2003).

More broadly, we contribute to the literature in organizational economics on government bureaucracies. Prior work provides important compositional evidence for the government workforce and its labor market in the United States (Spenkuch, Teso, and Xu, 2023) and emerging economies (Colonnelli, Prem, and Teso, 2020). To complement these aggregate patterns that combine civil servants from different agencies with varied objectives, we focus on capital market regulation and add two dimensions. First, we trace the individual decisions of career bureaucrats in enforcing government regulation. Second, we follow the consequences of the civil servants' actions on executives and firms, thus studying the impact of individual bureaucrats outside the government.

2. Data and Variables

2.1 SEC Payroll Records

We obtain data on the SEC staff from its payroll records between 1996 and 2023 through multiple Freedom of Information Act requests. These records report the employees' occupation, hiring date, work location, compensation, and departure date from the SEC. We focus on SEC attorneys for three reasons. First, attorneys constitute the largest white-collar occupation at the SEC and play a central role in the agency's core functions. Second, attorneys are named in enforcement cases, allowing us to connect regulatory actions to individual regulators. Third, most attorneys hold the same graduate degree (Juris Doctor) and maintain active law licenses that impose a common aptitude standard. These features define a well-structured labor market that enables us to study graduation cohorts, track individuals within the legal profession, and examine the relation between bureaucrats and regulatory outcomes. From 1996 to 2023, 4,754 attorneys have at least one employment spell at the SEC. We provide a brief data description below and offer more detail in Internet Appendix A (hereafter, IA).

2.2 Characteristics of SEC Attorneys

2.2.1 Political Affiliation

We measure the political affiliation of SEC attorneys using their voter registrations, political donations, and participation in party-specific primaries. To link SEC attorneys to these sources, we first manually match attorneys to LexisNexis Public Records (LNPR) using their full names and office locations. LNPR is an individual-level database that aggregates information on over 500 million U.S. individuals (both living and deceased) using unique identifiers linked to Social Security numbers (SSNs). Examples of LNPR records include deed and tax assessment records, voter registrations, criminal filings, and professional licenses. Prior work uses LNPR to acquire personal data on CEOs (Yermack, 2014; Yonker, 2017; Duchin, Simutin, and Sosyura, 2021; Decaire and Sosyura, 2023; Duchin and Sosyura, 2026), fund managers (Pool, Stoffman, and Yonker, 2015; Chuprinin and Sosyura, 2018), securitization agents (Cheng, Raina, and Xiong, 2014), and county assessors (Chen and Cohen, 2025).

LNPR provides address history, month and year of birth, and name variants, which facilitate matching to other data sources. We validate LNPR matches by confirming employer information, professional licenses, or email domains in LNPR records. This process yields unambiguous matches for 4,457 attorneys (94% match rate).

From LNPR, we obtain each attorney's voter registration history, including registration dates, state of registration, voter status, and declared party affiliation. We supplement the LNPR records with state voter

registration files, obtained through requests to each state's Department of State. We match attorneys across the two datasets using full names, addresses, and month and year of birth. Combining these sources, we obtain voter registration data for 37 states and the District of Columbia, covering approximately 87% of the U.S. population.[1]

Finally, we incorporate political donations from the Database on Ideology, Money in Politics, and Elections (DIME), which contains over 850 million contribution records since 1979. We match attorneys to donation records using their names and addresses and verify the matches by using the employer or title listed on the contribution record. We infer an attorney's political ideology from their donation recipients.

Among the 4,457 SEC attorneys in our sample, we identify voter registration records for 3,908 individuals and political donation records for 2,320 individuals. Using these sources, we construct a time-varying measure of political leaning. We first classify individuals as Democratic, Republican, or Independent based on the declared party affiliation and participation in primary elections. For attorneys whose political leaning remains ambiguous, either due to missing voter records or classification as Independent, we use political donations to classify their political leanings. We classify an attorney as Democratic (Republican) if at least 60% of their inflation-adjusted political contributions go to Democratic (Republican) candidates. The remaining individuals are classified as Independent. Using this approach, we classify the political affiliation of 4,031 attorneys, or 90.4% of the sample.

In addition to a discrete partisan classification, we use a continuous measure of ideology based on the Campaign Finance Score (*CFscore*) from DIME. Developed in Bonica (2014), *CFscore* places politicians on the ideological spectrum, where negative (positive) values indicate more liberal (conservative) beliefs. Internet Appendix B provides additional details on variable definitions.

2.2.2 Validation: Political Affiliation as a Measure of Voting Preferences

Internet Appendix A.1.3 validates that political contributions and voter registrations constitute a meaningful proxy for the attorneys' voting preferences. Using administrative records from the State of Virginia that reveal individual participation in partisan primaries, Figure IA.1 shows that 83% of Democratic attorneys and 81% of Republican attorneys (based on said classification of their contributions) participate in the primaries of the respective party. Conversely, attorneys classified as Independent are about equally split in their participation between the Republican and Democratic primaries. Using a similar approach, we also confirm that the party declared in the attorneys' voter registration records strongly predicts their participation in the respective primaries.

[1] The thirteen states for which we do not have voter registration data include Arizona, Indiana, Iowa, Kentucky, Maine, Montana, New Hampshire, New Mexico, North Dakota, South Carolina, South Dakota, Tennessee, and West Virginia.

The attorneys' partisan affiliations are stable during their SEC careers, and party switching is rare. Panel A in Table IA.1 shows that only 6% of the SEC attorneys make any changes in their party of registration during their SEC careers (mostly Independents). Panel B finds that only 2.4% of the attorneys switch between the Republican and Democratic parties at any time from three years before joining the SEC to three years after leaving the agency.

Table IA.2 studies whether SEC attorneys strategically adjust their political affiliations in response to changes in the agency's leadership. We find no evidence that the incumbent attorneys switch their political allegiance to align with the SEC Chair from the opposite party, whether we focus on their voter registrations or donations. If anything, SEC attorneys are weakly more likely to donate to their own party when it is out of power.

In summary, the political donations of SEC attorneys match their voting preferences revealed in primaries. The attorneys' partisan affiliations persist during their SEC careers and do not respond to leadership turnovers.

2.2.3 Education and Professional Career

We construct a database of attorneys' professional credentials by combining several sources. We begin by matching attorneys to their professional profiles in Revelio Labs, a provider that collects online résumé data from LinkedIn and other professional platforms. For the attorneys' employment spells within the SEC, we use the payroll data to obtain their salary, bonus, work location, year of entry, and rank at an annual frequency.

We augment this information with data from Avvo, a directory of legal professionals. Avvo reports attorneys' education, practice areas, and work histories. For attorneys with missing data, we collect this information from SEC press releases, state bar websites, and law firm biographies. Using a combination of these sources, we identify the law school for 3,784 SEC attorneys (85% of our sample). We also collect law schools' locations and median LSAT scores from the American Bar Association.

2.2.4 Demographics, Home Origin, and Personal Data

We collect attorneys' demographics (gender, age, race, home state, and immigrant status) from LNPR, which compiles these data from state vital records, Social Security records, and other sources. Using partial SSNs from LNPR, we decode the SSN's state and year of issuance.[2] We define an attorney's home state as the state where they obtain their SSN. We classify an attorney as an immigrant if they receive their SSN after age 20. We classify an attorney as a minority if their race is other than White.

[2] For SSNs issued before June 2011, the first three digits indicate the state or territory where the person applied for their SSN.

2.3 Enforcement Activity

We source enforcement cases from the Securities Enforcement Empirical Database (SEED), which provides information at the case-defendant level, including details on case outcomes. We cross-check and complement each case outcome with official sources such as SEC press releases and court docket filings, as detailed in Internet Appendix A.3. We focus on civil actions and administrative proceedings from 2002 to 2023, a period when we can observe the enforcement team. We hand-collect attorney names, case outcomes and sanctions, defendant identities, and additional case characteristics, including the filing date, trigger date, first resolution date, Department of Justice involvement, and indicators for fraudulent conduct. We also identify the violated statutes and classify these violations using the provisions cited in each enforcement action, as detailed in Internet Appendix A.3.5. This classification allows us to construct granular controls for the nature of the alleged misconduct.

We identify the case supervisor as the highest-ranked agent on the enforcement team. When multiple individuals share the highest rank, we select the individual with the highest salary. Following this procedure, 84% of cases have a single supervisory attorney. For the remaining 16% of cases with multiple potential supervisors, we manually inspect their titles using court dockets, SEC press releases, and other publicly available sources to break ties (e.g., an Associate Regional Director is more senior than an Assistant Regional Director). To measure the defendants' political leanings, we follow the same approach as for the SEC attorneys, relying on LNPR, voter registrations, and political contributions. When the defendant is a firm, we use the partisan affiliation of its CEO at the time of case filing as a proxy for the defendant's political orientation.

Our enforcement sample consists of 486 cases, 593 unique defendants (215 firms and 378 individuals), and 701 case-defendant observations, with an average of four attorneys per case. Nearly all defendants (89.3%) resolve their cases via settlement, and 4.1% receive an SEC dismissal. Approximately 65% of cases result in monetary sanctions, which include civil penalties, disgorgement, and prejudgment interest. Among the sanctioned case-defendants, monetary sanctions average $25.6 million and total $11.7 billion in our sample, highlighting their economic importance.

In addition to monetary sanctions, 52% of case resolutions impose nonmonetary sanctions on executives such as industry bars and officer-and-director bars, which restrict the defendants from serving in leadership roles. Another 18% of cases impose legal obligations to implement governance reforms (referred to as undertakings). Examples include firing specific executives, improving oversight, and requiring ethics certification.

2.4 The Legal Profession

To construct a comparison group within the legal profession, we use data from Revelio Labs and Avvo to identify the graduates of U.S. law schools who earn a JD but never join the SEC during their careers. Next, we determine the political affiliation of these non-SEC attorneys. We match them to state voter registration records using their full name, approximate age (inferred from graduation dates), and location history from employment records. Using this procedure, we establish unambiguous voter registration records for 446,854 non-SEC attorneys.

We obtain professional career histories for non-SEC attorneys from Revelio Labs. We classify their employers as government, nonprofit, higher education, courts, or private sector by providing the organization's name and website URL to the ChatGPT API. We also collect the attorneys' demographics, including gender, race, age, and immigrant status (proxied by an undergraduate degree from a foreign college). We exclude individuals with missing law school graduation years (required for cohort analysis) and those lacking any firm identifiers in their careers after law school (required for sorting between the private and public sectors). We also exclude attorneys who graduate after 2023 (the final year in our SEC payroll data) or before 1972. After imposing these filters, we end up with a comparison group of 365,908 attorneys who never join the SEC.

3 Descriptive Evidence

3.1 Comparing the SEC and Private Sector Attorneys

Panel A of Table 1 describes the SEC attorneys. This group consists of 58% males, 24% minorities, and 2% immigrants, and the average age is 40. SEC attorneys have strong academic credentials. They come from law schools with the average LSAT score in the 81st percentile, and over a third of them graduate from a top-14 law program.[3] The average SEC attorney stays with the agency for 12 years, earns an annual salary of $210,830, and owns real estate assets valued at $1.5 million (all monetary values are in 2024 dollars). Figure 1 classifies the first jobs of the SEC attorneys after law school. Half of them begin their careers at private law firms before transitioning into public service. Government positions account for another 43% of the initial placements, with the remaining 7% split among judicial clerkships, nonprofits, and higher education positions.

Panel A of Table 2 compares SEC attorneys with private sector attorneys—those who never work for a nonprofit or for a government entity. Relative to the private sector attorneys, their SEC peers have stronger academic credentials, with twice as many Ivy League graduates and 11 percentile points higher average LSAT.

[3] Top 14 is a frequently cited list of elite law programs that includes Berkeley, Chicago, Columbia, Cornell, Duke, Georgetown, Harvard, Michigan, NYU, Northwestern, Stanford, University of Pennsylvania, University of Virginia, and Yale.

3.2 The Liberal Tilt

Panel B of Table 1 shows that Democrats strongly outnumber Republicans among SEC attorneys, whether we focus on their party of registration (62% vs. 17%) or political donations (74% vs. 15%). The SEC attorneys are politically active, and 50% of them make political contributions during their lifetime. This contribution rate exceeds the respective statistics for corporate executives (40.5%), academics (17%), and the general public (1%).[4] Panel B of Table 2 shows that the partisan affiliation of the SEC attorneys is significantly more Democratic-leaning than that of their private sector counterparts, of whom 46% identify as Democrats and 26% as Republicans.

Figure 2 shows how the SEC's liberal tilt varies over time and across its regional offices. The figure focuses on the SEC attorneys with clearly identified partisan beliefs (Democrats and Republicans) and excludes independents and minor parties. Figure IA.2 provides an equivalent plot with the inclusion of these smaller groups. Panel A shows that the Democratic share among the SEC attorneys remains stable before the financial crisis, hovering around 77%. After the crisis, it gradually increases, reaching 83% by 2023, while the Republican share declines from 22% to 17%. As a result, SEC Democrats consistently outnumber SEC Republicans by roughly four to one across all political administrations, with an upward drift in the Democratic share after the financial crisis.

Panel B compares the Democratic share among the SEC attorneys with four benchmarks: (1) other public sector attorneys involved in securities regulation,[5] (2) private sector attorneys, (3) voters with advanced degrees (available post-2006), and (4) the general public. The Democratic share among the SEC attorneys consistently ranks above these benchmarks, averaging 80%. Attorneys working for non-SEC securities regulators also lean liberal, with 71% identifying as Democrats, but the SEC's partisan tilt exceeds this benchmark. By comparison, only 63% of the private sector attorneys, 62% of voters with advanced degrees, and 48–55% of the general electorate identify as Democrats. These benchmarks highlight a roughly 16 p.p. partisan gap between SEC attorneys and their private sector peers, a 4–12 p.p. gap from peers at non-SEC securities regulators, and a 30 p.p. gap from the general public. The liberal tilt at the SEC is not unique to attorneys. In a random sample of 73 SEC accountants, we find that 61% are registered Democrats, compared to about 40% of CPAs nationwide (untabulated).

Panel C reports the political affiliation of SEC attorneys for its headquarters and regional offices. All 12 offices are majority Democratic, with San Francisco, Boston, and New York exceeding 80%. Even in the least

[4] The contribution rate of executives is from Teso (2025). The contribution rate for academics is from the National Association of Scholars, and the contribution rate for the general public is from Open Secrets.
[5] These include the CFTC, FINRA, SIPC, NASAA, PCAOB, and 20 state regulators known as "Blue Sky." We identify these employers by matching each state's official securities website to the Revelio firm database. The combined benchmark covers 6,857 attorney-years.

Democratic offices (Salt Lake City, Miami, and Fort Worth), the share of Democrats exceeds 60%. Thus, the SEC offices are generally more Democratic than the surrounding electorates.

Panel D shows the partisan composition of new SEC attorney hires across presidential administrations. Our sample spans five presidents: two Republicans (Bush and Trump) and three Democrats (Clinton, Obama, and Biden). Across all administrations, at least 71% of the new entrants are Democrats. While the share of Democrats among the new hires is higher under Democratic presidents, Democrats represent most of the new hires under every administration in our sample.

Figure 3 focuses on political donations, zooming in on the most politically active segment of the SEC's legal staff. Panel A shows the share of SEC attorneys making political contributions over time, distinguishing between donations to Democrats (blue) and Republicans (red). The contributions are limited to those made during the attorneys' professional appointment at the SEC. Using a two-election-cycle rolling average, political giving rises sharply from 2.6% of attorneys in 1998 to 17.6% in 2024. Contributions are overwhelmingly Democratic throughout, ranging from 70% to over 90% and increasing further after the financial crisis.

Panel B examines the attorneys' ideological positioning using the *CFscore* of their donation recipients, where negative values indicate more progressive orientation. The data reveal a pronounced leftward skew. Fewer than 20% of the SEC attorneys support conservative orientations (positive values). The SEC attorneys are substantially more progressive than lawyers overall (median *CFscore* ≈ -0.72), and markedly more progressive than CEOs and enforcement defendants (median *CFscore* ≈ +0.4). These gaps correspond to approximately 0.3 and 1.9 standard deviations of SEC attorneys' ideological distribution, respectively.

Panel C plots changes in the ideological distribution of SEC donors between 1996 and 2023. The largest gains occur in the most progressive ranges (*CFscore* < -1), while the conservative-leaning bins decline by 5–10 p.p. Panel D tracks the median donor's ideology over time using a progressive score (-*CFscore*). The median donor remains consistently progressive and drifts modestly leftward, moving from a position near Abigail Spanberger in 1996 to one close to Joe Biden by 2023, and never crossing into the conservative territory.

In summary, we find a strong and persistent liberal tilt among SEC attorneys. This tilt contrasts with the statutory bipartisan balance at the Commissioner level and underscores the importance of studying career bureaucrats separately from political appointees.

4 The Origins of the Liberal Tilt

This section examines the factors contributing to the liberal tilt, focusing on two channels. First, we study a preference-based explanation, asking whether Democrats and Republicans differ in their propensity to sort into the SEC and to remain in public service. Second, we examine the role of market forces, focusing on how the pay gap with the private sector shapes the attorneys' willingness to enter and remain at the SEC.

4.1 Public Service Preferences

Theory postulates that government agencies attract people with a preference for public service and social goods (Besley and Ghatak, 2005). In the general population, surveys reveal a significant partisan contrast on these dimensions, with Democrats expressing stronger preferences for service and societal impact, and Republicans emphasizing a small government and less regulation (Pew Research Center, 2017; 2024). We examine whether these patterns help explain partisan sorting in the careers of financial regulators.

4.1.1 Joining the Public Sector

We test whether Democratic attorneys are more likely to join public service by estimating the following regression:

$$Public\ Service_{it} = \beta_1 Dem_i + FE_{it} + \epsilon_{it} \quad (1)$$

The dependent variable equals 100 if an attorney i, graduating in year t, joins the public sector (government or nonprofit employment) at any point after graduation. The key regressor, Dem_i, equals one if the attorney is identified as a Democrat, and zero otherwise, based only on voter registrations to ensure consistent measurement across attorneys. FE_{it} represent several groups of fixed effects, as explained below. We exclude attorneys affiliated with independent or minor parties.[6] Accordingly, β_1 captures the partisan gap between Democratic and Republican attorneys in the propensity to enter public service.

Panel A of Table 3 reports the results. Column 1 includes no controls or fixed effects. Column 2 adds graduation-cohort fixed effects, absorbing common macroeconomic conditions in the legal labor market as well as cohort-specific political environments. Columns 3–6 progressively interact cohorts with gender, race, state of origin, and the law school's state to absorb the heterogeneity across these factors. These interactions account for the correlation between these personal characteristics and political beliefs. For instance, attorneys may prefer to work near their home state or law school, and because Washington hosts a large share of the federal workforce

[6] Our results are almost identical after including a separate dummy variable for independent/other affiliation in our analysis.

and is geographically closer to Democratic-leaning states, local hiring could generate partisan differences. The inclusion of state of origin × cohort and law school state × cohort fixed effects nets out the effect of these factors. Likewise, race × cohort interactions account for the possibility that the government's tendency to hire minorities explains the results, since minorities are disproportionately Democratic. Columns 5 and 6 add an indicator for Top 14 law schools, capturing the effect of hiring from elite law programs. Finally, the most stringent specification in column 7 includes law school × cohort fixed effects, allowing us to compare graduates from the same law school and cohort (e.g., Yale Law Class of 2000) who share similar educational backgrounds but differ in political affiliations. This specification also controls for many unobserved differences such as prestige and networks.

Across all columns, the coefficient on *Dem* is positive and significant at 1%. According to column 7, Democrats are 7.01 p.p. (or 10.97%) more likely to enter public service than their Republican classmates who have similar demographics, graduate from the same law school class, and come from the same home state.

Next, we ask whether partisan sorting into public service extends to the SEC. Panel B re-estimates the same specification with the outcome redefined as an indicator for SEC entry, restricting the sample to attorneys who work at the SEC at any point in their career or work exclusively in the private sector. Column 7 shows that Democrats are 0.80 p.p. (or 35%) more likely to join the SEC than their Republican classmates from the same law school class. This is an economically larger effect than that for entry into public service more broadly.

Panel C examines how attorneys sort within the public sector, including all government agencies and nonprofits. We focus on attorneys who ever work in the public sector and study the probability of them joining the SEC versus other organizations. We continue to find a positive and statistically significant partisan gap, though the magnitude attenuates as additional controls are introduced. In particular, once law school × cohort fixed effects are included, the partisan gap is not statistically significant. This suggests that conditional on selecting into public service, law school characteristics play an important role in determining which government agency attorneys join.

Panel D assesses all entry paths jointly using a multinomial logit model that simultaneously considers entry into the SEC, other public service, and the private sector (omitted category). Consistent with the earlier results, Democrats are more likely than Republicans to enter both the SEC and other public service organizations relative to the private sector. The economic magnitude of the partisan differential is roughly twice as large for the SEC entry as for other public service positions (28% versus 14%).

4.1.2 Job Tenure and Exit from the SEC

We test whether Democrats remain at the SEC longer than Republicans by estimating the following model:

$$Exit_{it+1} = \beta_1 Dem_{it} + \gamma X_{it} + FE_{i(t)} + \epsilon_{it} \quad (2)$$

The outcome variable, $Exit_{it+1}$, equals 100 if an attorney i leaves the SEC in year $t+1$. The variable of interest, Dem_{it}, equals one if an attorney is Democratic in year t and zero otherwise. While this specification accommodates temporal updating of partisan beliefs, party switching in our sample is very rare, as discussed earlier. X_{it} represents a vector of attorney attributes such as gender, immigrant status, and local origin (whether the attorney's home state matches the state of their SEC office). FE_{it} denote fixed effects, as discussed below.

Table 4 reports the results. Column 1 includes year fixed effects to control for macro conditions and political administrations. Column 2 adds controls for gender and office × year fixed effects, capturing time-varying office policies and local labor market conditions. Column 3 adds immigrant status and local origin. Column 4 introduces office × rank × year fixed effects, comparing attorneys who work in the same office, in the same year, and at the same rank, but differ in their political affiliation. Finally, column 5 incorporates law school × cohort fixed effects, which account for differences in ability, networks, and law school placement.

We find that Democrats are significantly less likely to exit the SEC. The coefficient on the indicator *Dem* remains stable as the model is saturated with tighter controls, suggesting a persistent difference in career choices. According to the tightest specification in column 5, Democratic attorneys are 2.0 p.p. (or 27%) less likely to exit the SEC than their Republican peers who hold the same rank, work at the same office, and have similar credentials. Control variables show that male attorneys have higher exit rates, while local attorneys are less likely to exit.

4.1.3 Career Advancement and Leadership Roles

If Democrats remain at the SEC longer, they may be more likely to reach leadership positions. We test this conjecture in Table 5, which examines career advancement at the SEC. The outcome variables capture the attainment of managerial status (Supervisory Attorney-Advisor: columns 1–2) and executive status (Assistant Regional Director, Chief Counsel: columns 3–4). We estimate linear probability models with SEC cohort fixed effects, comparing attorneys who enter the SEC in the same year.

We find that Democrats are 3.0–4.2 p.p. more likely than Republicans to reach managerial or executive ranks at the SEC, reflecting an 11–17% higher probability relative to the sample mean. Graduating from a top-14 law school is positively associated with promotion, while gender, geography, and regional office experience have mixed effects. Overall, Democrats remain at the SEC longer and are more likely to advance to managerial roles.

4.1.4 Post-SEC Careers

If the Democratic attorneys' entry into the SEC reflects their alignment with public service, they should be more likely to select similar organizations after leaving the SEC. We test this prediction in Table 6. In columns 1–4, the dependent variable is a binary indicator equal to 100 if an attorney joins a nonprofit organization immediately after leaving the SEC, and 0 otherwise. In columns 5–8, the dependent variable equals 100 if the departing attorney joins a nonprofit financial regulator (e.g., PCAOB or FINRA) immediately after leaving the SEC, and 0 otherwise.

Relative to Republicans, Democrats are 4.1–5.3 p.p. more likely to join a nonprofit organization after leaving the SEC, representing a 27–35% higher likelihood relative to the sample mean. Democrats are also 2.3–2.7 p.p. more likely to join a nonprofit financial regulator. Although the statistical significance is weaker, the economic magnitude remains large: the partisan gap in joining financial regulators represents a 46–54% increase relative to the mean. These results hold after including office × exit year fixed effects, which compare attorneys who leave the SEC in the same year and from the same office but differ in their political affiliation.

In summary, Democrats are more likely to join the SEC, stay longer, and advance to leadership roles. After leaving the SEC, they continue to select nonprofit jobs, consistent with preferences for public sector careers.

4.2 Responsiveness to Monetary Incentives

Another possible explanation for the liberal tilt among SEC attorneys is the partisan difference in the responsiveness to monetary rewards. Experimental evidence suggests that Republicans respond more strongly to financial incentives, while Democrats put a greater emphasis on nonmonetary rewards and social goals (Rathje et al., 2023), consistent with the theory of social preferences (Enke, Polborn, and Wu, 2025).

To test the role of monetary incentives, we study how partisan differences in the SEC career paths vary with the agency's pay and the outside pay premium. Since the top ten post-SEC destinations in the private sector are the largest law firms (BigLaw) such as WilmerHale, Latham & Watkins, and Kirkland & Ellis, we use the salary scale at these firms to construct a time-varying, position-specific measure of the private market premium. We obtain annual salary data from BigLaw Investors, which reports the prevailing industry pay for year 1 to year 8 associates from 2000 to 2023. Compensation at top law firms appears standardized. When industry leaders announce annual adjustments to associate salaries, other elite firms typically match them. These benchmark announcements are widely covered in the legal press (e.g., American Lawyer, Above the Law), which tracks BigLaw pay across firms and over time (e.g., Merken, 2024; Barnes, 2025; Tribe, 2025).

These compensation statistics are broken down by seniority, allowing us to estimate an attorney's private sector earning potential based on their SEC rank. We map entry-level SEC attorneys (SK-11/12) to second-year BigLaw associates, mid-level attorneys (SK-13) to fifth-year associates, and so on, and cross-check this mapping against SEC disclosures. The SEC's Pay Parity Implementation Plan and Report (2002) notes that private sector offers for senior professional staff departing in 2000–2001 range from $185,000 to $250,000, closely matching our approximation of $154,000 to $250,000 for attorneys leaving the SEC at that time (SEC, 2002). Across all attorney-years in our sample, the private sector premium averages about $261,000 per year (2024 dollars).

4.2.1 Career Stage of SEC Entry

If Republicans focus more on financial gains, they are likely to join the SEC when the private-public pay premium is smaller, a hypothesis we test in Panel A of Table 7. In columns 1–3, the dependent variable is the attorney-specific private sector pay premium in the year of their SEC entry. We regress this outcome on the Republican indicator (*Rep*), controlling for the SEC's regional office and the attorney's graduation year fixed effects. We also include observable attorney attributes such as gender, immigrant status, local origin, and law school rank. We find that Republicans enter the SEC when the outside pay premium is $9,200–$11,700 smaller compared to the entry of their Democratic peers. This difference represents 15–19% of the standard deviation of the pay premium.

The next three columns focus on career transitions. If Republican attorneys are more sensitive to financial gains, we expect them to enter the SEC earlier in their careers to accumulate regulatory experience and monetize it in the private sector. Columns 4–6 examine whether attorneys join the SEC immediately after graduation, and columns 7–9 examine whether they enter as a law clerk, a common path that allows the candidate to acquire legal training for the SEC. Across all specifications, we find that Republicans are more likely to join the SEC earlier in their careers—that is, immediately after law school or after a clerkship. These partisan gaps correspond to 32–40% and 32–43% relative to the sample means, respectively.

These findings are consistent with the interpretation that Republican attorneys view SEC employment as a means of acquiring regulatory experience for the private sector, in line with financial incentives. The gradual expansion of the private market pay premium during our sample period accentuates the tradeoffs between public service and monetary rewards and is associated with a persistent rise in the liberal tilt.

4.2.2 SEC Exit and Post-SEC Destinations

If Republican attorneys place a higher weight on financial returns, their propensity to leave the SEC should increase when the private-public pay gap widens. Conversely, if the Democrats' retention reflects their alignment with the agency's mission, their exit behavior should be less sensitive to the outside pay premium.

We test these predictions by augmenting the exit regressions in equation (2) with *Private–Public Pay Gap (%)*, defined as the percentage salary increase an attorney is expected to obtain by leaving the SEC for BigLaw, calculated as the attorney's potential private sector pay divided by the attorney's current SEC pay, minus 1. To facilitate a comparison of magnitudes, we standardize this variable by subtracting its mean and dividing by its standard deviation. Finally, we add the indicator *Dem,* which equals one if the attorney is a registered Democratic voter or donor and zero otherwise, as well as the interaction of *Dem* with *Private–Public Pay Gap (%)*.

Panel B of Table 7 reports the results. The coefficient on *Private–Public Pay Gap (%),* which captures the Republican attorneys' responsiveness to the private market pay premium, is positive and significant across all specifications. A one standard deviation increase in the pay gap relative to its mean is associated with a 1–2 p.p. (16–35%) increase in the probability of leaving the SEC. The negative coefficient on *Dem* indicates that at the mean pay gap, where *Private–Public Pay Gap* equals zero, Democratic attorneys are less likely to leave the SEC than their Republican peers. The negative coefficients on the term *Dem* × *Private–Public Pay Gap* suggest that Democratic attorneys are less sensitive to the outside pay premium. Finally, the bottom rows of Panel B show the effect of a one standard deviation increase in the pay premium on the Democrats' propensity to leave the SEC, captured by the sum of coefficients on *Private–Public Pay Gap* and *Dem* × *Private–Public Pay Gap*. We find that large increases in outside pay have a subdued effect on the Democrats' likelihood of exiting the SEC, consistent with the prediction that value alignment attenuates the impact of financial incentives (Bénabou and Tirole, 2003).

If financial rewards matter more for Republican attorneys, they should be more likely to take for-profit jobs when the private-public pay premium is large. In contrast, if Democrats are less responsive to monetary rewards, their choice between for-profit and nonprofit jobs should be less sensitive to the pay differentials. We test these predictions in Panel C of Table 7. The sample is limited to attorneys who leave the agency, and the dependent variable equals 100 if the attorney joins a nonprofit upon leaving the SEC and 0 otherwise.

We find that Republican attorneys are less likely to select nonprofit jobs when the private pay premium rises, as shown by the negative coefficients on *Private–Public Pay Gap (%).* In contrast, this effect is significantly weaker for Democrats, as shown by the positive coefficients on the term *Dem* × *Private–Public Pay Gap (%)*.

4.2.3 Alternative Explanations and Evidence from a Compensation Reform

It is possible that the differences in the SEC entry and exit rates between Republicans and Democrats reflect their different abilities and outside options. For example, if Republican graduates show higher academic aptitude, they may have more outside options and will be less likely to join the SEC and more likely to leave the agency.

While our tightest specifications compare graduates from the same schools and cohorts, it is possible that Republican-leaning attorneys from the same schools have stronger credentials, resulting in more outside options. To test this hypothesis, we hand-collect data on students' academic achievement for a random sample of 500 SEC attorneys, using law firm bios, LinkedIn profiles, data from editorial offices, and SEC disclosures.

Table IA.3 studies whether the political affiliation of SEC attorneys correlates with academic credentials. We find no significant differences in academic achievement between Republican and Democratic SEC attorneys, as proxied by their undergraduate honors, law school honors, or leadership positions with law school journals. We also obtain the same results when we compare the students within the same cohort or across different cohorts.

Academic achievement is only one proxy for ability, and it is possible that Republicans and Democrats differ along some other difficult-to-measure credentials important for labor market outcomes, such as professional networks. To address this possibility, we exploit a compensation reform that shrinks the pay gap between SEC attorneys and the private sector. This experiment allows us to test for the differential responsiveness to monetary incentives between Republican and Democratic attorneys, while holding constant their credentials that remain invariant over the short horizon of the reform, such as innate ability, business ties, risk aversion, or endowed wealth.

In 2001–2002, the SEC received special pay authority and uniformly increased compensation for its professional staff, according to a standardized federal pay scale. The reform was motivated by retention concerns and aimed to reduce the growing pay disparities between the SEC and the private sector (Kalmenovitz, 2021). Figure 4 shows that the reform increased the standardized SEC attorney pay by 36% from 2001 to 2002 (14.9% followed by 18.2%). By increasing SEC salaries, the reform compressed the private-public pay gap and temporarily weakened the relative financial incentives from the private sector. We use this compensation reform to study whether the effect of monetary rewards on attorney retention differs by their political leaning. We estimate the following difference-in-differences specification:

$$Exit_{i,t} = \beta_1 Rep_i + \beta_2 Rep_i \times Post_t + \lambda \quad (3)$$

The dependent variable equals 100 if an attorney exits the SEC in a given year, and 0 otherwise. We restrict the sample to a pre- and post-period around the reform (1998–2003) and include only attorneys employed at the SEC before 2001 to mute self-selection into the agency in response to its pay increase. *Post* is an indicator that equals one in 2001–2003. The indicator *Rep* (β_1) captures baseline partisan differences in exit propensities before the reform, while the interaction term *Rep* × *Post* (β_2) tests for the differential effect on the Republicans' SEC exits after the reform. We include progressively tighter fixed effects: year, office × year, and office × rank × year to absorb common shocks, office-specific trends, and career-stage differences, respectively.

Panel D of Table 7 shows that Republican attorneys are significantly more likely to exit the SEC prior to the reform. However, this pattern reverses after the pay increase. The coefficient on *Rep* × *Post* is negative and statistically significant in all columns, indicating that Republicans' exit rates fall more than Democrats' after the reform. The magnitude of the interaction effect implies a large reduction in exits among Republican attorneys relative to their Democratic peers. Thus, the SEC's objective of improving retention was achieved primarily among Republican attorneys who are more sensitive to the private sector pay premium.

In summary, Democratic and Republican attorneys appear statistically indistinguishable on measures of academic achievement. The SEC compensation reform induces a large and rapid compression of the private market pay premium. The evidence from the reform shows that Republicans respond more strongly to monetary incentives, after holding constant their time-persistent attributes such as endowed wealth, ability, and networks.

5 Enforcement Outcomes

This section examines how political alignment between enforcement attorneys and defendants is associated with the SEC's core function—policy enforcement. Enforcement actions are of particular interest because they entail profound consequences for sanctioned firms, such as lawsuits and management removal (Feroz, Park, and Pastena, 1991), erosion in firm value (Gerken et al., 2025), and reputational costs (Karpoff, Lee, and Martin, 2008).

5.1 The SEC Enforcement Process

SEC enforcement actions typically begin with a trigger event such as a whistleblower tip or an investigative report. After receiving the lead, enforcement attorneys assess whether it warrants an informal investigation, known as a Matter Under Inquiry (MUI). The threshold for opening an MUI is low, requiring that the issue "have the potential to address conduct that violates the federal securities laws" and fall within the office's available resources (SEC Enforcement Manual, 2026). At this stage, career staff review public data and conduct informal interviews.

Most MUIs are resolved or escalated within two months. If the enforcement staff decide that a formal investigation is warranted, they notify senior SEC officials and request subpoena authority. Upon receiving this authority, the enforcement staff compel the production of documents and take sworn testimony. At this stage, staff may request financial records, emails, phone logs, travel records, and other personal data. A review of this evidence usually takes about a year (SEC Office of Inspector General, 2023).

If the enforcement staff conclude that charges are appropriate, they issue a Wells Notice, which informs the defendants of the potential charges and offers them an opportunity to respond. After reviewing the response, the enforcement staff decide whether to recommend that the Commission authorize an enforcement action, and if so, propose charges and sanctions. Throughout this process, the enforcement staff have significant room for discretion. For example, monetary penalties are governed by statutory tiers with maximum limits but no formulas, leaving the SEC staff with flexibility in classifying and counting violations, selecting penalty tiers, and calculating penalty amounts. The calculation of disgorgement involves discretion in defining ill-gotten gains and determining whether, and to what extent, legitimate expenses are offset. In this process, SEC attorneys may recommend penalty reductions or waivers based on their assessment of the defendant's cooperation.

In addition to monetary sanctions, the enforcement staff may recommend industry and officer bars, which restrict the defendants from participating in regulated activities or executive roles. These personal restrictions are particularly influential because they largely remove the defendant from the executive labor market at regulated firms. These sanctions are common (52% of case-defendant observations), and they rely on the attorneys' assessments of the defendants' "fitness to serve" in executive positions and regulated activities.

The SEC enforcement staff may also recommend compulsory governance interventions labeled as undertakings. An undertaking is a binding sanction that compels the defendant to implement additional remedies, dismiss the wrongdoers, or commit to cooperating with future inquiries. Examples include legal commitments to fire or reassign specific executives, create new oversight roles (e.g., chief compliance officer, risk consultant), or subject executives to mandatory ethics training. These sanctions rely on the attorneys' assessments of the need for governance reforms and their evaluation of the defendant's commitment to making these changes voluntarily.

Upon reviewing staff recommendations, the Commissioners vote on whether to authorize the enforcement action. While the Commissioners may modify or reject staff recommendations, their discretion is constrained by the evidence collected by the enforcement team, as well as the transparency requirements imposed on the

Commission under the Government in the Sunshine Act of 1976. In contrast, the investigative actions and internal judgments of enforcement attorneys remain largely outside the public view.

Once authorized, the SEC may pursue enforcement actions either through civil litigation in federal district court or administrative proceedings before an Administrative Law Judge. However, in practice, 89.3% of defendants resolve cases through settlement rather than trial, and the enforcement attorneys lead these settlement negotiations. Figure 5 depicts the enforcement process, and Internet Appendix D offers additional details.

In summary, SEC attorneys have significant discretion in the enforcement process. They determine the pace and scale of the investigation, evaluate the evidence, classify and count the violations, negotiate settlements, assess the defendants' character, cooperation, and fitness for regulated roles, and propose enforcement sanctions.

5.2 Do Career Attorneys Matter?

Table 8 studies whether SEC attorneys add marginal explanatory power for case outcomes after controlling for the nature and severity of misconduct, defendant's attributes, the SEC's political leadership, and the attorney's regional office. We report a sequential variance decomposition of five enforcement outcomes: case dismissal, executive or industry bar, required undertaking, and monetary sanctions on the extensive and intensive margins.

The first blocks introduce three groups of factors that capture the nature and gravity of misconduct: (1) statute fixed effects, which capture the statutes violated, (2) legal provisions (specific clauses cited in the misconduct's description), and (3) case severity characteristics, such as fraud charges, presence of scienter, and degree of involvement (e.g., aiding and abetting vs. causing the violation). Next, we augment these factors with an array of the defendant's attributes such as their type, demographics, and prior criminal violations. Finally, we add fixed effects for different groups of financial regulators, starting with the SEC Chair and proceeding down the agency's hierarchy to the enforcement office, the supervisory attorney, and the enforcement team. Each entry reports the incremental increase in R^2 attributable to the respective block relative to the preceding specification.

The results reveal several patterns. First, the evidence confirms the impact of the SEC Chair on regulatory outcomes, consistent with setting enforcement priorities. Across the outcomes, the average marginal contribution of the SEC Chair is 3%, and it is stronger for imposing monetary sanctions (7.5%). Second, after accounting for the SEC's top leadership and the agency's regional office, the case supervisor captures an additional 11.5–25% of the variation. Across the outcomes, the average contribution of the case supervisor (18.4%) is several times greater than the combined effect of the Chair and regional office fixed effects (5.8%). Since the case supervisor

fixed effects are added after including statute fixed effects, as well as detailed case and defendant characteristics, these estimates reflect the supervisor's incremental contribution after accounting for their specialization in a given type of violation. Third, after controlling for the supervisory attorney, the enforcement team characteristics add little explanatory power, consistent with the case supervisor's role in steering their team and formulating case recommendations. Overall, the combination of case, defendant, and SEC staff attributes explains 46–82% of the variation in case outcomes, indicating an informative decomposition of the SEC's enforcement decisions.

In summary, career attorneys have an independently important effect on SEC enforcement actions beyond the political appointees. Relative to their regional office and team delegates, the case supervisor captures meaningful variation in monetary and nonmonetary sanctions, motivating our focus on these agents.

5.3 Partisan Alignment with Case Defendants

Figure 6 depicts partisan affiliations of supervisory attorneys and case defendants such as CEOs and directors. The figure reveals a pronounced partisan contrast, with 58% of the defendants registered as Republicans and 76% of the attorneys registered as Democrats. Thus, many cases involve ideologically misaligned counterparties, motivating our focus on the role of misalignment in enforcement outcomes. In this analysis, our goal is to study a divergence of intrinsic beliefs, and we use partisan affiliation as one observable proxy for such core values.

The investigation process usually elicits the defendants' ideology. During the investigation, SEC attorneys examine a wide range of the defendants' private communications (emails, phone records, and text messages), monitor their media activity, and investigate professional ties, including donations, lobbying, and connections to various organizations. In addition, enforcement attorneys take sworn testimony from the defendants and engage with them in negotiations and communications, which provide additional signals of intrinsic values. This process is likely to reveal ideological distance indirectly and need not require a deliberate partisan focus.

Political misalignment between enforcement attorneys and defendants may intensify scrutiny, increase disagreement, and reduce the scope for cooperation and compromise. These factors are particularly relevant in our setting, since nearly all cases involve settlement negotiations and require information sharing and cooperation between the defendant and the attorney throughout the multi-year enforcement process. The behaviors and values elicited in these interactions may affect the attorney's subjective assessment of the defendant's character and fitness to serve in leadership roles. These assessments form the legal basis for industry and executive bars, as well as the SEC's undertakings requiring an executive's dismissal, ethics training, or supervised compliance.

We test whether political misalignment between the defendant and supervisory attorney is associated with enforcement sanctions by estimating the following regression:

$$Enforcement\ Outcome_{c,d,t} = \beta \cdot Misaligned(Supervisor)_{c,t} + \vec{X}_{c,t} + FE + \epsilon_{c,d,t} \quad (4)$$

The dependent variable corresponds to an array of monetary and nonmonetary sanctions. The main independent variable, *Misaligned (Supervisor)*, is an indicator equal to one if the supervisory attorney and defendant have opposing political affiliations. Control variables include case and defendant attributes relevant for sanctions. At the case level, we include statute fixed effects that capture law violations, as well as a granular array of indicators corresponding to specific legal provisions such as Rule 10b-5 of the Exchange Act or Section 17(a) of the Securities Act. We also include proxies for misconduct severity such as the incidence of fraud, presence of scienter, degree of the defendant's involvement, and an SEC press release.[7] At the defendant level, we add indicators for the defendant type (e.g., firm, CEO, accountant, or broker), affiliation with an S&P 500 firm, and common aggravating and mitigating factors such as prior criminal history and senior age, respectively.

Our most stringent specifications include supervisory attorney fixed effects. These specifications absorb the effects of an attorney's time-persistent attributes such as intrinsic ideology, innate ability, specialization, and enforcement aggressiveness. These specifications account for the possibility that more aggressive or higher-ability attorneys receive more complex or egregious cases. The attorney fixed effects account for the persistent effect of such individual characteristics on enforcement outcomes.

Other groups of fixed effects absorb several sources of heterogeneity relevant for case outcomes. Year fixed effects account for macroeconomic drivers of enforcement intensity such as changes in the presidential administration, the SEC Chair, and the agency's resources. Regional office fixed effects absorb systematic variation in office jurisdiction and enforcement practices. Industry fixed effects accommodate cross-sector variation in sanction severity. Controls for the enforcement team attributes such as their average tenure, salary, elite education, and team size account for the role of experience and human capital in enforcement outcomes.

Finally, we control for various sources of political alignment with the SEC Chair to account for their role in sanction approval. All specifications control for the defendant's partisan misalignment with the SEC Chair, and additional specifications control for the misalignment between the supervisory attorney and the SEC Chair.

[7] The SEC is more likely to issue press releases for cases involving more severe violations, a pattern we confirm in the data.

Table 9 shows that political misalignment between the defendant and the supervisory attorney is associated with more severe sanctions. Panel A shows this pattern for nonmonetary outcomes. This conclusion holds with comparable point estimates as we progressively enrich the specifications with violation provision fixed effects, industry and office fixed effects, defendant and team characteristics, and supervisory attorney fixed effects. According to the most stringent specifications with supervisory attorney fixed effects, misaligned cases are 3 p.p. less likely to be dismissed, 12 p.p. more likely to impose industry and executive bars, and 9 p.p. more likely to entail SEC undertakings, as shown in columns 3, 6, and 9, respectively.

Panel B shows a similar pattern for monetary sanctions. According to the tightest specifications with supervisory attorney fixed effects (columns 3 and 6), political misalignment between the defendant and the supervisory attorney is associated with a 7 p.p. higher likelihood of monetary sanctions and an additional $13 million in compulsory payments.[8] Monetary sanctions combine civil penalties, disgorgement, and prejudgment interest, and the estimated magnitudes reflect incremental effects after controlling for other types of political alignment: (1) between the SEC Chair and the defendant and (2) between the SEC Chair and the case supervisor. The estimated magnitudes reflect the differences in outcomes for reportedly similar violations. If the misalignment between the defendant and case supervisor is also associated with a stricter classification of the same misconduct or a more aggressive violation count, these magnitudes would reflect a lower bound of the full effects on outcomes.

The bottom rows of both panels report the results of the coefficient stability test proposed in Oster (2019). According to Oster's $|\delta|$ statistics, selection on unobservables would need to be at least 3.2 times as strong as selection on observables to eliminate the estimated associations across the enforcement outcomes.

If the supervisory attorney's partisan affiliation proxies for their core beliefs, the association with case outcomes should strengthen for the most politically active attorneys. To measure an attorney's political activism, we combine signals from their political contributions and voter turnout. The intuition is that an attorney's tendency to vote in every election and fund political campaigns reveals acting on their political beliefs. To calculate individual-level voter turnout, we use administrative voter files from 37 U.S. states and the District of Columbia, as discussed in the data section. These files record whether a voter participates in an election and, if so, whether they vote in person or via an absentee ballot. Using these data, we calculate an attorney's within-state percentile

[8] Applying estimates of column 6 semi-elasticity, $\exp(0.41) - 1 \approx 50\%$, to the $25.6 million mean positive sanction yields ~$13 million.

rank on their voter turnout (share of eligible elections attended) to accommodate state-level differences in the electoral college such as those between swing states and traditionally red or blue states.

We label a supervisory attorney as *Politically Active* if they rank in the top tercile of all supervisory attorneys at the SEC according to their voter turnout or total value of political contributions. We verify that this group of SEC attorneys is highly politically active. The median attorney in this group votes in 87% of the general elections and makes 16 donations totaling $6,063.

Table IA.4 shows that the association between the attorney-defendant misalignment and case outcomes is stronger for politically active supervisory attorneys. This interaction effect is statistically significant in three of the four specifications and shows meaningful point estimates. For example, a defendant's partisan misalignment with a politically active supervisory attorney is associated with a 15 p.p. incremental increase in the probability of an executive bar and a 13 p.p. increase in the probability of a governance intervention (undertaking).

Table IA.5 extends the focus from the supervisory attorney to the entire case team, usually composed of an additional 2–4 SEC attorneys working under the case supervisor. The dependent variables correspond to monetary and nonmonetary sanctions, and the main independent variable, *%Misaligned*, is the share of the enforcement team whose political affiliation is opposite of the defendant's. Panel A uses a continuous version of this measure, standardized by its standard deviation, and Panel B introduces an indicator for teams with an above-median share of misaligned attorneys. All specifications control for violated provisions, case and defendant characteristics, team characteristics, and year and statute fixed effects.

The results are consistent with the baseline supervisor-level analysis. Political misalignment between the defendant and the enforcement team is associated with stronger sanctions. For example, according to Panel A, a one standard deviation increase in the share of misaligned team members is associated with a 4.9 p.p. higher probability of a bar and a 3.3 p.p. higher probability of an undertaking. Panel B uses binary measures of the defendant's misalignment with the enforcement team and shows that an above-median level of misalignment is associated with stricter monetary and nonmonetary sanctions across all measures of case outcomes.

In summary, political misalignment between the defendant and the supervisory attorney is associated with a lower likelihood of case dismissal, a higher frequency of executive bars and governance undertakings, and an increased propensity of monetary sanctions on the extensive and intensive margins. These conclusions persist

when we examine the defendant's political misalignment with the entire case enforcement team. The link between the supervisor-defendant misalignment and case outcomes is stronger for politically active supervisory attorneys.

5.4 Economic Mechanisms: Evidence from Case Documents

This section aims to look inside the enforcement process to understand possible channels through which political misalignment matters for case outcomes. We obtain three groups of enforcement disclosures that describe the investigation, discuss the defendant's interactions with the enforcement team, and explain the SEC's decisions. The first consists of civil complaints and administrative orders, which set out the Commission's allegations and, in settled proceedings, frequently recite the respondent's cooperation and remedial acts. The second consists of SEC litigation releases and press releases, which summarize the action for the public. The third consists of consent final judgments and related court orders, which record the procedural steps, what the defendant agreed to do, and the court's own recognition of the cooperation rendered. We process each of these documents for the 701 case-defendants in our sample. The complaint corpus covers 693 case-defendants (98.9%), the release corpus 496 (70.8%), and the judgment corpus 374 (53.4%); 699 case-defendants (99.7%) are covered by at least one corpus.

The structure of disclosures provides sufficient detail to examine three margins of interactions between the defendant and the attorney team. The first is the extent of cooperation between politically misaligned defendants and the enforcement team. Case documents typically provide assessments of the defendant's cooperation and record instances of the defendant's refusal to cooperate. Examples of noncooperation include the defendant's delays in furnishing documents to the enforcement team, refusal to testify to the supervisory attorney, or declining the enforcement staff's questions and requests. Internet Appendix D.3 provides sample disclosures.

The second margin is whether the provision of evidence and assistance with the investigation is described as voluntary or not, allowing us to differentiate between voluntary assistance vs. more coercive evidence extraction via legal subpoenas. The third margin measures the duration of the investigative process and its speed of progression inferred from key investigation dates reported in the legal disclosures.

Table 10 examines how political misalignment between the defendant and the case supervisor is associated with said margins of the enforcement process. Columns 1 and 2 show that political misalignment is associated with a 4 p.p. greater likelihood of defendant's refusal to cooperate, an economically significant effect equivalent to a 63% increase relative to the mean noncooperation rate of 6.3%. Column 2 shows that these conclusions are robust to including case supervisor fixed effects, which absorb their time-invariant personal

attributes such as their investigation style, speed, and aggressiveness. In other words, the same case supervisor is less likely to elicit cooperation from politically misaligned defendants, as compared to their aligned peers with similar characteristics investigated for the same legal provisions. This evidence is consistent with theoretical predictions (e.g., Tabellini, 2008) and experimental evidence (Balliet et al., 2018) that politically misaligned interactions are more likely to involve resistance and frictions.

Consistent with this interpretation, columns 3 and 4 show that political misalignment is associated with a 5 to 7 p.p. higher probability of compelled assistance. This characterizes the process when documents are subpoenaed under regulatory pressure rather than furnished voluntarily. Consistent with frictions in the interactions between the defendant and the enforcement team, columns 5 and 6 show that misaligned cases take about 10% longer to consummate. Relative to the mean investigation period of thirty months, this effect corresponds to an additional three months of investigation time.

It is possible that Republican and Democratic executives differ in their agreeableness, openness to cooperation, or propensity to commit fraud. While our research design aims to account for these possible confounders by exploiting the variation in the defendant's counterparty, we also test this conjecture directly. To ensure ample statistical power to identify possible differences, we design a large-scale, out-of-sample test of unconditional differences between Republican and Democratic CEOs in their propensity to commit observed financial misconduct and disagree with their financial auditors. To this end, we focus on the CEOs of S&P 1500 firms between 2004 and 2024. To classify their partisan affiliation, we manually match these CEOs to LNPR and retrieve their history of voter registration records. We augment this information with data on earnings restatements, CEOs' disagreement with their auditors, and auditor resignations and dismissals from Audit Analytics. The final sample consists of 3,663 unique CEOs and 26,796 firm-year observations.

Table IA.6 shows that Republican and Democratic CEOs do not differ in their unconditional likelihood to commit earnings restatements, disagree with financial auditors, or trigger auditor resignations. The Democratic CEOs are the omitted group, and the coefficient on *Rep CEO* captures the unconditional partisan differences between Republican and Democratic CEOs across the measures of disagreement and financial misconduct. Across all columns, the point estimates on this variable are near zero, and none of them is statistically significant.

In summary, political misalignment between the defendants and the case supervisor is associated with a lower degree of cooperation, compelled rather than voluntary assistance, and longer time to complete the

investigation, consistent with theoretical predictions of less collaborative interactions. This pattern arises in the presence of political misalignment in repeated, antagonistic interactions. Unconditionally, Republican and Democratic CEOs do not differ in their propensity for disagreement or misconduct in financial settings.

6 Endogeneity and Robustness

6.1 Determinants of Case Assignments

We alert the reader that political misalignment between the attorneys and defendants may be correlated with case assignments. Although supervisory attorney fixed effects absorb persistent personal characteristics, it is possible that more severe cases are assigned to supervisors whose political affiliation differs from the defendants'.

Table 11 examines the role of political alignment in case assignments to SEC offices (Panel A) and supervisory attorneys (Panel B). In Panel A, the unit of observation is an office–case, and the dependent variable is an indicator equal to 100 if an office is selected to litigate a given enforcement action, and 0 otherwise. The variable of interest is the interaction term between the indicator for an SEC office with an above-median share of Democratic attorneys, *High Dem Office*, and the fraction of Republican defendants, *%Rep Def*. We standardize *%Rep Def* by subtracting its sample mean and dividing by its standard deviation. The specification also controls for institutional characteristics that may influence office assignment, including workforce size, geographic jurisdiction, educational credentials, and prior experience with the relevant case type.

We find no evidence that offices with a greater Democratic tilt are disproportionately assigned cases with Republican defendants. The coefficients on *High Dem Office* × *%Rep Def* are economically small and statistically insignificant. Instead, office assignment is strongly related to institutional and organizational factors, including geographic jurisdiction, prior experience with the case type, headquarters status, and personnel size.

Panel B examines the assignment of supervisory attorneys within an SEC office. The unit of observation is a case–defendant–attorney triplet, and the dependent variable equals 100 if the attorney is assigned as the case supervisor and 0 otherwise. The sample is restricted to attorneys who supervise at least one case during our sample period. The key independent variable, *Misaligned Party*, indicates whether the attorney and defendant have opposite partisan affiliations. The specification also controls for attorney attributes relevant for case assignments, including rank, salary, tenure, educational credentials, expertise in the relevant case type, and prior caseload.

We find no evidence of partisan sorting at the attorney level. The coefficient on *Misaligned Party* is small and statistically indistinguishable from zero. Instead, case assignments to supervisory attorneys reflect institutional considerations such as the attorney's credentials, salary, subject-matter expertise, and prior caseload.

Overall, neither office-level nor attorney-level assignment depends systematically on the political alignment between the enforcement staff and defendants.

Finally, we compare the observed distribution of political misalignment in case assignments with a conditionally random distribution. We simulate such a counterfactual distribution using 1,000 bootstrap iterations. In each iteration, supervisors are assigned according to predicted probabilities from a conditional logit model that internalizes the observable drivers of assignment, such as prior caseload, case-type experience, elite top-14 law school, salary, and tenure. Figure 7 plots the resulting distribution and compares it with the realized misalignment rate in the data. The observed misalignment rate is nearly identical to the average rate generated by the simulations. Thus, after conditioning on the institutional factors that shape case assignments, the political alignment between the supervisor and defendant appears to resemble a random draw. This evidence mitigates the concern that cases with particular characteristics are systematically assigned to politically aligned or misaligned supervisors.

6.2 Omitted and Unobservable Characteristics

Another possibility is that misaligned cases involve egregious violations uncaptured by our controls. To evaluate this possibility, we first compare aligned and misaligned cases across a broad set of observable case characteristics. Table IA.7 shows that the two groups are well balanced. They are statistically indistinguishable according to a variety of indicators of case complexity, alleged misconduct, and statutory basis for the charges. Thus, misaligned cases do not appear systematically different along observable dimensions.

However, reported case attributes may not capture some unobservable circumstances of the alleged misconduct. To test this possibility, we rely on market participants with monetary incentives to assess the severity of the alleged misconduct. In particular, we study stock-market reactions to the first public disclosure of the alleged misconduct, a trigger date many months before the future assignment of the SEC enforcement team.

Table 12 reports cumulative abnormal returns around both the trigger date and the resolution date. Around the trigger date, CARs are statistically indistinguishable between aligned and misaligned defendants across all windows [-1,+1], [-1,+5], and [-1,+10]. Panel B confirms this result in multivariate specifications controlling for fraud, Department of Justice involvement, press coverage, proceeding type, and industry fixed effects. Because trigger-date returns capture investors' assessment of the underlying misconduct when it first becomes public, the absence of a differential market reaction suggests that investors do not view misaligned cases as more severe.

By contrast, the resolution of misaligned cases triggers significantly more negative abnormal returns—between two and four percentage points over the [-1,+5] and [-1,+10] windows. These results hold in the univariate tests in Panel A and multivariate specifications in Panel C. The combined pattern suggests that misaligned cases are not viewed as more severe when the misconduct first becomes public. However, the resolution of such cases is associated with enforcement sanctions that the market views as significantly more severe.

Table IA.8 re-estimates our enforcement results after controlling for the market-based proxy for case severity—namely, the announcement return to the first disclosure of the alleged misconduct. For individual defendants, we calculate CARs using the publicly traded firm with which the defendant was affiliated at the time of the alleged misconduct. Because this information is available only for public firms, and because some defendants do not have a clean trigger date uncontaminated by other events, the sample is substantially smaller. We therefore begin in column 1 with a parsimonious specification controlling for *Misaligned (Supervisor)*, *Trigger CAR[-1,+10],* firm size, and basic case characteristics. The coefficient on *Misaligned (Supervisor)* remains positive and statistically significant. The coefficient on trigger-date CAR is negative, consistent with more adverse market reactions to the initial disclosure being associated with higher subsequent penalties.

Columns 2 and 3 add statute fixed effects, violation-provision indicators, and additional severity controls. The misalignment coefficient remains positive and statistically significant, while the coefficient on trigger-date CAR becomes smaller and statistically weaker, with p-values between 0.12 and 0.18. This attenuation is consistent with trigger-date CARs partly capturing observable dimensions of case severity. Columns 4–6 repeat the analysis using an indicator for whether the defendant is barred as the dependent variable. The coefficient on *Misaligned (Supervisor)* remains positive and statistically significant across specifications, whereas the coefficient on trigger-date CAR is generally negative but statistically insignificant at conventional levels. Thus, the association between supervisory misalignment and enforcement outcomes persists after controlling for the market's assessment of the underlying misconduct when it first becomes public.

In summary, we find no significant correlation between the supervisory attorney's ideology and their assigned cases. After conditioning on the institutional drivers of case assignments, political alignment between the supervisor and the defendant approximates a random draw. Evidence from supervisory attorney fixed effects, coefficient stability tests, and market measures of case severity narrows the scope for an omitted variable but does not rule it out. Such a variable would need to generate stricter sanctions for the same violations, remain

unobservable to investors, increase in political activism, and vary within the same supervisor in the direction predicted by the defendant's ideological match. Yet a perfect treatment of all endogeneity sources would typically require a controlled experiment. Since this is difficult to achieve in the field, our evidence does not imply causality.

7. Conclusion

We extend inquiry from the political appointees who formulate financial regulation to the bureaucrats who translate it into practice. Our evidence highlights the importance of an understudied class of regulators and offers empirical support for the models of a bottom-up bureaucracy in which field agents shape regulatory outcomes. Our evidence shows the importance of political misalignment for case outcomes but does not imply that this effect is necessarily inefficient. A comprehensive efficiency evaluation would require a general equilibrium benchmark for the optimal level of sanctions, and this direction presents an avenue for future research.

By studying one regulatory agency, we take a step toward understanding the sources and consequences of the partisan composition of unelected government agents and their marginal impact on policy implementation. We hope that future work will expand this focus to other government institutions, which collectively employ over two million civil servants responsible for day-to-day decisions across most sectors of the economy.

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Figure 1: Initial Placements after Law School

This figure shows the distribution of initial job placements of SEC attorneys after graduating from law school.

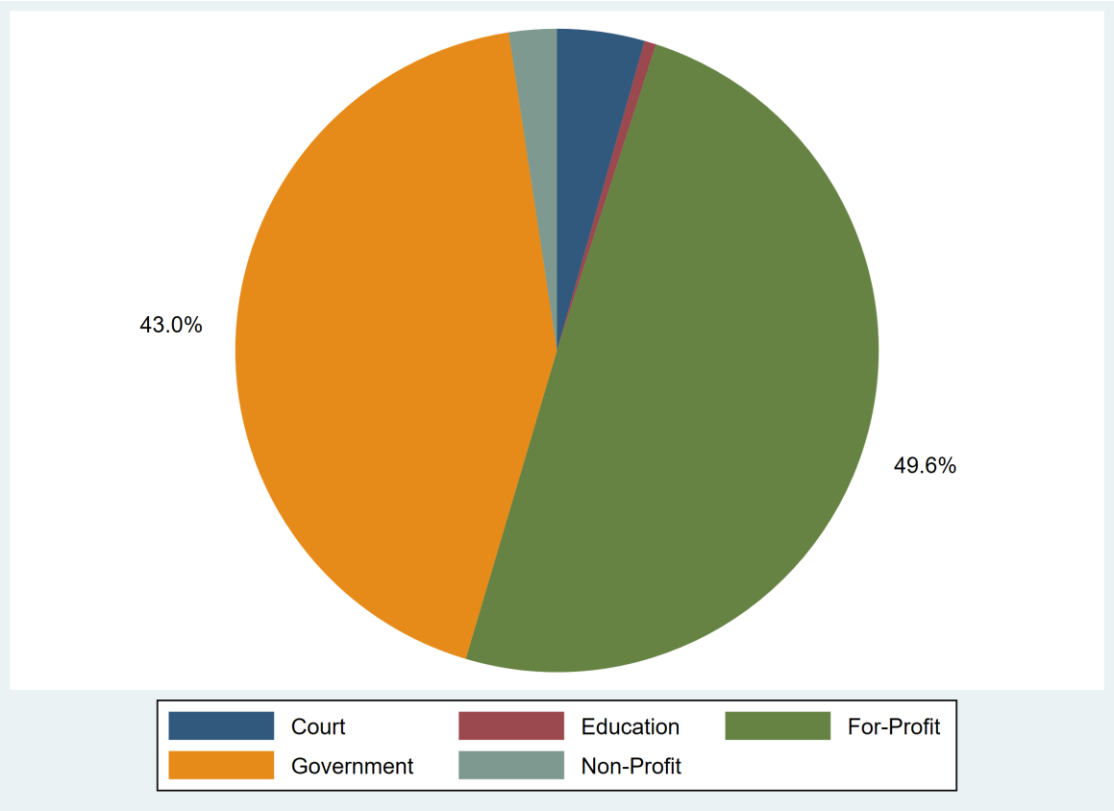
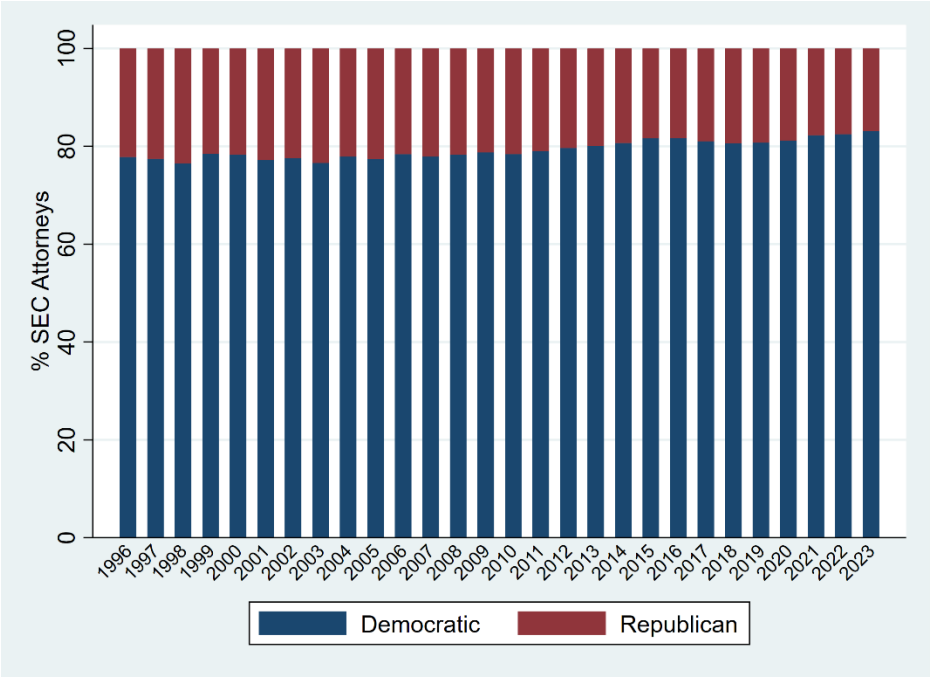


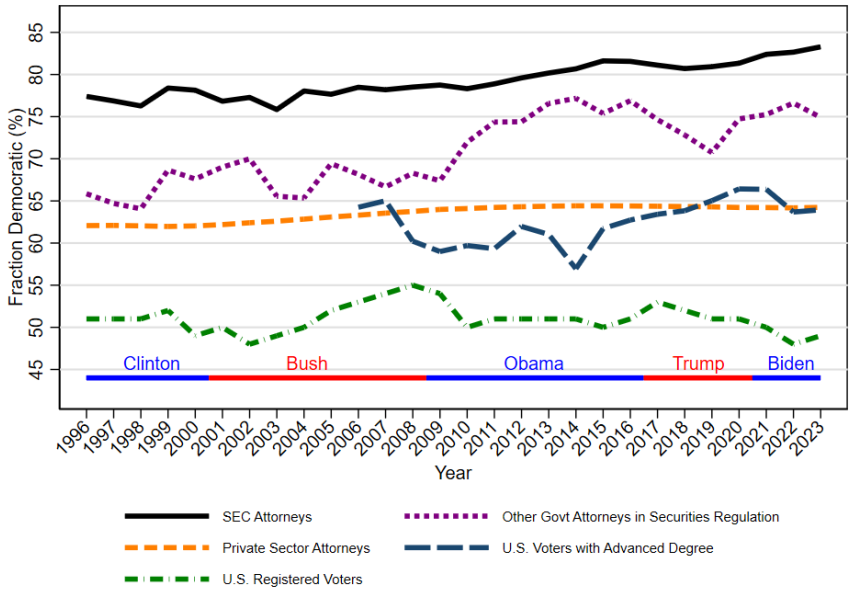
Figure 2: Political Affiliation of SEC Attorneys

Panel A shows the annual share of SEC attorneys identified as Democrats or Republicans from 1996 to 2023. The blue portion of each bar represents the percentage of SEC attorneys identified as Democrats, and the red portion represents the percentage identified as Republicans. Panel B compares the annual share of Democrats among SEC attorneys (black solid line) with four benchmarks. The first is other government attorneys in securities regulation (purple dotted line): attorneys employed at the CFTC, FINRA, SIPC, NASAA, PCAOB, or a state securities regulatory agency. The second is private sector attorneys who have never worked in the public sector or for a nonprofit (orange dashed line). The third is U.S. voters with an advanced degree (navy long-dashed line). The fourth is all U.S. registered voters (green dash-dot line). The advanced-degree series is the weighted share of respondents with a master's, professional, or doctoral degree who identify with or lean toward the Democratic Party, among those identifying with or leaning toward either major party (source: Cooperative Election Study, available since 2006). The registered-voter series is the share of registered voters who identify with or lean toward the Democratic Party, from the Pew Research Center. Presidential administrations are indicated along the horizontal axis. Panel C shows the political leaning of SEC attorneys by office location. For each SEC office, the blue portion of the bar represents the percentage of attorneys identified as Democrats, and the red portion represents the percentage identified as Republicans. Panel D reports the political affiliation of new SEC attorney hires across presidential administrations. The Democratic share of SEC attorneys is calculated using both voter registration and political donation records. The exception is Panel B, where the attorney series uses voter registration only, and the advanced-degree and registered-voter series use survey party identification.

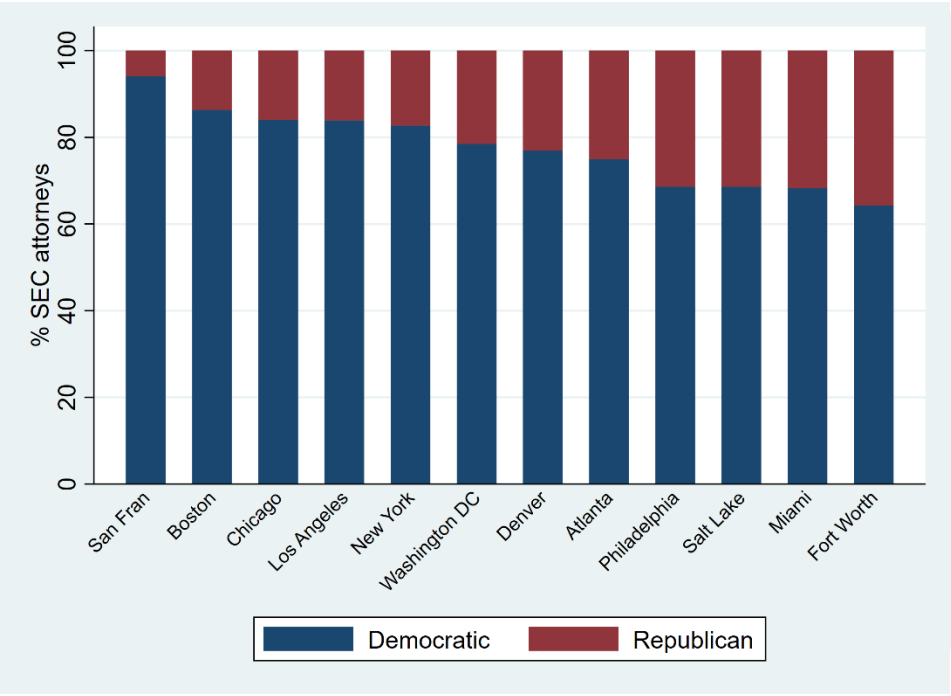
Panel A: Political Affiliation of SEC Attorneys Over Time



Panel B: Political Affiliation vs. Benchmarks



Panel C: Political Affiliation by Office



Panel D: Political Affiliation of New Hires

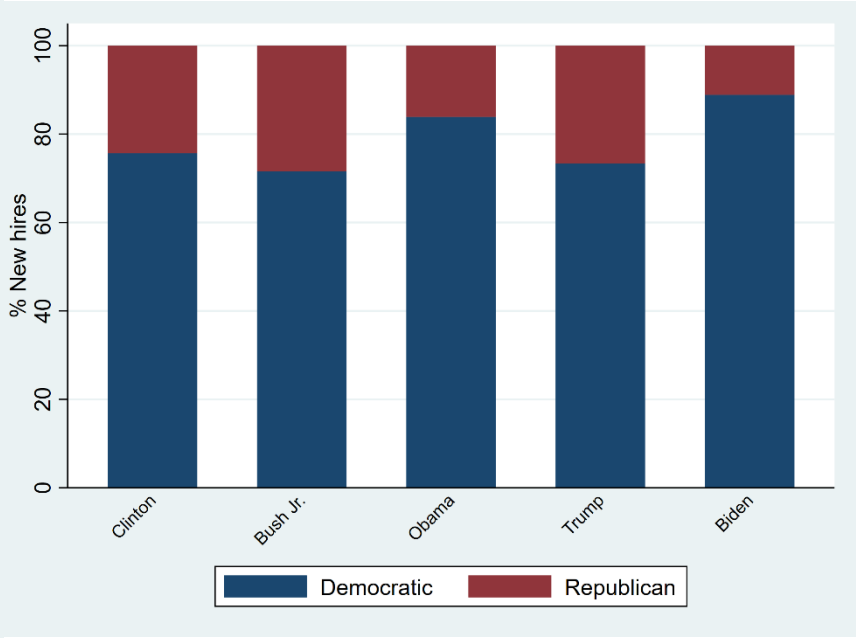
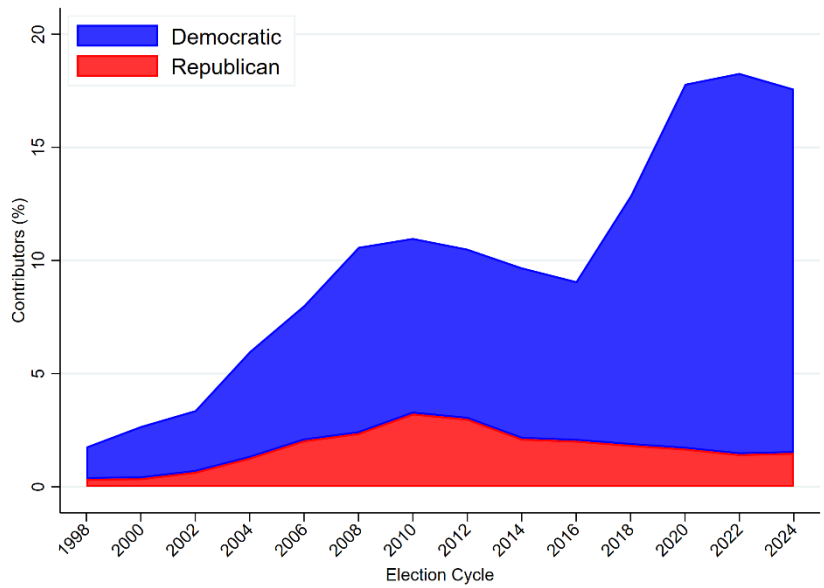


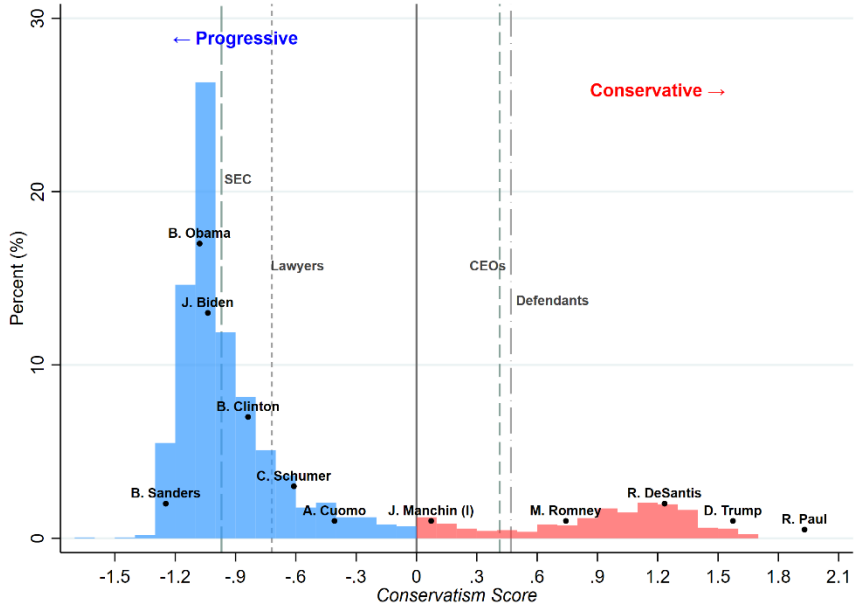
Figure 3: Political Donations of SEC Attorneys

This figure illustrates the political leaning of SEC attorneys based on political donations. Panel A shows the share of attorneys making political donations over time. The blue shaded area represents the percentage of contributors donating to Democratic candidates, while the red shaded area represents the percentage donating to Republican candidates. Values are smoothed using a two-election-cycle rolling average to reduce short-term variation and highlight longer-term trends. Panel B displays the distribution of SEC donors across the conservatism score (CFscore) developed by Bonica (2014), with negative values indicating a more progressive orientation and positive values indicating a more conservative orientation. Panel C plots the change in the composition of SEC donors between 1996 and 2023 across different CFscores. Panel D plots the political leaning of the median SEC attorney over time, using the progressive score defined as CFscore multiplied by -1.

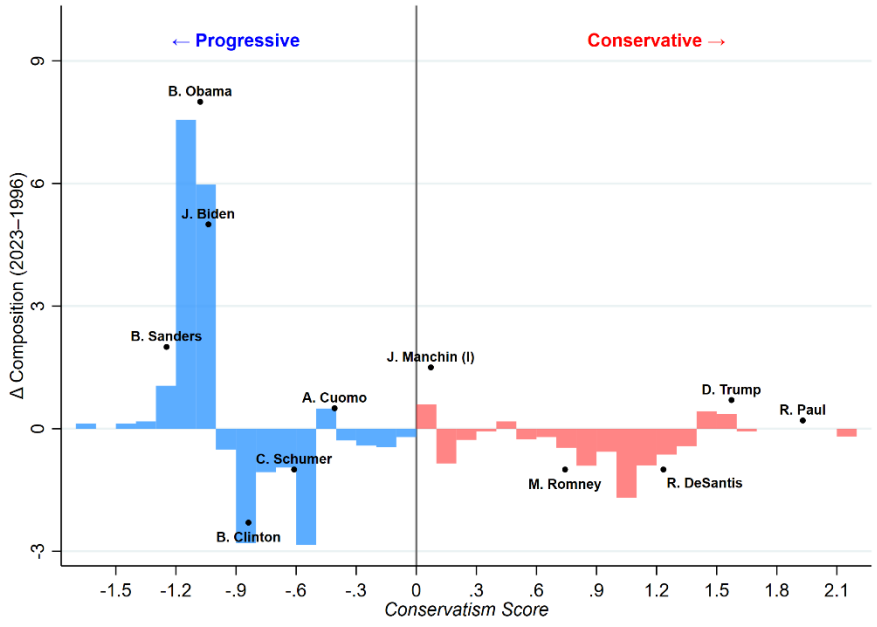
Panel A: Extent and Composition of SEC Donations



Panel B: Distribution of SEC Ideology



Panel C: Changes in the Distribution of SEC Ideology



Panel D: Political Leaning of the Median SEC Attorney Over Time

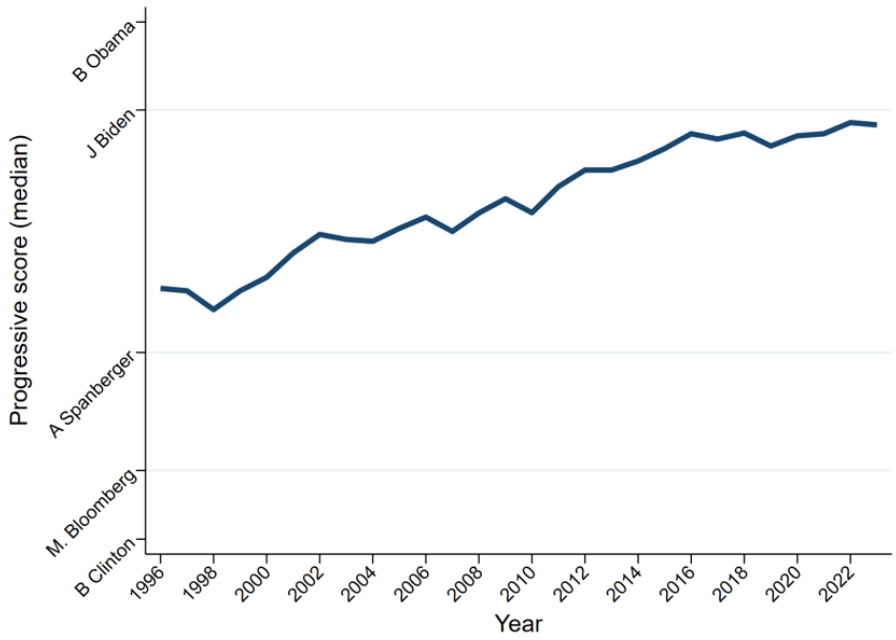


Figure 4: Annual Pay Growth Before and After the SEC's Pay Reform

This figure plots the average annual percentage increase in SEC attorney pay from 1998 to 2005. The vertical dashed lines mark the introduction of special pay authority in 2001 and the implementation of pay parity in 2002.

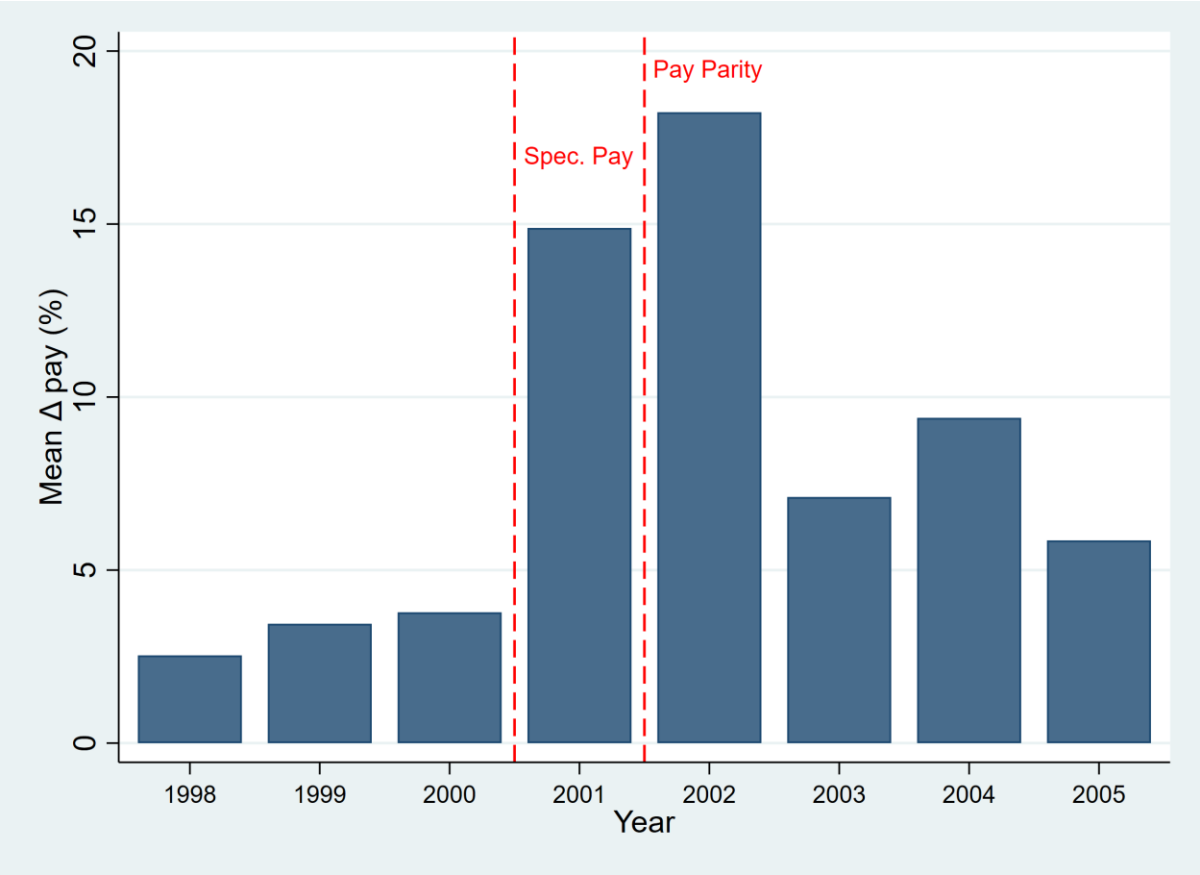


Figure 5: Investigation and Enforcement Process

This figure illustrates the stages of the SEC's investigation and enforcement process. The process begins when a trigger event, such as a whistleblower tip, brings potential securities law violations to the attention of the SEC. Career enforcement attorneys then assess whether to open a Matter Under Inquiry (MUI), which may escalate to a formal investigation with subpoena authority, a Wells Notice, a Commission vote, and ultimately case resolution through settlement or litigation.



Trigger event

Violations are revealed (e.g., restate earnings)

Informal Inquiry (Matter Under Inquiry, MUI) / **Formal Investigation**

Career staff

- Evaluate whether an investigation is warranted
- Obtain subpoenas for testimony and records
- Interview witnesses and obtain documents
- Analyze evidence and develop legal theories
- Supervisors conduct weekly/quarterly case reviews with staff

Wells Notice

Staff notify the defendant that they intend to recommend enforcement charges. Opportunity for defendants to submit a Wells response

Career staff

- Review Wells response
- Meet with defendants
- Reassess evidence
- Conduct additional investigation if necessary
- Recommend whether to bring charges

Enforcement (Administrative or civil) / **Resolution**

Career staff

- Evaluate cooperation, mitigating, and aggravating factors
- Prepare recommendation for enforcement charges and penalties
- Negotiate potential settlements with defendants
- Litigate the case

Commissioners

- Vote to authorize enforcement action
- Approve settlements

Judges

- Approve settlement
- Adjudicate contested cases
- Determine remedies and sanctions after trial

Figure 6: Political Affiliation of Defendants and Enforcement Supervisory Attorneys

This figure reports the political affiliation of defendants and SEC supervisory attorneys. Individual defendants' political affiliation is measured using voter registration and political contribution records. Firm defendants' political affiliation is proxied using the political leaning of the firm's CEO. The political affiliation of supervisors reflects the political leaning of supervisory attorneys listed in complaints or SEC press releases for each case. Values represent shares within each group.

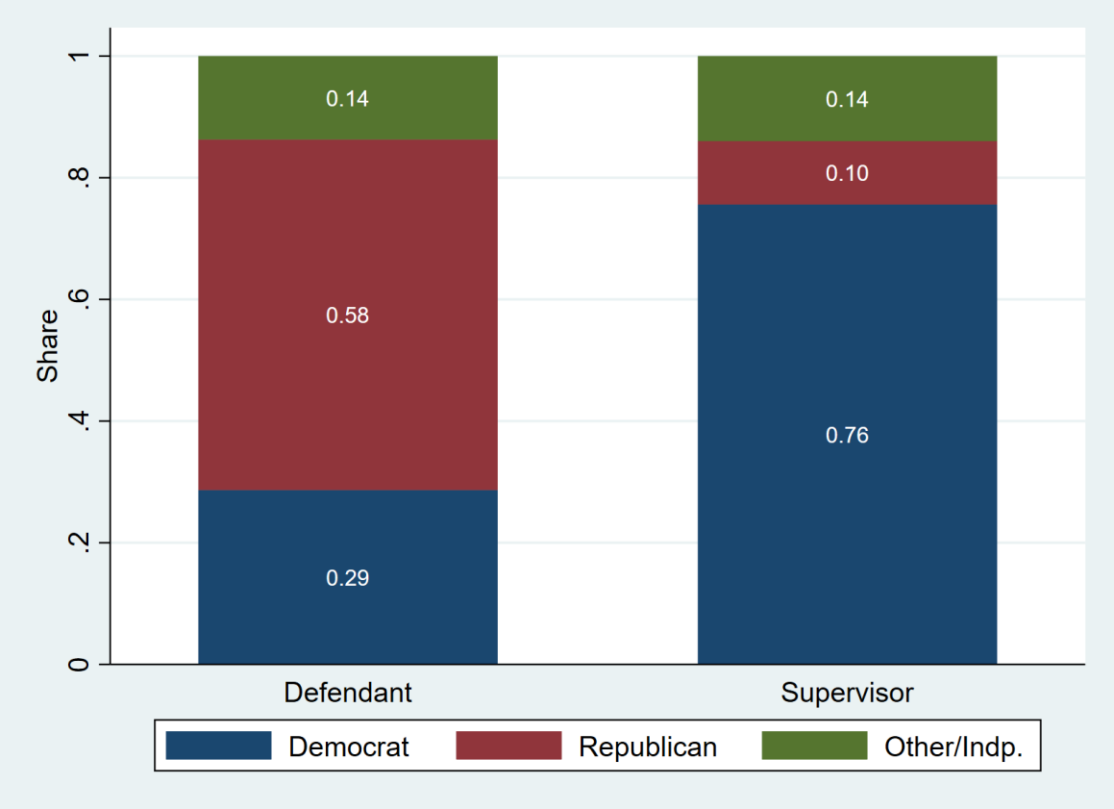


Figure 7: Counterfactual Simulation of Political Misalignment

This figure plots the distribution of simulated political misalignment rates under a counterfactual assignment procedure based on 1,000 bootstrap iterations. The blue dashed line shows the distribution of pseudo misalignment, which assigns supervisors according to predicted selection probabilities from a conditional logit model that conditions on observable assignment determinants, including prior caseload, past case experience, tenure, top-14 law school, and salary. The vertical dashed line marks the actual political misalignment rate observed in the data. The sample is restricted to case-defendants handled by attorneys whose political affiliation is identified and who were assigned to at least one case during the sample period.

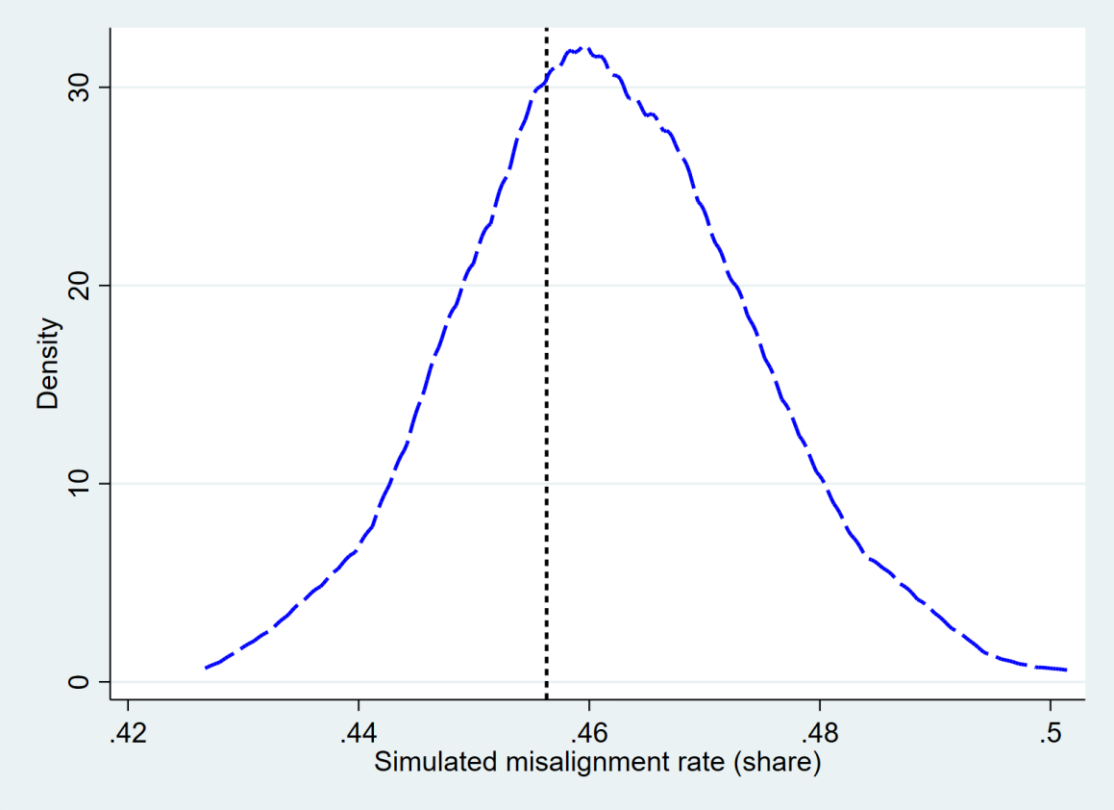


Table 1: Summary Statistics – SEC Attorneys

This table presents summary statistics for 4,457 SEC attorneys in the sample. Variables are grouped into five categories: demographics, education, professional career, financial attributes, and political attributes. For each variable, we report the mean, the 25th, 50th, and 75th percentiles, and the standard deviation. Variable definitions are in Internet Appendix B.

	Mean	P25	P50	P75	SD
Panel A: Demographics, Education, Career					
Demographics					
Male	0.58	0.00	1.00	1.00	0.49
Age	40.44	34.50	39.00	45.00	8.38
Immigrant	0.02	0.00	0.00	0.00	0.13
Minority	0.24	0.00	0.00	0.00	0.43
Education					
Top 14 Law School	0.40	0.00	0.00	1.00	0.49
LSAT Percentile	80.80	71.60	89.80	94.50	17.34
PhD	0.01	0.00	0.00	0.00	0.09
MBA	0.05	0.00	0.00	0.00	0.21
Other Master	0.11	0.00	0.00	0.00	0.32
Ivy League (Bachelor)	0.13	0.00	0.00	0.00	0.33
Top 20 (Bachelor)	0.19	0.00	0.00	0.00	0.40
Professional career					
SEC Tenure (Years)	11.65	4.00	8.00	17.00	9.82
Rulemaker	0.16	0.00	0.00	0.00	0.37
Max Rank	14.38	14.00	14.00	15.00	1.01
Regional Office Experience	0.39	0.00	0.00	1.00	0.49
Only SEC	0.09	0.00	0.00	0.00	0.29
1st Placement SEC	0.16	0.00	0.00	0.00	0.37
Financial attributes					
Median Salary ($000s)	210.83	168.96	217.55	247.48	51.94
Avg Bonus ($000s)	3.07	1.44	2.20	3.72	3.06
% Years with Bonus	0.34	0.09	0.33	0.50	0.27
Homeowner	0.75	1.00	1.00	1.00	0.43
#Properties Currently Owned	1.79	1.00	1.00	2.00	1.31
Primary Home Purchase Price ($000s)	838.68	390.00	638.00	951.25	3235.90
Mkt value of Real Estate Assets ($000s)	1524.54	696.90	1057.75	1678.34	3036.42
Panel B: Political attributes					
Registered Voter	0.85	1.00	1.00	1.00	0.36
Donor	0.50	0.00	1.00	1.00	0.50
$ Total Contributions ($000s)	16.91	0.41	1.73	7.58	89.44
# Total Contributions	40.19	3.00	9.00	30.00	231.23
$ Contributed at SEC ($000s)	2.65	0.17	0.48	1.49	14.89
# Contributed at SEC	7.25	1.00	3.00	7.00	15.28
% Donated to Democrat ($)	0.74	0.57	0.98	1.00	0.38
% Donated to Republican ($)	0.15	0.00	0.00	0.04	0.32
Dem	0.62	0.00	1.00	1.00	0.49
Rep	0.17	0.00	0.00	0.00	0.37

Table 2: Comparison of SEC and Private Sector Attorneys

This table compares the characteristics of 4,457 SEC attorneys with 161,452 private sector attorneys, where the latter are defined as attorneys who have never worked for the government nor for a nonprofit organization. Variables are grouped into four categories: demographics, education, career trajectory, and political attributes. For each variable, the table reports the mean for SEC attorneys, the mean for private sector attorneys and the difference in means. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively. Variable definitions are in Internet Appendix B.

	SEC	Private Sector	Difference
Panel A: Demographics, Education, Career			
Demographics			
Male	0.583	0.550	0.032***
Immigrant	0.015	0.009	0.007***
Minority	0.240	0.167	0.073***
Age Grad Law School	26.830	27.376	-0.547***
Education			
LSAT Percentile	80.797	70.120	10.677***
Top 14 Law School	0.406	0.155	0.251***
Ivy League (Bachelor)	0.128	0.064	0.065***
Top 20 (Bachelor)	0.194	0.128	0.066***
PhD	0.008	0.003	0.004***
MBA	0.047	0.045	0.002
Other Master	0.111	0.077	0.034***
Career trajectory			
1st Job Placement in Home State	0.261	0.428	-0.167***
Tenure per Employer	7.354	10.671	-3.317***
Panel B: Political attributes			
Dem Voter	0.617	0.462	0.155***
Rep Voter	0.169	0.255	-0.086***
Inde/Other/Switcher Voter	0.214	0.282	-0.069***

Table 3: Political Affiliation and Post–Law School Career Paths

This table examines how political affiliation is associated with career choices after law school. The key independent variable is *Dem*, an indicator equal to one if an attorney is a registered Democratic voter and zero otherwise. The sample excludes independent voters, voters affiliated with other parties, and party switchers. *Top 14 Law School* is an indicator equal to one if the attorney graduated from a top-14 law school and zero otherwise. Panels A, B, and C report estimates from linear probability models. Panel A presents results for the full sample, where the dependent variable equals 100 if an attorney joined the government or a nonprofit organization in any year after graduating from law school and zero otherwise. Panel B restricts the sample to attorneys who either joined the SEC or worked only in the private sector after graduation, with the dependent variable equal to 100 if the attorney joined the SEC post-graduation. Panel C restricts the sample to attorneys who joined the public or nonprofit sector after graduation, with the dependent variable equal to 100 if the attorney joined the SEC post-graduation. Panel D reports estimates from a multinomial logit model, where the omitted category is joining the private sector post-graduation. Magnitude (% of Mean) is the percentage effect of *Dem* relative to the sample mean of the dependent variable. Standard errors, clustered by the state of the attorney's law school, are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Full Sample							
Outcome:	1(Public service)						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Dem	12.71***	10.07***	8.80***	8.26***	7.94***	7.54***	7.01***
	(0.56)	(0.47)	(0.48)	(0.45)	(0.42)	(0.43)	(0.36)
Top 14 Law School					3.70***	3.42**	
					(1.25)	(1.52)	
R2	0.014	0.120	0.128	0.144	0.145	0.160	0.198
N	268,195	268,195	255,960	217,757	217,757	217,757	217,757
Magnitude (% of Mean)	19.77	15.65	13.76	12.61	12.11	11.51	10.97
Panel B: SEC vs. Private Sector							
Outcome:	1(SEC)						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Dem	1.54***	1.59***	1.40***	1.37***	1.04***	0.92***	0.80***
	(0.28)	(0.28)	(0.23)	(0.23)	(0.20)	(0.16)	(0.15)
Top 14 Law School					4.24***	3.58***	
					(0.44)	(0.61)	
R2	0.002	0.004	0.047	0.078	0.087	0.119	0.176
N	98,195	98,195	94,483	76,963	76,963	76,963	76,963
Magnitude (% of Mean)	59.88	61.75	61.21	55.13	41.65	36.96	34.79
Panel C: SEC vs. Other Public Service/Nonprofit							
Outcome:	1(SEC)						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Dem	0.22**	0.38***	0.45***	0.40***	0.23**	0.16*	0.06
	(0.09)	(0.09)	(0.09)	(0.10)	(0.09)	(0.08)	(0.08)
Top 14 Law School					1.90***	1.67***	
					(0.36)	(0.39)	
R2	0.000	0.011	0.052	0.081	0.084	0.109	0.158
N	172,511	172,511	163,635	142,707	142,707	142,707	142,707
Magnitude (% of Mean)	15.36	25.89	34.24	29.93	16.89	11.76	4.85
Cohort FE	No	Yes	No	No	No	No	No
Cohort×Gender FE	No	No	Yes	Yes	Yes	Yes	Yes
Cohort×Race FE	No	No	Yes	Yes	Yes	Yes	Yes
Cohort×State Origin FE	No	No	No	Yes	Yes	Yes	Yes
Cohort×JD State FE	No	No	No	No	No	Yes	No
Cohort×Law School FE	No	No	No	No	No	No	Yes

Panel D: Multinomial Logit		
Outcome:	1(non-SEC Public Service)	1(SEC)
	(1)	(2)
Dem	0.453***	0.547***
	(0.0206)	(0.0606)
Magnitude (% of Mean)	14.05%	28.11%
Cohort FE	Yes	Yes
Top 14 Law School	Yes	Yes
N	268,195	268,195
Pseudo R2	0.1016	0.1016

Table 4: Political Affiliation and Exit

This table examines the relationship between political affiliation and the likelihood of exiting the SEC. The dependent variable equals 100 if an attorney left the SEC in the following year and zero otherwise. The key independent variable is *Dem*, an indicator equal to one if an attorney is a registered Democratic voter or donor and zero otherwise. The sample excludes attorneys whose political affiliation is neither Democratic nor Republican. *Male* is an indicator equal to one if the attorney is male; *Immigrant* is an indicator equal to one if the attorney obtained a Social Security number after age 20; and *Local Origin* is an indicator equal to one if the attorney's home state matches the state of the SEC office where they work. Magnitude (% of Mean) is the percentage effect of *Dem* relative to the sample mean of the dependent variable. Standard errors, clustered at the attorney level, are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

Outcome	*Exit*				
	(1)	(2)	(3)	(4)	(5)
Dem	-1.56***	-1.55***	-1.51***	-1.40***	-1.96**
	(0.40)	(0.41)	(0.47)	(0.48)	(0.96)
Male		0.86***	1.00***	0.94***	1.51**
		(0.29)	(0.34)	(0.35)	(0.71)
Immigrant			1.78	1.97	2.51
			(1.63)	(1.67)	(2.44)
Local Origin			-0.89*	-0.88*	-0.59
			(0.50)	(0.53)	(1.14)
Year FE	Yes	No	No	No	No
Office×Year FE	No	Yes	Yes	No	No
Office×Rank×Year FE	No	No	No	Yes	Yes
Law School×SEC Cohort FE	No	No	No	No	Yes
R2	0.015	0.026	0.031	0.068	0.181
N	31,445	31,339	23,808	23,801	18,827
Magnitude (% of Mean)	-23.46	-23.28	-22.64	-21.07	-26.98

Table 5: Political Affiliation and Career Achievement

This table examines the relationship between political affiliation and career achievement at the SEC. We report estimates from ordinary least squares (OLS) models. In Columns 1 and 2, the dependent variable equals 100 if an attorney achieved entry-level managerial status during their SEC career and zero otherwise. In Columns 3 and 4, the dependent variable equals 100 if an attorney achieved executive status during their SEC career and zero otherwise. The key independent variable is *Dem*, an indicator equal to one if an attorney is a registered Democratic voter or donor and zero otherwise. The sample excludes attorneys whose political affiliation is neither Democratic nor Republican. *Male* is an indicator equal to one if the attorney is male; *Top 14 Law School* is an indicator for an elite law school; *Near DC Origin* is an indicator equal to one if the attorney's home state is in Washington, D.C., Maryland, or Virginia; and *Regional Office* is an indicator equal to one if the attorney has ever worked at an SEC regional office. Magnitude (% of Mean) is the percentage effect of *Dem* relative to the sample mean of the dependent variable. Standard errors, clustered at the attorney level, are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

Outcome	*Manager*		*Executive*	
	(1)	(2)	(3)	(4)
Dem	4.20**	3.35*	3.56**	2.96*
	(1.88)	(2.02)	(1.66)	(1.80)
Male	2.77*	1.01	2.00	1.34
	(1.51)	(1.62)	(1.35)	(1.45)
Top 14 Law School		7.31***		7.73***
		(1.65)		(1.52)
Near DC Origin		0.92		-0.34
		(2.69)		(2.40)
Regional Office		-0.27		1.52
		(1.65)		(1.51)
SEC Cohort FE	Yes	Yes	Yes	Yes
R2	0.151	0.164	0.093	0.111
N	3,407	2,933	3,407	2,933
Magnitude (% of Mean)	13.23	10.53	17.13	14.21

Table 6: Political Affiliation and Post-SEC Destination

This table examines the relationship between political affiliation and post-SEC career choices, excluding internal transfers within the government. In Columns 1–4, the dependent variable equals 100 if an attorney joins a nonprofit organization after leaving the SEC. In Columns 5–8, the dependent variable equals 100 if an attorney joins a nonprofit financial regulator (i.e., the PCAOB or FINRA). The key independent variable is *Dem*, an indicator equal to one if an attorney is a registered Democratic voter or donor and zero otherwise. Attorneys with neither Democratic nor Republican affiliation are excluded from the sample. *Male* equals one if the attorney is male. *Log(Tenure)* is the natural logarithm of years worked at the SEC. *Top 14 Law School* equals one if the attorney graduated from a top-14 law school. *Immigrant* equals one if the attorney obtained a Social Security number after age 20. Magnitude (% of Mean) is the percentage effect of *Dem* relative to the sample mean of the dependent variable. Standard errors, clustered at the attorney level, are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	Nonprofit				*Financial Regulator*			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Dem	5.27**	4.99**	4.22*	4.11	2.30	2.65*	2.73*	2.64*
	(2.27)	(2.31)	(2.37)	(2.62)	(1.42)	(1.43)	(1.46)	(1.59)
Male			-3.77	-3.93			-0.37	-1.05
			(2.31)	(2.48)			(1.40)	(1.57)
Log(Tenure)			4.47***	5.18***			2.83***	3.01***
			(1.63)	(1.76)			(0.86)	(0.97)
Top 14 Law School			2.60	2.83			-0.49	-1.14
			(2.21)	(2.42)			(1.35)	(1.53)
Immigrant			-10.09*	-10.81*			0.75	1.14
			(5.55)	(6.53)			(5.16)	(5.64)
Office FE	Yes	Yes	Yes	No	Yes	Yes	Yes	No
Exit Year FE	No	Yes	Yes	No	No	Yes	Yes	No
Office×Exit Year FE	No	No	No	Yes	No	No	No	Yes
R2	0.017	0.039	0.055	0.115	0.018	0.038	0.047	0.083
N	1,212	1,212	1,180	1,180	1,212	1,212	1,180	1,180
Magnitude (% of Mean)	34.53	32.70	27.65	26.91	45.69	52.68	54.26	52.46

Table 7: The Role of Pecuniary Motives

This table examines how pecuniary incentives shape the SEC's liberal tilt. In all panels, *Dem* (*Rep*) equals one if the attorney is a registered Democratic (Republican) voter or donor. In Panel A, the outcome is the pay differential between the private sector and the SEC at the time of entry (Columns 1–3); an indicator multiplied by 100 for joining the SEC immediately after law school (Columns 4–6); or an indicator multiplied by 100 for joining the SEC as a law clerk (Columns 7–9). Magnitude (% of SD) and Magnitude (% of Mean) report the size of the estimated Republican effect relative to the sample standard deviation and mean of the dependent variable, respectively. In Panel B, the outcome equals 100 if the attorney leaves the SEC in the following year. *Private–Public Pay Gap (%)* is calculated as $Private\ pay_{it+1}/SEC\ Pay_{it} - 1$ and standardized by subtracting the mean and dividing by the standard deviation. *Effect on Dem* and *P-value of effect on Dem* report the change in Democratic attorneys' outcome propensity, as *Private–Public Pay Gap (%)* increases by 1-SD relative to its mean, and the corresponding p-value of a test of equality to zero. In Panel C, the outcome equals 100 if the attorney joins a nonprofit rather than the private sector. In Panel D, the outcome variable is similar to Panel B, but the sample is restricted to attorneys employed at the SEC prior to 2001 and to a ±3-year window around the pay reform, and *Post* equals one for years 2001 and later. Variable definitions are in Internet Appendix B. Standard errors, clustered at the attorney level, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Entry Timing

Outcome:	Private Sector – SEC Pay			Fresh Graduate			Law Clerk		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Rep	-9,236.2**	-10,197.1**	-11,749.8**	8.1***	9.1**	9.9***	8.0***	10.8***	8.6***
	(4,119.4)	(4,958.7)	(5,111.5)	(3.0)	(3.6)	(3.6)	(2.6)	(3.1)	(3.0)
Male		-2,700.0	-1,516.8		-3.4	-5.0		-4.0	-1.2
		(4,551.5)	(4,618.1)		(3.0)	(3.1)		(2.5)	(2.5)
Local Origin		4,030.0	5,559.8		4.0	-0.8		-2.1	-2.0
		(6,230.3)	(6,343.5)		(4.5)	(4.3)		(3.9)	(3.8)
Immigrant		5,599.4	9,778.7		-14.5	-10.7		-17.1***	-12.9**
		(22,930.2)	(19,380.6)		(11.5)	(14.8)		(3.2)	(5.5)
Top 14 Law School			4,726.4			-14.0***			-18.2***
			(4,577.3)			(3.0)			(2.4)
Office FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Graduation year FE	No	No	Yes	No	No	Yes	No	No	Yes
R2	0.033	0.040	0.207	0.032	0.039	0.277	0.060	0.081	0.245
N	1,047	717	648	1,272	916	808	1,324	946	838
Magnitude (% of SD)	-15.22	-16.80	-19.36						
Magnitude (% of Mean)				32.48	36.48	39.51	32.04	43.11	34.39

Panel B: Exit Timing			
Outcome:		*Exit*	
Private-Public Pay Gap (%)	0.96**	1.08*	2.18***
	(0.43)	(0.61)	(0.65)
Dem×Private-Public Pay Gap (%)	-0.91**	-1.14**	-1.15**
	(0.45)	(0.55)	(0.55)
Dem	-1.33***	-1.46***	-1.34***
	(0.40)	(0.48)	(0.49)
Male	0.99***	1.03***	1.02***
	(0.29)	(0.35)	(0.35)
Immigrant		2.90	3.08*
		(1.91)	(1.87)
Local Origin		-0.87*	-0.75
		(0.52)	(0.54)
Controls×Private-Public Pay Gap (%)	No	Yes	Yes
Year FE	Yes	No	No
Office×Year FE	No	Yes	No
Office×Rank×Year FE	No	No	Yes
R2	0.011	0.028	0.063
N	28,853	21,743	21,743
Effect on Dem	0.05	-0.07	1.04
P-value of effect on Dem	0.81	0.86	0.01
Panel C: Destination Choice			
Outcome:		$NonProfit$	
Private-Public Pay Gap (%)	-8.32***	-10.36***	-8.68***
	(2.31)	(2.61)	(2.90)
Dem×Private-Public Pay Gap (%)	5.57**	6.71***	6.73***
	(2.21)	(2.49)	(2.54)
Dem	1.72	1.80	1.61
	(2.68)	(2.95)	(3.04)
Male	-4.58*	-4.39	-4.88*
	(2.54)	(2.79)	(2.80)
Log(Tenure)			3.82*
			(2.11)
Top 14 Law School			3.15
			(2.83)
Immigrant			-11.73*
			(6.87)
Year FE	Yes	No	No
Office×Year FE	No	Yes	Yes
R2	0.037	0.116	0.128
N	1,015	1,015	994
Effect on Dem	-2.75	-3.65	-1.94
P-value of effect on Dem	0.13	0.08	0.42
Panel D: SEC Pay Reform and Exits			
Outcome:		*Exit*	
Rep	5.74***	6.08***	5.86***
	(1.70)	(1.72)	(1.77)
Rep×Post	-4.11**	-4.45**	-4.17*
	(2.09)	(2.12)	(2.17)
Year FE	Yes	No	No
Office×Year FE	No	Yes	No
Office×Rank×Year FE	No	No	Yes
R2	0.017	0.033	0.089
N	5,532	5,532	5,532

Table 8: Variance Decomposition

This table reports a sequential variance decomposition of SEC enforcement outcomes. The decomposition is based on a series of nested regressions in which observable characteristics and fixed effects are added in blocks. The specification begins with fixed effects for the set of statutory provisions alleged and progressively adds observable case characteristics, indicators for the primary provision violated, defendant characteristics, SEC Chair fixed effects, SEC office fixed effects, supervisory attorney fixed effects, and enforcement team characteristics. Entries report the incremental increase in R^2 attributable to each block relative to the preceding specification. Because the decomposition is sequential, variation common to more than one block is attributed to whichever block enters first; the ordering here loads case and defendant observables ahead of the agency hierarchy, so the fixed-effect contributions are conservative. The row "= Aggregate Case attributes" sums the first three blocks and reports the total share of variation explained by the case's alleged conduct before any agency-hierarchy fixed effects are introduced. The final row reports the share of variance that remains unexplained after including all fixed effects and controls in the full specification. Case attributes include indicators for whether the case involves fraud, whether the Department of Justice is involved, whether the case is associated with an SEC press release, whether the action is administrative, whether the defendant is charged with aiding and abetting, as a control person, or with causing a violation, whether the conduct likely involves scienter, and whether the case is negligence- or internal-controls-based, together with indicators for the primary statutory provision allegedly violated. An undertaking is a nonmonetary remedial obligation imposed in the resolution, such as a corporate-governance reform, a compliance consultant, or a certification requirement. Defendant attributes include indicators for whether the defendant is a firm, a corporate leader, or in an accounting- or broker-related role, as well as the defendant's gender, age, and number of recorded criminal violations. Enforcement team attributes include the fraction of attorneys on the case from a top-14 law school, the fraction of male attorneys, the fraction of managers, the team's average tenure and salary, the number of attorneys assigned to the case, and the fractions of non-supervisory attorneys who are registered Democrats and Republicans. The sample is one observation per case × defendant with a single identified supervisory attorney.

	1(SEC Dismissal)	*1(Monetary Sanctions)*	*1(Bar)*	*1(Undertaking)*	*Log(Monetary Sanctions$)*
Statute FE	10.92	3.61	4.97	9.01	17.16
+ Case attributes	2.31	16.07	24.38	7.03	31.20
+ Violated provisions	1.77	3.04	8.10	4.77	5.90
= Aggregate Case attributes	15.00	22.72	37.46	20.81	54.27
+ Defendant attributes	2.12	2.48	0.92	2.52	9.46
+ Chair FE	3.26	7.47	0.59	0.45	2.20
+ Office FE	2.67	1.07	2.95	4.28	4.04
+ Supervisor FE	25.10	15.86	22.45	17.18	11.45
+ Enforcement team attributes	2.21	1.49	1.31	0.80	0.34
Unexplained proportion	49.64	48.91	34.31	53.96	18.23

Table 9: Political Misalignment and Case Outcomes

This table examines whether political misalignment between enforcement supervisors and defendants is associated with the resolution of the enforcement action. The unit of observation is the case-defendant. Panel A reports nonmonetary outcomes and Panel B monetary outcomes. In Panel A the dependent variables are an indicator for whether the SEC dismissed the action against the defendant, an indicator for whether an industry or officer-and-director bar was imposed, and an indicator for whether the defendant agreed to an undertaking. In Panel B they are an indicator for any monetary sanction and, conditional on a positive sanction, the natural logarithm of total monetary sanctions. The key independent variable, Misaligned (Supervisor), is an indicator equal to one if the supervisory attorney and the defendant have opposing political affiliations, such as a Democratic supervisor and a Republican defendant or vice versa; the supervisor is the highest-ranked individual on the enforcement team. The regressions include the controls indicated at the bottom of the table. *Misaligned (SEC Chair)* equals one if the political affiliation of the SEC Chair differs from that of the defendant, and *Misaligned (Sup & SEC Chair)* equals one if the political affiliation of the supervisory attorney differs from that of the SEC Chair. Case Controls comprises indicators for fraud allegations, Department of Justice involvement, the issuance of an SEC press or litigation release, an administrative proceeding, aiding and abetting, control-person liability, causing, scienter, and negligence or internal-control violations, and an indicator for a related case in Columns 4–6 of Panel A and Columns 1–3 of Panel B. Violated provisions are indicators for the specific statutory provisions alleged in the case. Defendant attributes comprises age, gender, criminal history, and indicators for firm, CEO, accountant, and broker defendants. Team attributes comprises the fraction of attorneys from a top-14 law school, average tenure, the fraction of male attorneys, average pay, the fraction of managers, the number of attorneys, the number of SEC offices involved, and the misalignment of the non-supervisory members of the enforcement team. 1(S&P 500) equals one if the defendant or, for individual defendants, the firm the defendant worked for was ever a constituent of the S&P 500. Industry is classified using one-digit SIC codes. Variable definitions are in Internet Appendix B. Magnitude (% of Mean) reports the coefficient on Misaligned (Supervisor) as a percentage of the sample mean of the dependent variable. δ (Oster) reports the Oster (2019) coefficient stability statistic for the saturated specification. Standard errors (reported in parentheses) are two-way clustered by defendant and by supervisory attorney. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Nonmonetary Outcomes									
	1(SEC Dismissal)			1(Bar)			1(Undertaking)		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Misaligned (Supervisor)	-0.04**	-0.04**	-0.03*	0.13***	0.09**	0.12**	0.09***	0.07***	0.09**
	(0.02)	(0.02)	(0.02)	(0.04)	(0.04)	(0.05)	(0.03)	(0.03)	(0.04)
Misaligned (SEC Chair)	0.01	0.01	0.01	0.04	0.02	0.01	0.00	0.01	0.04
	(0.02)	(0.02)	(0.02)	(0.04)	(0.04)	(0.05)	(0.03)	(0.04)	(0.03)
Misaligned (Sup & SEC Chair)			0.04			0.05			0.03
			(0.04)			(0.10)			(0.08)
1(S&P 500)		0.09***	0.04		-0.13**	-0.01		0.06	0.09
		(0.03)	(0.03)		(0.06)	(0.07)		(0.04)	(0.06)
Case controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Violated provisions	No	Yes	Yes	No	Yes	Yes	No	Yes	Yes
Defendant attributes	No	No	Yes	No	Yes	Yes	No	No	Yes
Team attributes	No	No	Yes	No	No	Yes	No	No	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Statute FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	No	Yes	Yes	No	Yes	Yes	No	Yes	Yes
Office FE	No	Yes	Yes	No	Yes	Yes	No	Yes	Yes
Supervisor FE	No	No	Yes	No	No	Yes	No	No	Yes
R2	0.170	0.244	0.562	0.423	0.525	0.729	0.227	0.313	0.519
N	701	701	701	460	448	448	701	701	701
Magnitude (% of Mean)	-98.95	-101.71	-68.88	24.14	16.51	23.16	51.49	40.08	51.63
δ (Oster)			3.2			-8.8			4.4

Panel B: Monetary Outcomes						
	1(Monetary Sanctions)			Log(Monetary Sanctions $)		
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned (Supervisor)	0.06**	0.07**	0.07*	0.59***	0.46***	0.41**
	(0.03)	(0.03)	(0.04)	(0.16)	(0.15)	(0.19)
Misaligned (SEC Chair)	0.01	0.00	-0.00	-0.14	-0.25	-0.26
	(0.03)	(0.03)	(0.04)	(0.20)	(0.19)	(0.19)
Misaligned (Sup & SEC Chair)			-0.00			-0.54
			(0.06)			(0.49)
1(S&P 500)		0.02	0.08		0.63***	0.84***
		(0.04)	(0.05)		(0.22)	(0.19)
Case controls	Yes	Yes	Yes	Yes	Yes	Yes
Violated provisions	No	Yes	Yes	No	Yes	Yes
Defendant attributes	No	No	Yes	No	No	Yes
Team attributes	No	No	Yes	No	No	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Statute FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	No	Yes	Yes	No	Yes	Yes
Office FE	No	Yes	Yes	No	Yes	Yes
Supervisor FE	No	No	Yes	No	No	Yes
R2	0.416	0.444	0.593	0.572	0.695	0.857
N	701	701	701	456	456	456
Magnitude (% of Mean)	9.42	10.45	11.22			
δ (Oster)			6.4			7.1

Table 10: Political Misalignment, Defendant Conduct, and Investigation Duration

This table examines the mechanisms through which political misalignment operates. The unit of observation is the case-defendant. In Columns 1–2 the dependent variable is an indicator equal to one if the enforcement documents record noncooperation with the investigation, such as false or misleading responses, withholding, destruction or alteration of evidence, or material delay connected to an SEC inquiry, as well as invocation of the Fifth Amendment or nonappearance for interrogation. In Columns 3–4 the dependent variable is 1(Compelled Assistance), an indicator equal to one if the defendant assisted the investigation in a way the documents do not describe as volunteered. In Columns 5–6 the dependent variable is the natural logarithm of the number of days between the opening of the SEC investigation and the filing of the enforcement action, winsorized at the 1st and 99th percentiles. The key independent variable, Misaligned (Supervisor), is an indicator equal to one if the supervisory attorney and the defendant have opposing political affiliations. The regressions include the controls indicated at the foot of the table; their coefficients are not reported. Misaligned (SEC Chair) equals one if the political affiliation of the SEC Chair differs from that of the defendant, and Misaligned (Sup & SEC Chair) equals one if the political affiliation of the supervisory attorney differs from that of the SEC Chair. Case Controls comprises indicators for fraud allegations, Department of Justice involvement, the issuance of an SEC press or litigation release, and an administrative proceeding. It also includes variables that capture case severity: indicators for aiding and abetting, control-person liability, causing, scienter, and negligence or internal-control violations. Violated provisions are indicators for the specific statutory provisions alleged in the case. Defendant attributes comprises age, gender, criminal history, and indicators for firm, CEO, accountant, and broker defendants. Team attributes comprises the fraction of attorneys from a top-14 law school, average tenure, the fraction of male attorneys, average pay, the fraction of managers, the number of attorneys, the number of SEC offices involved, and the misalignment of the non-supervisory members of the enforcement team. 1(S&P 500) equals one if the defendant or, for individual defendants, the firm the defendant worked for was ever a constituent of the S&P 500. Industry is classified using one-digit SIC codes. Variable definitions are in Internet Appendix B. Magnitude (% of Mean) reports the coefficient on Misaligned (Supervisor) as a percentage of the sample mean of the dependent variable. Standard errors (reported in parentheses) are two-way clustered by defendant and by supervisory attorney. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	1(Noncooperation)		1(Compelled Assistance)		Log(Inv Duration)	
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned (Supervisor)	0.04*	0.04*	0.07***	0.05*	0.11*	0.10*
	(0.02)	(0.02)	(0.03)	(0.03)	(0.06)	(0.06)
Misaligned (SEC Chair)	0.00	-0.02	0.06**	-0.01	0.06	0.12**
	(0.02)	(0.02)	(0.03)	(0.03)	(0.05)	(0.05)
Misaligned (Sup & SEC Chair)		0.07*		-0.08*		0.19
		(0.03)		(0.05)		(0.17)
1(S&P 500)	0.02	0.06	0.02	0.01	0.06	0.24***
	(0.03)	(0.04)	(0.03)	(0.03)	(0.09)	(0.09)
Case Controls	Yes	Yes	Yes	Yes	Yes	Yes
Violated provisions	Yes	Yes	Yes	Yes	Yes	Yes
Defendant attributes	Yes	Yes	Yes	Yes	Yes	Yes
Team attributes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Statute FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Office FE	Yes	Yes	Yes	Yes	Yes	Yes
Supervisor FE	No	Yes	No	Yes	No	Yes
R2	0.256	0.497	0.327	0.527	0.530	0.792
N	701	701	701	701	529	529
Magnitude (% of Mean)	63.59	70.44	54.90	40.71		

Table 11: Office and Attorney Selection

This table examines how political alignment shapes the assignment of enforcement cases. Panel A examines the determinants of which SEC office is selected to litigate an enforcement case. The unit of observation is the office × case. The dependent variable equals 100 if at least one attorney from a given office is selected onto a particular case. *High Dem Office* is an indicator equal to one if the fraction of Democratic-leaning attorneys in the office is above the sample median. *%Rep Def* is the fraction of defendants in the case who are Republicans (standardized). *#Attorneys* is the total number of enforcement attorneys in the office. *1(In Jurisdiction)* equals one if at least one defendant is located within the office's jurisdiction. *1(Exp. on case type)* equals one if at least one attorney in the office has prior experience litigating the same allegation type. *1(Administrative)* indicates administrative proceedings. *HQ* indicates DC. *1(Non-Disclosure)* equals one if the case is not related to disclosure or reporting requirements. *Avg Manager*, *Avg Tenure*, *%Top 14 Law School*, *Avg Salary*, and *%Male* capture average attorney characteristics at the office level. Panel B examines attorney selection conditional on a case drawing at least one attorney from a given office. The sample is restricted to cases in which at least one supervisor from an office is selected and attorneys who supervised at least one case during our sample period, and the unit of observation is the case × defendant × attorney. The dependent variable equals 100 if a given attorney from that office is selected to supervise the litigation against the defendant in a particular case. *Misaligned Party* is an indicator equal to one if the attorney and defendant have opposing political affiliations (e.g., a Democratic defendant matched with a Republican attorney, or vice versa). Tenure is the attorney's tenure. *Manager* equals one if the attorney holds a managerial rank. *Top 14 Law School* indicates whether the attorney received a JD from a top-14 law school. Salary is the attorney's salary. Same Gender indicates whether the supervisor and defendant share the same gender. Age Gap is the difference in age between the supervisor and the defendant. *1(CEO)* equals one if the defendant is a CEO. *#Case(t-1)* is the number of enforcement cases the attorney worked on in the previous year. *#Case(t-1)^2 is #Case(t-1*) squared. *1(Exp. on case type)* equals one if the attorney has prior experience with the same case type (e.g., insider trading; disclosure). Panel A includes year fixed effects and Panel B includes year×office fixed effects. Panels A and B cluster standard errors at the office and case level, respectively. Magnitude (% of Mean) reports coefficients scaled by the mean selection probability. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Office Selection			
Outcome:	Office Selected		
	(1)	(2)	(3)
High Dem Office	9.76*	0.44	0.42
	(5.30)	(1.04)	(1.18)
High Dem Office×%Rep Def	0.36	0.56	0.58
	(0.65)	(0.55)	(0.56)
%Rep Def	-0.18	-0.17	-0.18
	(0.39)	(0.31)	(0.31)
#Attorneys		4.73**	5.47**
		(1.85)	(2.13)
1(In Jurisdiction)		21.54***	21.65***
		(3.01)	(2.97)
1(Exp. on case type)		3.87**	4.03**
		(1.41)	(1.48)
1(Administrative)		0.22	0.22
		(0.39)	(0.39)
HQ		15.41**	12.97*
		(5.81)	(6.73)
1(Non-Disclosure)		1.12	1.19
		(1.42)	(1.45)
1(Non-Disclosure) ×HQ		3.93**	3.82**
		(1.46)	(1.52)
Avg Manager			-0.43
			(0.47)
Avg Tenure			-0.60
			(0.77)
%Top 14 Law School			0.63
			(0.72)
Avg Salary			-2.55
			(1.85)
%Male			0.17
			(0.48)
Year FE	Yes	Yes	Yes
R2	0.029	0.177	0.178
N	5,436	5,436	5,436
Magnitude (% of Mean)	4.38	6.76	7.00

Panel B: Supervisor Selection			
Outcome:	Supervisor Selected		
	(1)	(2)	(3)
Misaligned Party	0.17	0.05	0.05
	(0.57)	(0.56)	(0.56)
1(Administrative)		0.03	0.00
		(0.55)	(0.56)
Manager		0.68	0.66
		(0.77)	(0.77)
Tenure		0.04	0.11
		(0.36)	(0.37)
Top 14 Law School		1.36**	1.36**
		(0.59)	(0.59)
Salary		4.62***	4.77***
		(0.46)	(0.51)
Male		0.87	0.29
		(0.64)	(1.00)
#Case(t-1)		1.30***	1.31***
		(0.36)	(0.36)
#Case(t-1)^2		-0.08**	-0.08**
		(0.03)	(0.03)
1(Exp. on case type)		4.50***	4.52***
		(0.73)	(0.74)
Age Gap			0.35
			(0.35)
Same Gender			0.67
			(0.95)
1(CEO)			-0.56
			(0.87)
Year×Office FE	Yes	Yes	Yes
R2	0.066	0.106	0.104
N	9,375	9,375	9,343
Magnitude (% of Mean)	2.47	0.79	0.71

Table 12: Cumulative Abnormal Returns around Trigger and Resolution Dates

This table reports cumulative abnormal returns (CARs) estimated using the market model for publicly traded firm defendants in SEC enforcement actions. The sample is restricted to common stocks (share codes 11 and 12) listed on NYSE, AMEX, or NASDAQ. The estimation window is 252 trading days beginning 22 trading days prior to the event date, with a minimum of 60 observations required. Panel A reports mean CARs for the [-1,+1], [-1,+5], and [-1,+10] event windows separately for defendants who are politically misaligned with their supervisory attorney and those who are not; differences are tested using a two-sample t-test with unequal variances. Panel B presents OLS estimates of the effect of political misalignment on CARs around the trigger date, defined as the earliest date on which the alleged violation becomes publicly known. Columns 1, 3, and 5 include no fixed effects; Columns 2, 4, and 6 add case-level controls (1(Fraud), 1(DoJ), 1(Press Release), 1(Administrative)) and 1-digit SIC industry fixed effects. Panel C reports the same specifications for CARs around the resolution date. Standard errors in Panels B and C are clustered by firm. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Univariate Comparison

	Full Sample	Misaligned	Not Misaligned	Diff	p-value
Trigger date					
CAR [-1,+1]	-0.079	-0.080	-0.078	-0.002	(0.932)
CAR [-1,+5]	-0.092	-0.084	-0.102	0.017	(0.598)
CAR [-1,+10]	-0.100	-0.104	-0.096	-0.007	(0.844)
Resolution date					
CAR [-1,+1]	-0.009	-0.009	-0.009	-0.000	(0.986)
CAR [-1,+5]	-0.010	-0.022	0.004	-0.027**	(0.034)
CAR [-1,+10]	-0.013	-0.032	0.009	-0.041**	(0.014)

	Panel B: Multivariate Trigger Date					
	CAR[-1,+1]		CAR[-1,+5]		CAR[-1,+10]	
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned (Supervisor)	-0.01	0.00	0.02	0.02	-0.01	-0.01
	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
Misaligned (SEC Chair)	0.01	0.01	0.02	0.02	0.02	0.02
	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)	(0.04)
1(S&P 500)	0.06**	0.04	0.07**	0.07*	0.08**	0.07*
	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
1(Fraud)		-0.04		-0.06*		-0.10**
		(0.03)		(0.03)		(0.04)
1(DoJ)		0.04		0.08		0.07
		(0.04)		(0.06)		(0.06)
1(Press Release)		0.05		0.03		-0.03
		(0.05)		(0.05)		(0.07)
1(Administrative)		-0.01		0.03		-0.01
		(0.04)		(0.04)		(0.06)
Constant	-0.10***	-0.13*	-0.14***	-0.15**	-0.14***	-0.06
	(0.04)	(0.07)	(0.04)	(0.06)	(0.04)	(0.08)
Industry FE	No	Yes	No	Yes	No	Yes
R2	0.028	0.086	0.036	0.105	0.028	0.110
N	151	151	151	151	151	151

	Panel C: Multivariate Resolution Date					
	CAR[-1,+1]		CAR[-1,+5]		CAR[-1,+10]	
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned (Supervisor)	-0.00	-0.00	-0.03**	-0.03**	-0.04**	-0.04**
	(0.01)	(0.01)	(0.01)	(0.01)	(0.02)	(0.02)
Misaligned (SEC Chair)	0.01	0.00	0.00	-0.00	0.01	0.01
	(0.01)	(0.01)	(0.01)	(0.01)	(0.02)	(0.02)
1(S&P 500)	0.02**	0.02***	0.01	0.01	0.01	0.02
	(0.01)	(0.01)	(0.01)	(0.02)	(0.02)	(0.02)
1(Fraud)		0.00		0.00		0.02
		(0.01)		(0.01)		(0.02)
1(DoJ)		0.02**		0.02		0.00
		(0.01)		(0.01)		(0.02)
1(Press Release)		-0.02*		-0.02		-0.02
		(0.01)		(0.02)		(0.02)
1(Administrative)		-0.01		-0.01		-0.00
		(0.01)		(0.02)		(0.02)
Constant	-0.02***	-0.00	-0.00	0.02	-0.00	-0.00
	(0.01)	(0.01)	(0.02)	(0.03)	(0.02)	(0.03)
Industry FE	No	Yes	No	Yes	No	Yes
R2	0.033	0.104	0.032	0.063	0.039	0.080
N	171	171	171	171	171	171

Internet Appendix

The Liberal Tilt of Financial Regulators

Appendix Contents:

Appendix A Data, Sample, and Measurement

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Internet Appendix A: Data, Sample, and Measurement

This appendix describes how we measure the political affiliation of SEC attorneys and case defendants, how we compile the attorneys' educational background, and how we construct the sample of enforcement cases.

Internet Appendix A.1: Political Affiliation

This section describes in detail how we match SEC attorneys to voter registration and political donation records.

A.1.1 Voter Registration

Our primary source of voter registration information is LexisNexis, a leading aggregator of public records. LexisNexis collects data on voter registration, residential addresses, contact details, employment history, professional licenses, property ownership, and related variables. We begin by manually searching for 4,754 SEC attorneys using first and last names and states of residence. To account for commuting across state borders, we search not only in the state of employment but also in adjacent states (e.g., SEC employees working in Washington, DC, often reside in Virginia or Maryland).

We identify the relevant LexisNexis profile by confirming SEC employment history, SEC email addresses, or other professional identifiers. When LexisNexis employment information is incomplete, we supplement the search with external sources such as résumé data, LinkedIn profiles, or law firm biographies. We further verify consistency between age and employment timelines. To ensure accuracy, we cross-check professional licenses, prior employers, and educational histories. Once a profile is confirmed, we record the individual's unique LexID, which allows us to track name changes and maintain consistent identification across records. This process yields LexIDs for 4,457 attorneys (93.8% of the original sample). For each identified attorney, we download and parse the LexisNexis record using a Python script, extracting residential address information necessary for matching to political affiliation data.

Because LexisNexis voter registration data is incomplete, particularly in states where many SEC employees reside, such as Maryland and Virginia, we obtain additional voter files directly from states through FOIA requests and data purchases. In states where party affiliation is not explicitly recorded (e.g., Virginia), we infer it from primary election participation. We match SEC employees to voter registration records using first and last names, age, and residential address. For each state, we extract all individuals with the same first and last name as SEC employees who have lived in that state. We then compare addresses in voter files with those obtained from LexisNexis. To facilitate this step, we use the ChatGPT API to assess address similarity. Recognizing that automated matching can generate errors, we implement targeted manual reviews. Specifically, to minimize false negatives, we manually inspect cases where the first two characters of the address match, but ChatGPT classifies them as non-matches. Conversely, to minimize false positives, we review cases where the first two characters differ, but ChatGPT classifies them as matches.

A.1.2 Political Donations

We use the Database on Ideology, Money in Politics, and Elections (DIME), which contains records of over 850 million contributions by individuals and organizations to federal, state, and local elections since 1979. For each SEC employee, we extract individuals with the same name and an address in any state where the employee has resided. We manually inspect each address to confirm correct matches. Because addresses are sometimes missing, we also leverage employer information reported in DIME. We extract all donations associated with employers containing the string "SEC" and manually inspect them to identify 219 variations of the Securities and Exchange Commission (e.g., SEC & Exchange Comm). We then retain only records where the donor's name matches an SEC employee in our sample.

Each donation is classified as Democratic, Republican, or Independent based on the political affiliation of the recipient. In 1,617 recipient–election cycle observations, political affiliation is missing because the recipient is a PAC, the donation supports a judicial election, or candidate information is incomplete. For PACs, we search donation records in OpenSecrets (or relevant state-level disclosures). A PAC is classified as Democratic (Republican) if, in a given cycle, at least 60% of its donations support Democratic (Republican) candidates; otherwise, it is classified as Independent. For judicial elections and incomplete data, we manually identify candidate affiliation using public sources.

We aggregate donation records to the attorney level. An SEC attorney is classified as Democratic (Republican) if at least 60% of their contributions (by inflation-adjusted dollar amount) between 1979 and 2024 support Democratic (Republican) candidates. All other employees are classified as Independent.

A.1.3 Validation

We use participation in Virginia's primary elections in 2008, 2016, and 2024 to validate whether party registration and political donations reflect underlying political ideology. (These are the three years for which we observe participation data.) Virginia operates under an open primary system, allowing unaffiliated voters—and even registered Democrats—to participate in Republican primaries (or vice versa). Figure IA.1 presents the results.

Panel A begins with a sample of 128 attorneys who participated in at least one Virginia primary election and for whom we observe party registration outside of Virginia. Based on this information, we classify individuals into three groups: (1) Democrats, (2) Republicans, and (3) Other/Independent/Switchers. For each individual, we compute the fraction of primary elections they participated in that were Democratic versus Republican.

Panel B analyzes 225 attorneys who both participated in Virginia primaries and made political donations in the same election cycle. For each election–individual observation, we classify the individual as Democratic, Republican, or Other/Independent based on whether their donations in that election cycle were directed exclusively or predominantly to Democratic candidates, Republican candidates, or neither. We then compute average Democratic versus Republican primary participation shares by group.

Across both panels, individuals classified as Democrats overwhelmingly participate in Democratic primaries (approximately 80% of their primary participation), and Republicans overwhelmingly participate in Republican primaries (approximately 80%). In contrast, individuals classified as Other/Independent/Switchers exhibit substantially more balanced participation across parties, consistent with weaker or mixed partisan attachment. Combined, these results demonstrate that both party registration and donation-based classifications are informative and consistent measures of underlying political ideology.

Internet Appendix A.2: Law School Information

This section details how we compile law school data for SEC attorneys.

A.2.1 Revelio Labs Data

Our primary dataset is from Revelio Labs, a workforce intelligence firm that collects résumé data from LinkedIn profiles. Revelio provides names, employment histories, education backgrounds, and geographic locations, and is particularly suitable for our study given its strong coverage of white-collar occupations (Li, Lourie, Nekrasov, and Shevlin, 2022).

Step 1: Direct LinkedIn URL matches. As part of our LexisNexis matching process, we collected 1,724 LinkedIn URLs. Using these URLs, we directly match 1,678 SEC attorneys to Revelio profiles.

Step 2: Name–employer matches. For employees without LinkedIn URLs, we match by name and employer. We begin by extracting all Revelio profiles that list SEC employment, accounting for variations in employer naming conventions (e.g., Securities and Exchange Commission, SEC & Exchange Comm). We then require an exact match on last name and first initial. If there is also an exact match on first name, we code the observation as a successful match. For cases without an exact first-name match, we manually inspect each profile to account for nicknames (e.g., Jim vs. James, Robert vs. Bob) and use SEC employment dates to verify accuracy.

Step 3: Google-assisted LinkedIn searches. For the remaining unmatched employees, we conduct targeted Google searches to identify additional LinkedIn URLs. This procedure yields 160 new URLs, of which 138 correspond to Revelio profiles.

Step 4: Resolving multiple profiles. To address cases in which an individual has multiple LinkedIn profiles or multiple SEC employees share the same name, we inspect 279 instances manually. We select the correct match based on SEC tenure and corroborating education or work history from external sources (e.g., Martindale, law firm biographies).

Across these steps, we identify Revelio profiles for 3,204 SEC attorneys, of which 2,992 have law school information.

A.2.2 Avvo Data

To further increase coverage, we supplement with data from Avvo, an online legal directory containing detailed profiles for U.S. attorneys. Avvo records include current work address, practice areas, years licensed, law school attended, and (less frequently) employment history. Our scraping of Avvo by state and practice area yields 648,818 unique profiles, of which 88.5% report education information and 22.5% include work history.

We match Avvo profiles to SEC employees in two steps. First, we require an exact match on last name, first initial, and state, followed by manual inspection of each potential match, mirroring our Revelio procedure. Second, when collecting LinkedIn URLs for unmatched individuals, we also record available Avvo profiles and link them directly. These steps yield 1,039 successful Avvo matches, 302 of which are not captured by Revelio.

For employees without Revelio or Avvo profiles, we manually collect education information using Google searches, drawing from SEC press releases, state bar websites, law firm biographies, obituaries, and other professional directories. For employees with a LinkedIn URL not included in Revelio, we also manually extract education information from their profiles. These procedures add education data for 490 additional SEC attorneys.

Our final coverage rate for law school attendance is 85%. Since school names are often spelled differently across sources, we harmonize them by mapping all names to Revelio's standardized school identifiers. Specifically, we fuzzy match school names from Avvo and other sources to Revelio's school list and assign the corresponding Revelio school ID.

Internet Appendix A.3: SEED Enforcement Data

This section details how we gather data on enforcement cases and identify the attorneys assigned to each case.

A.3.1 Sample Construction

We obtain all civil enforcement cases from the Securities Enforcement Empirical Database (SEED), as well as administrative proceedings that are linked to civil actions. This yields 1,379 case-defendants, which comprise 783 unique cases and 1,179 unique defendants between 2002 and 2023. We identify civil cases

based on legal case names beginning with *"SEC v."* and include administrative cases that are explicitly related to these civil actions. For example, the civil case *"SEC v. Cooper J. Morgenthau"* is linked to the administrative proceeding *"In the Matter of African Gold Acquisition Corp."* We compile the list of attorneys working on both types of cases. We then collect basic information on each case from SEED, including the defendant's name and type (individual, public company, or subsidiary of a public company), the date of the first document, case type, case number, violation alleged, defendant's role in each case, and related documents. We use case judgment documents to collect information on the penalties imposed on each defendant. Specifically, we record both pecuniary penalties (such as fines) and non-pecuniary penalties (such as bars) for each case (see below). We also gather information about whether the case was dismissed using text described under each document.

A.3.2 Enforcement Team Members

We compile the list of attorneys assigned to each case using two sources: legal complaints and SEC press releases. Because complaints are formal legal filings that consistently list the attorneys of record, we treat them as the primary source. When complaints are not available (typically for administrative cases), we rely on SEC press releases to identify the enforcement team members.

Since SEED does not provide the underlying legal documents, we retrieve them directly from the SEC's website using the document names listed in SEED. For example, in the case SEC v. Cooper J. Morgenthau, the complaint file is labeled "comp-pr2023-101." This document is available on the SEC's website and, as in most complaints, the attorney names appear either on the first page or at the end. In this case, they are listed at the end of the document. For example, the enforcement team for SEC v. Cooper J. Morgenthau consists of twelve attorneys: Jennifer L. Farer, Matthew Scarlato, J. Emmett Murphy, Jorge G. Tenreiro, David L. Hirsch, David A. Nasse, Michael Baker, Kathleen Hitchens, Donna Norman, Ann Rosenfield, Colby Steele, and Martin Zerwitz. In some cases, attorney names appear on the first page of the document. However, while a single attorney may be listed at the front, the full enforcement team is often provided at the end. To ensure accuracy, we carefully inspect each document in its entirety to capture all attorneys working on a given case.

There are some cases where a complaint document is not present in SEED. We explain how we identify the enforcement team below:

1. **The SEC files both civil and administrative proceedings.** In certain instances, the SEC initiates both a civil action and an administrative proceeding against the same defendant. The civil case typically seeks monetary penalties and injunctive relief, while the administrative proceeding focuses on professional sanctions, such as bars from serving as an officer or director or from practicing before the SEC. Because both proceedings stem from the same underlying misconduct, they are generally handled by the same enforcement team, which investigates the allegations and then pursues different procedural avenues to impose sanctions.
2. **The SEC pursues both civil and administrative cases against different defendants for the same underlying violation.** The SEC may also pursue a civil proceeding against certain defendants while initiating administrative proceedings against others. One example is the Corba and Treadway matter. The Commission pursued administrative actions against PA Fund Management and PEA Capital Management, where Stephen J. Treadway and Kenneth W. Corba served as CEOs, based on the same underlying violation. In such cases, the enforcement team is also likely the same, since the misconduct is identical, and the individual defendants held key leadership positions in the firms. Accordingly, we assume that when a complaint lists an entity as a related party, the same enforcement team is responsible across proceedings. We verify this assumption by comparing SEC press releases that describe both the civil and administrative actions for the same underlying violation; in these instances, the enforcement team named in the press release overlaps significantly with the team listed in the complaint, suggesting that both proceedings have the same enforcement team (see here for an example).

3. **Administrative proceedings without any related complaint files.** For cases without a related complaint file, we rely on press releases or litigation releases to identify the attorneys involved. We are confident in this approach because, in cases where both complaints and press releases are available, the two sources typically list the same enforcement team or show a high degree of overlap.[9] An example of this is the case against Oppenheimer & Co. Inc.

A.3.3 Enforcement Outcomes

In some cases, the SEED database does not contain complete information on case outcomes. For example, in the case of *SEC v. Syndicated Food Service International Inc., et al., SEED* includes only the complaint document but omits the outcome, which is described in the corresponding litigation release. To ensure the completeness of our dataset, we manually review 589 case-defendant pairs for which SEED reports zero monetary sanctions to verify whether they are indeed zero. In 87 of these instances, we find penalties that were not recorded in SEED.

As part of this review, we also record whether the defendant was subject to a bar, whether the case was dismissed or resulted in a ruling favorable to the defendant, and whether there are other reasons for the absence of monetary penalties, such as the defendant's death, an asset freeze, or an ongoing proceeding. We further identify instances in which monetary penalties were imposed through a related administrative or civil proceeding rather than in the proceeding recorded in SEED. Our primary sources for this manual validation are SEC press and litigation releases, court filings, and the SEC Action Lookup.

We gather information on whether the SEC dismissed the case using multiple sources, including SEED, SEC press releases, judgment documents, news articles, and the SEC Action Lookup. In particular, when a search for an individual defendant in the SEC Action Lookup yields no results, this typically indicates that the case was either dismissed or resulted in a judgment favorable to the defendant. We then investigate the reason for dismissal using the additional sources. For firm defendants, we rely primarily on SEED and cross-verify dismissal outcomes using SEC press releases and news articles.

We also hand-collect information on undertakings, noncooperation, and compelled assistance (cooperation that is not voluntary) from administrative proceedings, civil complaints, court filings, SEC press and litigation releases, and SEED.

Common types of undertakings include written certification that remedial steps have been completed; retention of an independent consultant, compliance consultant, or monitor; and the adoption or revision of compliance policies, procedures, or internal controls.

We exclude two types of provisions from the undertaking measure. First, we exclude volunteered payments because they are monetary rather than behavioral obligations and are already captured by our measures of monetary sanctions and disgorgement. The two case-defendants whose only identified undertaking was monetary are therefore coded as having no undertaking.

Second, we exclude cooperation undertakings, which require defendants to assist the SEC with future requests or proceedings. These provisions facilitate the enforcement process rather than remedy the underlying conduct and are therefore conceptually distinct from the compliance-oriented obligations captured by our undertaking measure. This definition is also consistent with SEED, which identifies compliance-oriented undertakings but does not separately code cooperation provisions.

Compelled Assistance captures the defendant assisting the investigation without describing that assistance as volunteered. We first identify the cooperation the documents explicitly describe as volunteered, and the compelled measure is the cooperation that remains. For example, "voluntarily and promptly provided documents and information to the staff" is not counted toward compelled assistance.

[9] For example, in the case against Katsuichi Fusamae, the press release and the complaint list the same attorneys: Jeffrey A. Shank, Kevin A. Wisniewski, and Daniel J. Hayes.

Noncooperation captures conduct indicating resistance to the SEC's investigation, such as pleading the Fifth or withholding information. Internet Appendix D.3 provides examples of noncooperation.

Finally, we hand-collect the trigger event (when the underlying violation became public) and the investigation opening by searching news articles related to the firm in LexisNexis. The case filing and the resolution date come from SEED.

A.3.4 Political Affiliation of Defendants

We use both political donations and voter registration records to measure the political leaning of each defendant, following the same procedure used for SEC attorneys. We begin by searching 727 unique individual defendants in LNPR using their first and last names, together with their city of residence and age as disclosed in SEC documents. We successfully identify 574 individuals in LNPR. Most unmatched individuals (67.3%) are foreign nationals. We then match each identified individual, using LexIDs, to voter records and to DIME based on name and address. Following the same approach as for SEC attorneys, we are able to classify the political leaning of 456 individual defendants (79% of those identified).

We next turn to 498 case-by-firm-defendants (corresponding to 456 unique firms), for which we classify the firm's political stance based on the political affiliation of its CEO. Because firms may have different CEOs over time, we apply the following rule to select the relevant executive. If the CEO is named as a defendant in the same or a related case, we use that individual as the firm's CEO; this applies to 101 case-by-firm-defendants, for which we use the CEO's political leaning from individual defendants described above. For the remaining firm defendants whose CEOs are not named as co-defendants, we identify the CEO in office at the time the SEC initiated the first enforcement action. We then classify their political leaning using voter registration data from LNPR and political contribution records from DIME. This procedure yields political classifications for 324 (65%) firm-defendant cases; unmatched cases are almost entirely foreign firms.

A.3.5 Classifying Violations

To characterize the nature of violations, we first extract the statutory provisions cited against each defendant. We then feed this information to the ChatGPT API (model = gpt-4.1-mini) and instruct it to generate indicator variables for the alleged violation types based on a predetermined classification rubric. The advantage of this approach over case-level classifications (e.g., labeling an entire case as an "Issuer Reporting and Disclosure" or "Broker Dealer") is that defendants within the same enforcement action may violate different statutory provisions, and cases that appear similar at a high level may involve different underlying legal violations. By classifying violations at the defendant–statute level, this approach provides a more granular measure of misconduct and more accurately captures the specific legal provisions underlying each enforcement action.

1. **Issuer antifraud: include Rule 10b-5** under the Exchange Act and Section 17(a) of the Securities Act, which prohibit material misstatements, omissions, or other fraudulent schemes in connection with the purchase or sale of securities.
2. **Issuer disclosure and reporting**: provisions governing periodic reporting and disclosure obligations under the Exchange Act, such as Sections 12(b) and 13(a) and related rules.
3. **Internal controls and books-and-records:** correspond to provisions under Section 13(b) of the Exchange Act and related statutes requiring firms to maintain accurate accounting records and adequate internal controls.
4. **Securities offering:** capture failures to comply with the registration and disclosure requirements governing public securities offerings under Section 5 of the Securities Act. These violations typically involve selling or offering securities to investors without an effective registration statement or without qualifying for an exemption from registration.

5. **Proxy disclosure:** arise under Section 14(a) of the Exchange Act and relate to misleading or incomplete information in proxy statements used to solicit shareholder votes. These cases generally involve material misstatements or omissions in disclosures provided to shareholders regarding matters such as director elections, mergers, executive compensation, or other corporate actions requiring shareholder approval.
6. **Ownership reporting:** include failures to disclose beneficial ownership or insider transactions as required under Sections 13(d), 13(g), and 16(a) of the Exchange Act. These provisions require large shareholders and corporate insiders to report their holdings and trading activity so that investors have transparency regarding significant ownership stakes and insider trading activity.
7. **Broker-dealer:** include breaches of Exchange Act provisions governing broker-dealer conduct and recordkeeping, as well as violations of FINRA rules. These cases typically involve failures to maintain required books and records, supervise employees, comply with trading and customer protection rules, or adhere to regulatory standards applicable to securities intermediaries.
8. **Exchange and SRO rule:** capture breaches of rules established by securities exchanges or other self-regulatory organizations (SROs), such as the NYSE or NASDAQ. These rules govern trading practices, listing standards, and market conduct, and violations typically involve failures to comply with exchange-specific regulatory requirements.
9. **Investment adviser**: correspond to provisions under the Investment Advisers Act, particularly Section 206, which prohibits investment advisers from engaging in fraudulent, deceptive, or manipulative practices with respect to their clients. These cases often involve misleading disclosures about fees, conflicts of interest, or investment strategies.
10. **Investment company: arise under the Investment Company Act and relate** to regulatory requirements governing registered investment companies, such as mutual funds. These provisions regulate matters including fund governance, transactions with affiliates, valuation practices, and investor protections.
11. **Other**: When a cited statutory provision does not fall into any of the categories above, we classify it as Other.

We also construct a categorical variable measuring the severity of the alleged misconduct. We first compute several intermediate indicators based on the statutory provisions associated with each defendant. A case-defendant is classified as "*Scienter*" if the alleged violations involve provisions typically associated with intentional fraud, such as Section 10(b) and Rule 10b-5 of the Exchange Act, Section 17(a)(1) of the Securities Act, or Section 206(1) of the Investment Advisers Act, or if the violation text references terms such as willful, knowing, manipulation, or insider trading. "*Negligence/Internal Control*" cases correspond to violations requiring only negligence or involving failures in firms' internal controls or accounting systems (e.g., Sections 17(a)(2)–(3) of the Securities Act or Section 13(b) of the Exchange Act). Finally, a case is classified as "Technical" if the violations involve administrative or reporting requirements, such as securities registration, proxy filings, or ownership disclosures, reflecting procedural noncompliance rather than substantive misconduct.

Note that the above classification is based on defendants who directly violate statutory provisions. In some instances, however, a defendant may not have committed a primary violation themselves but may still be held liable under alternative theories of liability. Therefore, we create three additional indicator variables capturing whether a defendant is alleged to have aided and abetted, caused, or controlled a violation. Aiding and abetting refers to situations in which a defendant knowingly provides substantial assistance to another party's violation. Causing liability applies when a defendant's conduct results in another entity committing a violation of the securities laws. Control liability captures cases where a defendant exercises control over a primary violator and is held responsible under control-person provisions (e.g., CEOs). These variables allow us to distinguish defendants who directly commit violations from those whose liability arises through these secondary theories.

A.3.6 Sample and Filters

We construct two separate samples to analyze different outcomes. The first, the *monetary sanctions sample*, includes both firms and individual defendants and uses penalties and dismissals as the outcome. The second, the *bar sample*, includes only individual defendants and uses bar sanctions as the outcome. We apply the following cumulative filters to both samples:

- Exclude observations where the political affiliation of either the defendant or the supervisory attorney is missing;
- Exclude ongoing cases for which outcomes are not yet available;
- Exclude subsidiaries whose sanctions are recorded under the parent (only for the monetary sanctions sample)
- Exclude cases involving deceased or bankrupt defendants, cases in which the SEC dropped charges because a parallel criminal proceeding imposed the appropriate sanctions, and cases whose primary purpose was not to seek sanctions (such as actions to freeze assets or transfer proceedings to another court) because the absence of penalties or sanctions in these cases does not reflect a lack of SEC enforcement.
- To avoid double counting of penalties, we retain only one firm (typically the parent company) when multiple entities within the same organization are listed as defendants but share a single monetary sanction (only for the monetary sanctions sample). For example, in *SEC v. Bank of America, N.A., Banc of America Mortgage Securities, Inc., and Merrill Lynch, Pierce, Fenner & Smith LLC*, the three defendants jointly paid a total penalty of $225 million. In other cases, the penalty is recorded only for one entity, usually the parent company. For instance, in *In the Matter of Hertz Global Holdings, Inc. and The Hertz Corporation*, a $16 million fine is recorded solely under Hertz Global Holdings.

Internet Appendix B: Variable Definitions

This appendix defines the variables used in the analysis.

Variable	Definition
B.1 Demographics	
Male	Indicator equal to 1 if the attorney is male, and 0 otherwise.
Age	Attorney age (in years), measured in a given year.
Immigrant	Indicator equal to 1 if the attorney obtained a Social Security number after age 20, and 0 otherwise.
Minority	Indicator equal to 1 if the attorney belongs to a racial or ethnic minority group, and 0 otherwise.
Local Origin	Indicator equal to 1 if the attorney's home state matches the state of the SEC office where they work, and 0 otherwise.
B.2 Education	
Top 14 Law School	Indicator equal to 1 if the attorney received a JD from a top-14 law school, and 0 otherwise. The list includes Yale, Stanford, Harvard, Chicago, Columbia, NYU, UPenn, Michigan, Virginia, Duke, Northwestern, Cornell, Berkeley, and Georgetown.
LSAT Percentile	Percentile rank of the attorney's LSAT score, proxied using the law school's median LSAT percentile.
PhD	Indicator equal to 1 if the attorney holds a PhD degree, and 0 otherwise.
MBA	Indicator equal to 1 if the attorney holds an MBA degree, and 0 otherwise.
Other Master	Indicator equal to 1 if the attorney holds a non-MBA master's degree, and 0 otherwise.
Ivy League (Bachelor)	Indicator equal to 1 if the attorney received a bachelor's degree from an Ivy League institution, and 0 otherwise.
Top 20 (Bachelor)	Indicator equal to 1 if the attorney received a bachelor's degree from MIT, Harvard, Yale, Cornell, Dartmouth, Columbia, Brown, Princeton, Penn, Stanford, Caltech, Johns Hopkins, Northwestern, Chicago, Berkeley, UCLA, or Rice, and 0 otherwise.
Age Grad Law School	Attorney age at the time of law school graduation.
1(JD Honors)	Indicator equal to 1 if the attorney graduated from law school with honors, and 0 otherwise.
1(Non-JD Honors)	Indicator equal to 1 if the attorney received undergraduate or master's honors, and 0 otherwise.
1(Law Journal)	Indicator equal to 1 if the attorney held a law journal affiliation, and 0 otherwise.
B.3 Professional Career	

Variable	Definition
SEC Tenure (Years)	Total number of years the attorney has worked at the SEC.
Tenure	Number of years the attorney has worked at the SEC as of year t. Log(Tenure) is the natural logarithm of this measure. In the supervisor-selection regressions, Tenure is divided by its sample standard deviation.
Rulemaker	Indicator equal to 1 if the attorney has participated in SEC rulemaking, and 0 otherwise.
Max Rank	Highest internal rank attained by the attorney at the SEC.
Regional Office Experience	Indicator equal to 1 if the attorney has worked in a regional SEC office, and 0 otherwise. Also reported as Regional Office.
Only SEC	Indicator equal to 1 if the attorney has worked exclusively at the SEC since law school, and 0 otherwise.
1st Placement SEC	Indicator equal to 1 if the attorney's first post-JD job was at the SEC, and 0 otherwise.
1st Job Placement in Home State	Indicator equal to 1 if the attorney's first job after law school was located in their home state, and 0 otherwise.
Tenure per Employer	Average tenure (in years) per employer over the attorney's career.
SEC	Indicator equal to 100 if the attorney joined the SEC in any year after law school, and 0 otherwise. Also reported as I(SEC).
Public Service	Indicator equal to 100 if the attorney joined the government or a nonprofit organization in any year after law school, and 0 otherwise. Also reported as 1(Public Service).
non-SEC Public Service	Indicator variable equal to 100 if the attorney joined a non-SEC public service in any year post-graduation.
Financial Regulator	Indicator variable equal to 100 if an attorney joined FINRA or PCAOB after leaving the SEC and 0 otherwise.
Nonprofit	Indicator variable equal to 100 if an attorney joined a nonprofit organization after leaving the SEC and 0 otherwise.
Fresh Graduate	Indicator equal to 100 if the attorney joins the SEC from two years before through one year after law-school graduation, and 0 otherwise; observations earlier than two years before graduation are excluded.
Law Clerk	Indicator equal to 100 if the attorney enters the SEC as a law clerk or paralegal specialist, and 0 otherwise.
Exit	Indicator variable equal to 100 if an attorney exited the SEC in the following year and 0 otherwise.
Manager	Context-specific managerial-status measure. In the career-outcome table, it equals 100 if the attorney ever attains entry-level managerial status during the SEC career and 0 otherwise. In the supervisor-selection table, it equals 1 if the candidate attorney currently holds managerial rank and 0 otherwise.

Variable	Definition
Executive	Indicator equal to 100 if the attorney achieves executive status during their SEC career, and 0 otherwise
Near DC Origin	Indicator equal to 1 if the attorney's home state is Washington, D.C., Maryland, or Virginia, and 0 otherwise.
B.4 Financial Attributes	
Median Salary ($000s)	Median annual salary of the attorney at the SEC, expressed in thousands of dollars.
Salary	Annual salary of the attorney at the SEC. In the supervisor-selection regressions, Salary is divided by its sample standard deviation.
Avg Bonus ($000s)	Average annual bonus received by the attorney, expressed in thousands of dollars.
Private-Public Pay Gap (%)	Ratio of predicted private-sector pay in year t+1 to SEC pay in year t, minus 1. Private-sector pay is proxied by BigLaw associate compensation; the measure is standardized by subtracting its sample mean and dividing by its sample standard deviation.
Private Sector – SEC Pay	Dollar difference between the attorney's predicted private-sector compensation and SEC compensation at the time of SEC entry.
Post	Indicator equal to 1 for 2001 and later within the three-year window on either side of the SEC pay reform, and 0 for pre-2001 years in that window.
% Years with Bonus	Fraction of years in which the attorney received a bonus.
Homeowner	Indicator equal to 1 if the attorney owns at least one residential property, and 0 otherwise.
# Properties Currently Owned	Number of real estate properties currently owned by the attorney.
Primary Home Purchase Price ($000s)	Purchase price of the attorney's primary residence, expressed in thousands of dollars.
Mkt value of Real Estate Assets ($000s)	Total estimated market value of the attorney's real estate holdings, expressed in thousands of dollars.
B.5 Political Affiliation and Contributions	
Registered Voter	Indicator equal to 1 if the attorney is a registered voter, and 0 otherwise.
Donor	Indicator equal to 1 if the attorney has made at least one political contribution, and 0 otherwise.
Inde/Other/Switcher Voter	Indicator equal to 1 if the attorney is independent, affiliated with another party, or switches party affiliation over time, and 0 otherwise.
Dem	Indicator for Democratic affiliation. In the voter-registration table, it equals 1 for a registered Democratic voter and 0 for a registered Republican voter. In later voter-or-donor specifications, it equals 1 for a Democratic voter or donor and 0 for a Republican voter or donor.

Variable	Definition
Rep	Indicator for Republican affiliation. In voter-registration specifications, it equals 1 for a registered Republican voter and 0 for a registered Democratic voter. In voter-or-donor specifications, it equals 1 for a Republican voter or donor and 0 for a Democratic voter or donor.
1(Switch Party)	Indicator equal to 1 if the attorney switches voter registration away from the party held at the beginning of the year, and 0 otherwise.
% Donated to Democrat ($)	Fraction of the attorney's total political contributions (by dollar amount) donated to Democratic candidates or committees.
% Donated to Republican ($)	Fraction of the attorney's total political contributions (by dollar amount) donated to Republican candidates or committees.
$ Total Contributions ($000s)	Total dollar amount of political contributions made by the attorney, expressed in thousands of dollars.
# Total Contributions	Total number of political contributions made by the attorney.
CFscore	Campaign Finance Score of the attorney's donation recipients; negative values indicate more liberal or progressive positions and positive values indicate more conservative positions.
Progressive Score	Negative of CFscore. Higher values indicate a more progressive ideological position.
$ Contributed at SEC ($000s)	Total dollar amount of political contributions made while employed at the SEC, expressed in thousands of dollars.
# Contributed at SEC	Total number of political contributions made while employed at the SEC.
1($ to Own Party)	Indicator equal to 1 if the attorney makes at least one political contribution during the year to the attorney's own party, and 0 otherwise.
1($ to Opposing Party)	Indicator equal to 1 if the attorney makes at least one political contribution during the year to the party opposing the attorney's own party, and 0 otherwise.
$ to Own Party	Real dollar amount of political contributions the attorney makes during the year to the attorney's own party.
$ to Opposing Party	Real dollar amount of political contributions the attorney makes during the year to the party opposing the attorney's own party.
Misaligned with Chair	Indicator equal to 1 if the sitting SEC Chair belongs to the party opposing the attorney, and 0 otherwise.
Misaligned (Supervisor)	Indicator equal to 1 if the supervisory attorney and defendant have opposing political affiliations, and 0 otherwise.
Misaligned (SEC Chair)	Indicator equal to 1 if the SEC Chair and defendant have opposing political affiliations, and 0 otherwise.
Misaligned (Sup & SEC Chair)	Indicator equal to 1 if the supervisory attorney and the SEC Chair have opposing political affiliations, and 0 otherwise.

Variable	Definition
Politically Active	Indicator equal to 1 if the supervisory attorney is in the top tercile of all supervisory attorneys by voter turnout or by total lifetime political contributions, and 0 otherwise.
B.6 Enforcement Activity and Case Outcomes	
Log(Monetary Sanctions$)	Natural logarithm of total monetary sanctions imposed in a case, including civil penalties, disgorgement, and prejudgment interest, conditional on a positive sanction. Monetary penalties and monetary sanctions refer to the same measure.
1(Monetary Sanctions)	Indicator equal to 1 if monetary sanctions are imposed, and 0 otherwise. Monetary penalty and monetary sanction labels refer to the same outcome.
1(Bar)	Indicator equal to 1 if the defendant receives an industry bar or an officer-and-director bar, and 0 otherwise. Also reported as 1(Any Bar).
1(Undertaking)	Indicator equal to 1 if the defendant is required to undertake certain actions as part of the enforcement outcome, and 0 otherwise
1(SEC Dismissal)	Indicator equal to 1 if the SEC dismisses the enforcement action against the defendant, and 0 otherwise. Also reported as 1(SEC Dismissed).
1(Noncooperation)	Indicator equal to 1 if enforcement documents record noncooperation with the investigation, including misleading responses, withholding or altering evidence, material delay, invocation of the Fifth Amendment or nonappearance for questioning, and 0 otherwise.
1(Compelled Assistance)	Indicator equal to 1 if the defendant assisted the investigation in a way the enforcement documents do not describe as volunteered, and 0 otherwise.
Log(Inv Duration)	Natural logarithm of the number of days between the opening of the SEC investigation and the filing of the enforcement action, winsorized at the 1st and 99th percentiles.
1(Administrative)	Indicator equal to 1 if the enforcement action is an administrative proceeding, and 0 otherwise. Also reported as Administrative.
1(DoJ)	Indicator equal to 1 if the Department of Justice is directly or jointly involved in the case, and 0 otherwise. Also reported as 1(DoJ) and 1(DoJ Involvement).
1(Fraud)	Indicator equal to 1 if the case involves fraud allegations, and 0 otherwise.
1(Press or Litigation Release)	Indicator equal to 1 if the SEC issues a press release or litigation release for the case, and 0 otherwise. Also reported as 1(Press Release).
1(Aided/Abetted)	Indicator equal to one if the defendant is charged with aiding and abetting a securities law violation.
1(Control Person)	Indicator equal to one if the defendant is charged under control person liability provisions.
1(Causing)	Indicator equal to one if the defendant is charged with causing a securities law violation.
1(Scienter)	Indicator equal to one if the alleged violations require proof of scienter (intentional or reckless misconduct).

Variable	Definition
1(Neg./Intern. Control)	Indicator equal to one if the alleged violations correspond to negligence-based provisions or internal control and books-and-records violations.
1(Related Case)	Indicator equal to 1 if a related or parallel civil action is filed against the same defendant for the same underlying violation and is relevant to the monetary-sanction outcome, and 0 otherwise. When the outcome variable is 1(Bar), the indicator instead equals 1 if a related or parallel case imposes an industry or executive bar on the defendant, and 0 otherwise.
Exchange Act	Indicator equal to 1 if the alleged violations cite the Exchange Act, and 0 otherwise.
Securities Act	Indicator equal to 1 if the alleged violations cite the Securities Act, and 0 otherwise.
Other Act	Indicator equal to 1 if the alleged violations cite a statute other than the Exchange Act or the Securities Act, and 0 otherwise.
Defendant Age	Defendant age, in years.
Defendant Male	Indicator equal to 1 if the defendant is male, and 0 otherwise.
# Criminal Violations	Number of recorded criminal violations associated with the defendant.
# SEC Offices Involved	Number of SEC offices involved in the enforcement action.
1(Firm)	Indicator equal to 1 if the defendant is a firm, and 0 otherwise.
1(CEO)	Indicator equal to 1 if the defendant is a CEO or top executive, and 0 otherwise.
1(Accountant)	Indicator equal to 1 if the defendant is an accountant or accounting firm, and 0 otherwise.
1(Broker)	Indicator equal to 1 if the defendant is a broker, broker-dealer, or associated person, and 0 otherwise.
1(S&P 500)	Indicator equal to 1 if the defendant is an S&P 500 firm or, for an individual defendant, works for a firm that was ever an S&P 500 constituent, and 0 otherwise.
B.7 Event Study Variables	
CAR[-1,+1]	Market-model cumulative abnormal return from one trading day before through one trading day after the stated event date (trigger or resolution date).
CAR[-1,+5]	Market-model cumulative abnormal return from one trading day before through five trading days after the stated event date (trigger or resolution date).
CAR[-1,+10]	Market-model cumulative abnormal return from one trading day before through ten trading days after the stated event date (trigger or resolution date). When reported as Trigger CAR[-1,+10], the event date is the trigger date.
Log(Mkt Cap)	Natural logarithm of the firm defendant's market capitalization.

Variable	Definition
B.8 Office and Selection Variables	
Office Selected	Indicator equal to 100 if at least one attorney from the SEC office is selected for the case, and 0 otherwise.
Supervisor Selected	Indicator equal to 100 if the candidate attorney is selected to supervise the case against the defendant, and 0 otherwise.
High Dem Office	Indicator equal to 1 if the fraction of Democratic-leaning attorneys in an SEC office is above the sample median, and 0 otherwise.
%Rep Def	Fraction of defendants in a case who are Republicans; standardized in the office-selection regressions.
#Attorneys	Total number of enforcement attorneys in the SEC office.
Avg Manager	Average of the managerial-rank indicator among enforcement attorneys in the SEC office.
Avg Tenure	Average SEC tenure of enforcement attorneys in the SEC office.
Avg Salary	Average salary of attorneys in the SEC office.
1(In Jurisdiction)	Indicator equal to 1 if at least one defendant is located within the office's jurisdiction, and 0 otherwise.
1(Exp. on case type)	Indicator equal to 1 if at least one attorney (office- or individual-level) has prior experience litigating the same allegation type, and 0 otherwise.
HQ	Indicator equal to 1 if the SEC office is headquartered in Washington, DC, and 0 otherwise.
1(Non-Disclosure)	Indicator equal to 1 if the case does not involve disclosure or reporting violations, and 0 otherwise.
Misaligned Party	Indicator equal to 1 if the candidate attorney and the defendant have opposing political affiliations, and 0 otherwise.
#Case(t-1)	Number of enforcement cases the attorney worked on in the previous year.
Age Gap	Absolute difference between the attorney's age and the defendant's age.
Same Gender	Indicator equal to 1 if the attorney and defendant have the same gender, and 0 otherwise.
B.9 Enforcement Team Variables	
%Manager	Fraction of enforcement-team members who hold managerial rank.
%Male	Fraction of enforcement-team members who are male.
%Top 14 Law School	Fraction of enforcement-team members who graduated from a top-14 law school.
Avg Team Tenure	Average SEC tenure of the attorneys assigned to the case.
Avg Team Salary	Average SEC salary of the attorneys assigned to the case.

Variable	Definition
Team Size	Number of attorneys assigned to the case. Also described as the number of team attorneys; when used in the supervisor-selection analysis, it is divided by its sample standard deviation.
Misaligned (Other)	Indicator equal to 1 when the non-supervisory team is classified as politically misaligned with the defendant: more than two-thirds Democratic for a Republican defendant, or any Republican member for a Democratic defendant; missing when there are no non-supervisory team members.
%Misaligned	Share of the enforcement team, including the supervisor, whose political affiliation differs from the defendant's. In the continuous specification, this share is standardized by its sample standard deviation.
High %Misaligned	Indicator equal to 1 if the enforcement team's misaligned share exceeds the sample median of 0.500, and 0 otherwise.
B.10 Audit Analytics and Firm Variables	
1(Restatement)	Indicator equal to 1 if the firm experiences a material restatement requiring an Item 4.02 nonreliance disclosure during the fiscal year, and 0 otherwise.
1(Auditor Resigned)	Indicator equal to 1 if the departing auditor resigned from the engagement, and 0 otherwise.
1(Auditor Dismissed)	Indicator equal to 1 if the registrant dismissed the departing auditor, and 0 otherwise.
1(Auditor Disagreement)	Indicator equal to 1 if an auditor-change filing records any of the following: an auditor-company disagreement, a former-auditor reportable event, or an accounting-issue disclosure; 0 otherwise.
Rep CEO	Indicator equal to 1 if the CEO is registered as a Republican, and 0 otherwise.
Ind CEO	Indicator equal to 1 if the CEO is registered as an Independent, and 0 otherwise.
Log(Total Assets)	Natural logarithm of the firm's prior-fiscal-year total assets.
Market-to-Book	Prior-fiscal-year market-to-book ratio of assets, calculated as total assets minus book equity plus market value of equity, divided by total assets.
ROA	Prior-fiscal-year income before extraordinary items divided by total assets from the preceding fiscal year.
Loss	Indicator equal to 1 if the firm's prior-fiscal-year income before extraordinary items is negative, and 0 otherwise.
1(Big 4 Auditor)	Indicator equal to 1 if the firm's auditor is Deloitte, Ernst & Young, KPMG, or PricewaterhouseCoopers, and 0 otherwise.
Leverage	Prior-fiscal-year long-term debt plus debt in current liabilities, divided by total assets.
Sales Growth	Prior-fiscal-year change in sales divided by sales from the preceding fiscal year.
Receivables / Assets	Prior-fiscal-year receivables divided by total assets.
Inventory / Assets	Prior-fiscal-year inventory divided by total assets.

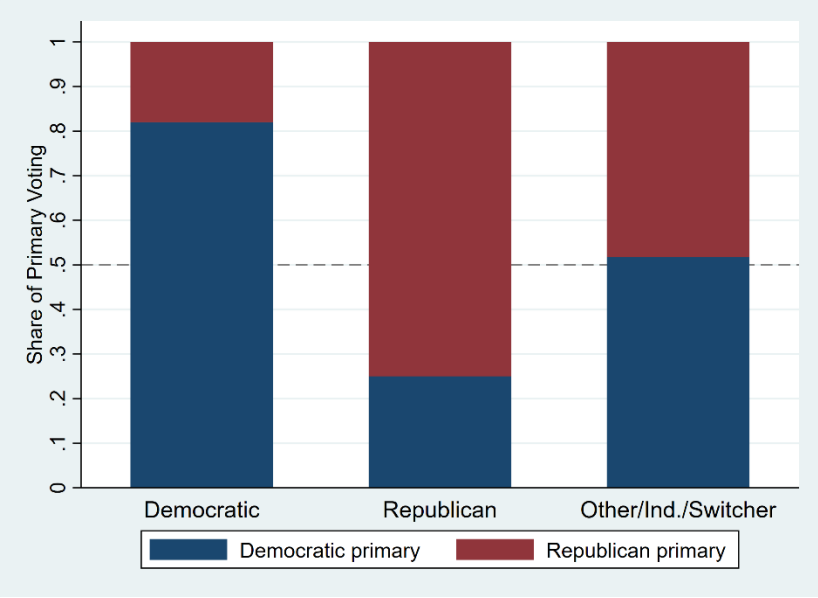
Internet Appendix C: Robustness and Extensions

This appendix includes additional analyses of political affiliation and of enforcement outcomes.

Figure IA.1: Validating Declared Party Affiliation Using Primary Election Participation

Panel A classifies attorneys based on declared party registration outside of Virginia: Democrats (always registered as Democratic), Republicans (always registered as Republican), and Other/Ind./Switchers (registered with other parties or switching between Democratic and Republican). For each group, the blue portion of the bar reports the average share of primary elections in which individuals voted in Democratic primaries, and the red portion reports the share voting in Republican primaries. Declared Democrats and Republicans overwhelmingly participate in their respective party primaries, whereas individuals in the Other/Ind./Switchers group exhibit substantially more balanced participation across parties. Panel B classifies attorneys based on political donations in the same election cycle as the primary. Attorneys directing at least 60% of donations to Democrats (Republicans) are classified as Democratic-affiliated (Republican-affiliated), and all others are classified as Other/Ind. As in Panel A, the blue and red portions of the bars indicate the shares of Democratic and Republican primary participation, respectively. The patterns are similar to those in Panel A: partisan donors tend to participate in their aligned party's primary, while the Other/Ind. group shows more balanced participation.

Panel A: Voter Registration



Panel B: Political Donations

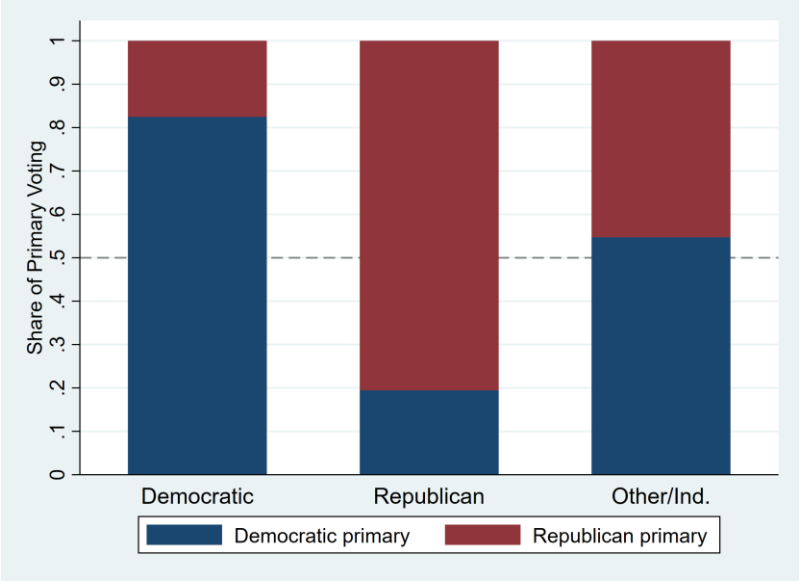
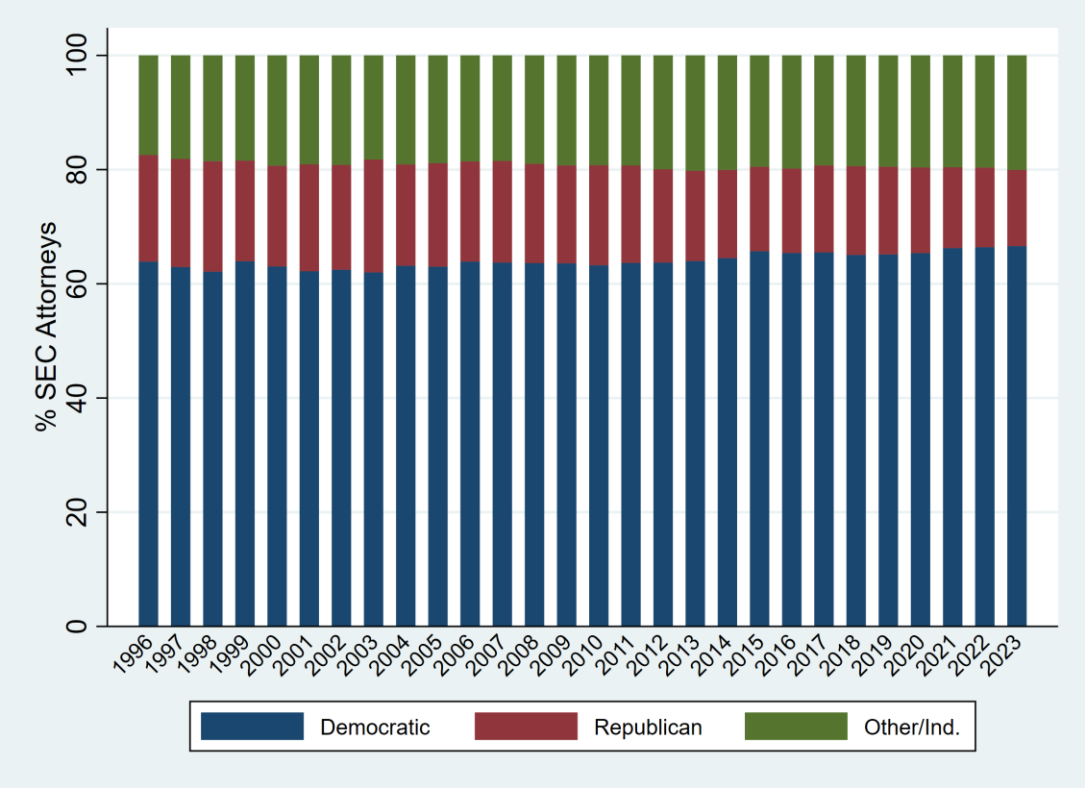


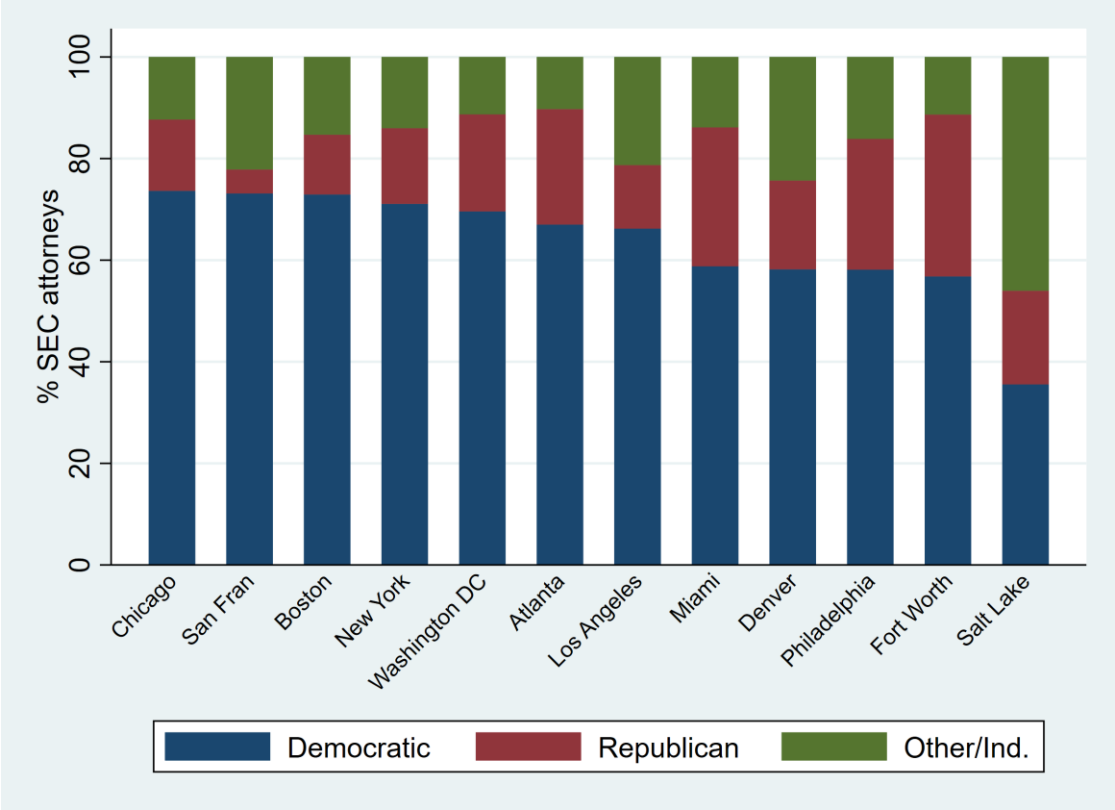
Figure IA.2: Party Affiliation with Independents

This figure replicates Panels A, C, and D of Figure 2, expanding the sample to include attorneys with independent or other declared political affiliations. Panel A shows the annual distribution of SEC attorneys' political affiliation from 1996 to 2023. Panel B reports the political composition of SEC attorneys by office location. Panel C reports the political affiliation of newly hired SEC attorneys across presidential administrations. In all panels, the blue portion of each bar represents the share registered as Democrats, the red portion represents the share registered as Republicans, and the green portion represents the share registered as Independent or other. Political affiliation is measured using both voter registration records and political donations.

Panel A: Political Affiliation of SEC Attorneys Over Time



Panel B: Political Affiliation by Office



Panel C: Political Affiliation of New SEC Attorney Hires

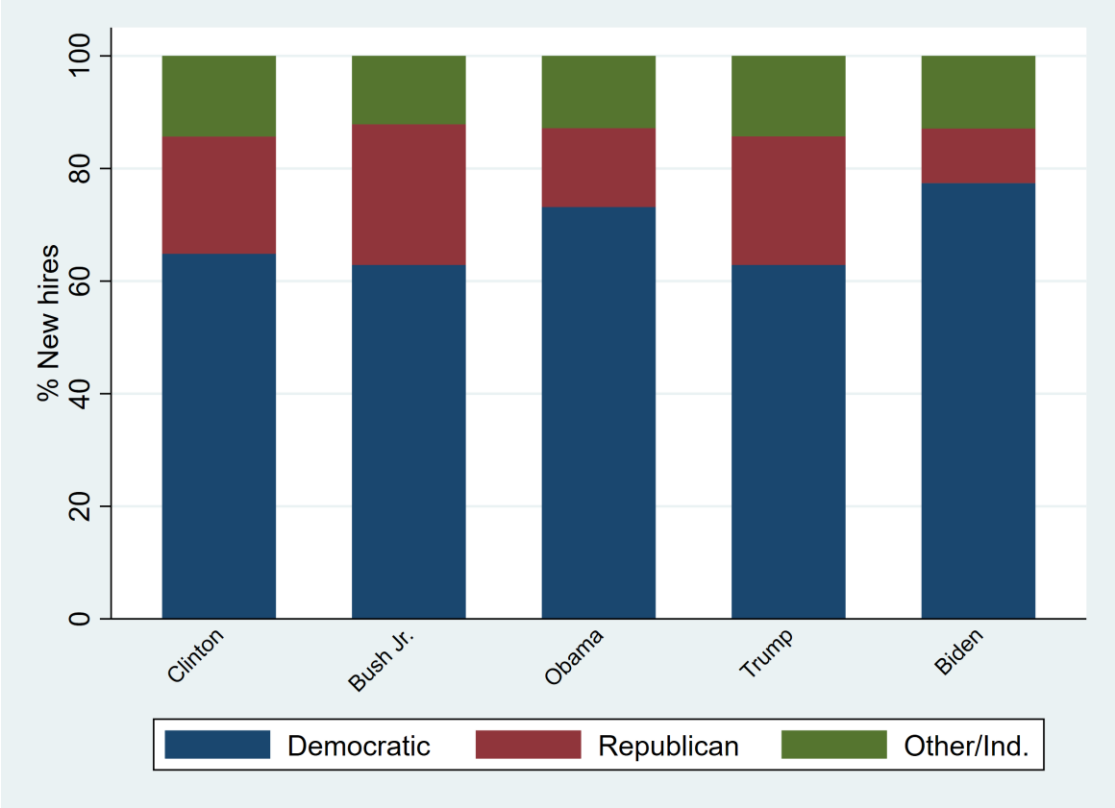


Table IA.1: Switches in the Party of Registration among the SEC Attorneys

This table examines whether SEC attorneys switch party registration over time. Panel A examines party switching during attorneys' SEC careers, while Panel B examines party switching between three years before and three years after their SEC careers. The unit of observation is the attorney. We report the fraction of attorneys who switch between Democratic and Republican registration, between Democratic and Independent registration, between Republican and Independent registration, and across any party categories. "Independent" includes registrations with no party affiliation or with a third party. Statistics are reported separately for all SEC attorneys and for enforcement supervisors.

	Dem ↔ Rep	**Dem ↔ Ind**	**Rep ↔ Ind**	**Any party change**
Panel A: Entire SEC career				
All SEC attorneys	1.9%	2.4%	1.2%	6.0%
Enforcement case supervisors	1.9%	1.9%	1.3%	5.8%
Panel B: Three years before SEC hire to three years after SEC exit				
All SEC attorneys	2.4%	3.3%	1.6%	7.8%
Enforcement case supervisors	1.9%	2.6%	1.9%	7.1%

Table IA.2: Political Responses to Misalignment with the SEC Chair

Using administrative voter records, this table examines changes in SEC attorneys' voter registration and political giving when they are misaligned with the sitting SEC Chair. The unit of observation is the attorney-year, and the sample comprises SEC attorneys from 1996 to 2023. Column 1 examines voter registration. The outcome is an indicator equal to one if the attorney switches registration away from the party held at the beginning of the year. The sample is restricted to attorney-years in which the attorney is observed as registered, and misalignment is measured relative to that registered party. Columns 2 through 5 examine political giving. Columns 2 and 3 report indicators for whether the attorney makes any contribution during the year to their own party and to the opposing party, respectively. Columns 4 and 5 report real dollar contributions to the attorney's own party and the opposing party, respectively, estimated using Poisson pseudo-maximum likelihood. *Misaligned with Chair* is an indicator equal to one when the sitting SEC Chair belongs to the party opposing the attorney. All specifications include attorney fixed effects and Rank × Year fixed effects and control for salary and tenure. Standard errors are two-way clustered by attorney and year. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	1(Switch Party)	1($ to Own Party)	1($ to Opposing Party)	$ to Own Party	$ to Opposing Party
	(1)	(2)	(3)	(4)	(5)
Misaligned with Chair	0.0003	0.0284*	-0.0004	0.0011	-0.0516
	(0.0024)	(0.0159)	(0.0040)	(0.1563)	(0.2476)
Salary	0.0000	-0.0000*	0.0000	0.0000	0.0001***
	(0.0000)	(0.0000)	(0.0000)	(0.0000)	(0.0000)
Tenure	0.0013	0.0040	0.0003	0.0647	-0.1151
	(0.0010)	(0.0024)	(0.0003)	(0.0464)	(0.0963)
Attorney FE	Yes	Yes	Yes	Yes	Yes
Rank × Year FE	Yes	Yes	Yes	Yes	Yes
N	9,062	14,580	14,580	14,580	14,580
R^2	0.139	0.450	0.328		

Table IA.3: Political Affiliation and Academic Achievement

This table examines whether the political affiliation of SEC attorneys correlates with academic credentials. We report estimates from linear probability models. In Columns 1–2, the dependent variable is 1(JD Honors), equal to one if the attorney graduated from law school with honors; in Columns 3–4, 1(Non-JD Honors), equal to one if the attorney received undergraduate or master's honors; and in Columns 5–6, 1(Law Journal), equal to one if the attorney held a law journal affiliation. The key independent variable is Dem, an indicator equal to one if an attorney is a registered Democratic voter or donor; the omitted group is Republican attorneys; Independents are excluded from the sample. All columns include law school fixed effects; even-numbered columns additionally include graduation-cohort fixed effects to absorb cohort differences in credential reporting. Magnitude (% of Mean) reports the coefficient on Dem expressed as a percentage of the sample mean of the dependent variable. Standard errors are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	1(JD Honors)		**1(Non-JD Honors)**		**1(Law Journal)**	
	(1)	**(2)**	**(3)**	**(4)**	**(5)**	**(6)**
Dem	-0.02	-0.03	-0.02	-0.01	0.05	0.07
	(0.05)	(0.06)	(0.06)	(0.06)	(0.06)	(0.06)
Law School FE	Yes	Yes	Yes	Yes	Yes	Yes
Graduation Cohort FE	No	Yes	No	Yes	No	Yes
R2	0.165	0.269	0.180	0.274	0.157	0.251
N	500	500	500	500	500	500
Magnitude (% of Mean)	-6.51	-10.16	-8.09	-3.16	16.61	21.06

Table IA.4: The Role of Supervisor Political Activism

This table examines whether the association between political misalignment and enforcement outcomes varies with supervisors' degree of political activism. The unit of observation is the case-defendant. The dependent variables are an indicator for whether an industry or officer-and-director bar was imposed (Column 1), an indicator for whether the defendant agreed to an undertaking (Column 2), an indicator for any monetary sanction (Column 3), and, conditional on a positive sanction, the natural logarithm of total monetary sanctions (Column 4). Column 1 is estimated on the sample for which bars are observed. Misaligned (Supervisor) is an indicator equal to one if the supervisory attorney and the defendant have opposing political affiliations, such as a Democratic supervisor and a Republican defendant or vice versa. *Politically Active* is an indicator equal to one if the supervisor is in the top tercile of the sample on either of two measures of political engagement. The first is voter turnout: the supervisor's percentile rank in the share of eligible elections in which they voted, relative to all registered voters in the same state; when comparable turnout records are unavailable, Virginia supervisors are ranked relative to Virginia presidential-primary voters. The second is the supervisor's total lifetime political contributions in real dollars. Observations are excluded when the supervisor has neither a turnout record nor any recorded political contributions. Controls comprise indicators for fraud allegations, Department of Justice involvement, the issuance of an SEC press or litigation release, an administrative proceeding, aiding and abetting, control-person liability, causing, scienter, and negligence or internal-control violations, and *Politically Active*, plus an indicator for related cases in Columns 1 and 2. Statute FE are fixed effects for the combination of statutes alleged in the case. Variable definitions are in Internet Appendix B. Magnitude (% of Mean) reports the coefficient on the interaction between *Misaligned (Supervisor)* and *Politically Active*, as a percentage of the sample mean of the dependent variable; it is not reported for the logarithmic outcome. Standard errors (reported in parentheses) are two-way clustered by defendant and supervisory attorney. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	1(Bar)	1(Undertaking)	1(Monetary Sanctions)	Log(Monetary Sanctions$)
	(1)	(2)	(3)	(4)
Misaligned (Supervisor)	0.04	0.02	0.05	0.17
	(0.06)	(0.04)	(0.05)	(0.28)
Misaligned (Supervisor) × Politically Active	0.15*	0.13**	0.01	0.86**
	(0.08)	(0.06)	(0.06)	(0.38)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Statute FE	Yes	Yes	Yes	Yes
R2	0.426	0.237	0.416	0.587
N	430	634	660	431
Mean of Dep. Var.	0.52	0.20	0.66	
Magnitude (% of Mean)	28.49	64.80	2.13	

Table IA.5: Political Misalignment within SEC Enforcement Teams and Case Outcomes

This table examines the association between political misalignment within the SEC enforcement team and case outcomes. The unit of observation is the case-defendant. The dependent variables are an indicator for SEC dismissal (Column 1), an indicator for any monetary sanction (Column 2), an indicator for any bar (Column 3), an indicator for an undertaking (Column 4), and the natural logarithm of monetary sanctions (Column 5). Monetary sanctions are the sum of civil penalties, disgorgement, and prejudgment interest. %Misaligned is the share of the enforcement team, including the supervisor, whose political affiliation differs from that of the defendant. In Panel A, %Misaligned is standardized by its sample standard deviation, so the reported coefficient represents the association with a one-standard-deviation increase in team misalignment. In Panel B, High %Misaligned is an indicator equal to one when the team's misaligned share exceeds the sample median of 0.500. Misaligned (SEC Chair) is an indicator equal to one when the political affiliation of the SEC Chair differs from that of the defendant. All specifications control for violated provisions, case and defendant attributes, and enforcement-team attributes, as indicated in the table. Violated-provision controls consist of indicators for the eleven primary statutory provisions. Case and defendant attributes include Fraud, DoJ involvement, Press Release, Administrative Proceeding, Related Case, Aided/Abetted, Control Person, Causing, Scienter, Negligence/Internal Control, and the number of offices involved. Team attributes include %Top 14 Law School, average tenure, average salary, %Male, and team size. All specifications include year and statute fixed effects. Magnitude (%) reports the implied percentage change in the dependent variable. Standard errors, reported in

	1(SEC Dismissal)	1(Monetary Sanctions)	1(Any Bar)	1(Undertaking)	Log(Monetary Sanctions$)
Panel A: %Misaligned					
%Misaligned	-0.022***	0.021	0.049**	0.033**	0.298***
	(0.008)	(0.015)	(0.021)	(0.014)	(0.084)
Misaligned (SEC Chair)	0.005	0.005	0.053	0.012	-0.183
	(0.021)	(0.033)	(0.042)	(0.031)	(0.190)
R2	0.207	0.433	0.442	0.270	0.649
Magnitude (%)	-52.20	3.16	9.26	18.27	34.75
Panel B: %Misaligned above the median					
High %Misaligned	-0.045***	0.054*	0.086**	0.066**	0.670***
	(0.016)	(0.032)	(0.042)	(0.029)	(0.177)
Misaligned (SEC Chair)	0.008	0.002	0.045	0.008	-0.224
	(0.021)	(0.033)	(0.042)	(0.030)	(0.188)
Team attributes	Yes	Yes	Yes	Yes	Yes
Case attributes	Yes	Yes	Yes	Yes	Yes
Violated provisions	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes
Statute FE	Yes	Yes	Yes	Yes	Yes
R2	0.207	0.434	0.440	0.270	0.651
N	701	701	452	701	454
Magnitude (%)	-107.69	8.26	16.33	36.24	95.38

Table IA.6: CEO Party and Audit Outcomes

This table examines whether CEO political affiliation is associated with audit outcomes. The sample consists of 3,663 unique CEOs and 26,796 firm-year observations. The dependent variables are indicators for whether the firm experienced a material restatement (Columns 1 and 2), whether the auditor resigned (Columns 3 and 4), whether the auditor was dismissed (Columns 5 and 6), and whether an auditor change involved a disagreement between the auditor and the client (Columns 7 and 8). These data come from Audit Analytics. The key independent variables are Rep CEO, an indicator equal to one if the CEO is registered as a Republican, and Ind CEO, an indicator equal to one if the CEO is registered as an Independent. Democratic CEOs constitute the omitted category, so the coefficients are interpreted relative to firm-years with a Democratic CEO. The sample comprises S&P 1500 firms in ExecuComp with an observed CEO party affiliation (via LexisNexis) and total assets of at least $1 million, covering fiscal years 2004–2024. All regressions include SIC three-digit industry and calendar-year fixed effects. Controls, all measured in the prior fiscal year, include firm size (Log(Total Assets)), market-to-book, ROA, leverage, sales growth, receivables scaled by assets, and inventory scaled by assets. They also include Loss, an indicator equal to one if income before extraordinary items is negative, and Big 4, an indicator equal to one if the firm's auditor is a Big 4 audit firm. The continuous controls are winsorized at the 1st and 99th percentiles of the pooled estimation sample and then standardized to have mean zero and unit standard deviation; Loss and Big 4 are left as indicators. Standard errors (reported in parentheses) are clustered by firm. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	1(Restatement)		1(Auditor Resigned)		1(Auditor Dismissed)		1(Auditor Disagreement)	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Rep CEO	-0.0027	-0.0004	-0.0006	-0.0007	-0.0023	0.0001	-0.0023	-0.0010
	(0.0041)	(0.0042)	(0.0019)	(0.0020)	(0.0041)	(0.0038)	(0.0023)	(0.0024)
Ind CEO	0.0020	0.0039	-0.0004	-0.0008	-0.0017	0.0025	-0.0000	0.0012
	(0.0045)	(0.0048)	(0.0020)	(0.0021)	(0.0042)	(0.0039)	(0.0024)	(0.0025)
Controls	No	Yes	No	Yes	No	Yes	No	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.038	0.044	0.013	0.022	0.016	0.027	0.014	0.020
N	26,796	24,081	26,796	24,081	26,796	24,081	26,796	24,081

Table IA.7: Case Characteristics by Political Alignment

This table compares case characteristics across enforcement actions in which the supervisory attorney's political affiliation is misaligned or not misaligned with that of the defendant. Columns 1 and 2 report sample means for misaligned and not misaligned cases, respectively. Column 3 reports the difference in means (misaligned minus not misaligned). Fraud, DoJ, Press Release, Administrative, and Related Case capture key case characteristics. Aided/Abetted, Control Person, Causing, Scienter, and Neg./Intern. Control indicate the severity and nature of violations. Exchange Act, Securities Act, and Other Act indicate the statutes underlying the alleged violations. Column 4 reports the p-value of a test of equal means.

Defendant:	Misaligned	Not Misaligned	Difference	P-value
1(Fraud)	0.180	0.164	0.016	(0.568)
1(DoJ)	0.079	0.054	0.026	(0.177)
1(Press Release)	0.323	0.316	0.007	(0.847)
1(Administrative)	0.268	0.287	-0.019	(0.584)
1(Related Case)	0.140	0.147	-0.007	(0.786)
1(Aided/Abetted)	0.454	0.461	-0.007	(0.856)
1(Control Person)	0.043	0.056	-0.014	(0.406)
1(Causing)	0.073	0.046	0.028	(0.126)
1(Scienter)	0.552	0.552	-0.000	(0.990)
1(Neg./Intern. Control)	0.540	0.542	-0.002	(0.959)
Exchange Act	0.808	0.783	0.025	(0.411)
Securities Act	0.582	0.560	0.022	(0.558)
Other Act	0.521	0.534	-0.012	(0.748)

Table IA.8: Controlling for Trigger-Date Market Reactions

This table examines whether the relation between political misalignment and monetary sanctions and bars is robust to controlling for the market reaction around the trigger event. The unit of observation is at the case-defendant level. In Columns 1–3, the dependent variable is the natural logarithm of monetary sanctions, defined as the sum of civil penalties, disgorgement, and prejudgment interest. In Columns 4–6, the dependent variable is an indicator equal to one if the defendant receives a bar and zero otherwise. The key independent variable, Misaligned (Supervisor), is an indicator equal to one if the supervisory attorney and the defendant have opposing political affiliations. Trigger CAR[-1,+10] is the defendant's cumulative abnormal return over the [-1,+10] window around the trigger date, which captures the market reaction to the underlying event associated with the enforcement action. Case Controls are indicators for fraud charges, a parallel DoJ case, an SEC press release, and an administrative proceeding. Additional case attributes are indicators for aiding and abetting, control-person liability, causing, scienter, negligence or internal-control charges, and a related case. Violated provisions are indicators for the primary violated provisions. Standard errors are clustered by defendant-case in Columns 1–3 and two-way clustered by defendant and supervisory attorney in Columns 4–6, and are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	Log(Monetary Sanctions$)			1(Bar)		
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned (Supervisor)	0.53**	0.54**	0.45**	0.14**	0.12*	0.11**
	(0.22)	(0.22)	(0.21)	(0.06)	(0.06)	(0.06)
Trigger CAR[-1,+10]	-1.07**	-0.67	-0.75	-0.13	-0.25	-0.21
	(0.45)	(0.50)	(0.48)	(0.18)	(0.19)	(0.14)
Log(Mkt Cap)	0.28***	0.26***	0.26***	-0.03*	-0.02	-0.02
	(0.05)	(0.05)	(0.05)	(0.02)	(0.02)	(0.01)
Misaligned (SEC Chair)		-0.38*	-0.31		0.02	0.01
		(0.21)	(0.21)		(0.07)	(0.06)
Case controls	Yes	Yes	Yes	Yes	Yes	Yes
Additional case attributes	No	No	Yes	No	No	Yes
Related case	No	No	No	Yes	Yes	Yes
Statute FE	No	Yes	Yes	No	Yes	Yes
Violated provisions	No	No	Yes	No	No	Yes
R2	0.592	0.631	0.703	0.245	0.330	0.563
N	243	243	243	201	201	201

Internet Appendix D: Case Proceedings and Disclosures

This appendix includes institutional background on the SEC enforcement process and on the cooperation credit awarded to defendants, together with examples of noncooperative conduct drawn from case documents.

Internet Appendix D.1: Institutional Background on Enforcement

Figure 5 outlines the timeline of the enforcement process. SEC enforcement actions typically begin with a trigger event, when potential violations of federal securities laws become public. Leads may originate from a variety of sources, including earnings restatements, delayed filings, whistleblower tips, investor complaints, market surveillance alerts, negative press coverage, or referrals from other regulators such as FINRA or the Department of Justice. In our data, 78% of enforcement cases have well-identified trigger events, similar to the 75% reported in Karpoff, Lee, and Martin (2008).

Once a lead is received, career enforcement attorneys assess whether it warrants opening an informal investigation, referred to as a Matter Under Inquiry (MUI). An MUI is a preliminary step used to determine whether a formal investigation is justified. The threshold for opening an informal investigation is low: the matter must merely "have the potential to address conduct that violates the federal securities laws" and fall within the office's available resources (SEC Enforcement Manual, 2026). Opening an MUI requires supervisory approval. During this stage, staff may review publicly available information, analyze voluntarily provided documents, and conduct informal interviews. MUIs are intended to be short-lived and are generally resolved or escalated within 60 days.

If the staff concludes that a formal investigation is warranted, they obtain approval from senior career SEC officials (e.g., Associate Director) by preparing a formal order memo describing the suspected misconduct, the relevant securities law violations, and why subpoena authority is needed. Once approved, a formal order of investigation grants enforcement staff subpoena authority, allowing them to compel the production of documents and sworn testimony. At this stage, staff may request a wide range of information, including financial records, internal communications, emails, phone logs, travel records, and social media evidence. This process typically takes a year and can extend longer before charges are filed (SEC Office of Inspector General, 2023).[10]

If enforcement staff conclude that charges may be appropriate, they typically provide the target of the investigation with a Wells Notice, which informs the recipient that the staff intends to recommend enforcement action. The Wells Notice outlines the potential charges and provides the recipient with an opportunity to respond through a Wells submission, in which the potential defendant argues why enforcement action should not be brought. The submission may address both factual and legal issues raised during the investigation and may include supporting documentation or legal arguments. After reviewing any Wells submissions, enforcement staff decide whether to recommend that the Commission authorize an enforcement action. To do so, staff prepare an action memorandum summarizing the proposed charges and remedies sought (e.g., monetary penalties, officer-and-director bars, and injunctions against future violations). The five Commissioners then vote on whether to authorize the enforcement action.

Once authorized by the Commissioners, the SEC may pursue enforcement actions either through civil litigation in federal district court or administrative proceedings before an Administrative Law Judge (ALJ). An enforcement action may take either form depending on the remedies sought and the characteristics of the defendant. For example, injunctions against future violations are typically sought through civil proceedings in federal court, while administrative proceedings are commonly used to impose regulatory sanctions such as industry bars, suspensions, censures, or cease-and-desist orders. In some cases, the SEC

[10] Available at https://www.sec.gov/files/enforcement-investigat-meas-timeliness-show-some-improvement-enforcement-can-better-comm.pdf.

brings both civil and administrative actions arising from the same underlying misconduct. For example, the Commission may file a civil action seeking injunctions or monetary penalties while pursuing a related administrative proceeding to impose industry bars or other regulatory sanctions. The SEC may also bring administrative actions against some defendants and civil actions against others involved in the same misconduct, depending on the remedies sought and the status of the defendants. In our analysis, we focus on civil enforcement actions and closely related administrative proceedings, as civil cases involve publicly filed complaints that allow us to accurately identify the litigating attorneys.

Once an enforcement action is filed, the case may be resolved through negotiated settlement, litigated judgment, or voluntary dismissal by the SEC. In practice, most enforcement actions are resolved through negotiated settlements rather than trial. In our data, 89.4% of case-defendants are settled.

In civil enforcement actions, settlements take the form of consent judgments, which must be authorized by the SEC Commissioners and approved by a federal district judge. The settlement specifies the remedies to be imposed, including monetary penalties, disgorgement, injunctions against future violations, or officer-and-director bars. In this context, the judge does not determine the penalty amount but instead reviews the proposed settlement and decides whether to approve it before entering the judgment. In administrative proceedings, settlements are issued as administrative orders that describe the violations and impose agreed-upon sanctions such as cease-and-desist orders, monetary penalties, or industry bars. These orders are approved by the SEC Commissioners and do not require judicial approval. Because the sanctions are negotiated as part of the settlement, Administrative Law Judges play no role unless the case is contested.

If a case is contested, the adjudication depends on the forum. In civil enforcement actions filed in federal court, the case is presided over by a federal district judge. If the defendant requests a jury trial, the jury determines liability and civil monetary penalties, while the judge determines equitable remedies such as injunctions, disgorgement, and officer-and-director bars. In administrative proceedings, the case is first heard by an ALJ, who conducts the hearing, evaluates evidence, and issues an initial decision on liability and sanctions. That decision may be appealed to the SEC Commissioners, who review the case and issue the final agency decision.

In sum, career enforcement attorneys assemble evidence, frame the legal theories, and recommend appropriate sanctions, while politically appointed Commissioners approve the final enforcement actions. Because most cases are resolved through negotiated settlements, career staff play a central role in shaping the final outcomes, including the proposed penalty amounts and other sanctions. The resulting enforcement decisions therefore reflect the interaction of these institutional roles: staff influence cases through investigation, effort, and legal framing, while Commissioners authorize the final resolution subject to legal, political, and public constraints. Whether variation in staff discretion affects enforcement outcomes is ultimately an empirical question.

Internet Appendix D.2: Defendant Cooperation

The staff's assessment of the defendant's cooperation shapes the final case outcome through two broad channels. The first is informational. The attorneys who conduct the investigation are the Commission's primary point of contact with the defendant; they observe the defendant's conduct firsthand and form a subjective judgment about the degree of cooperation across multiple dimensions, such as promptness, completeness, and whether assistance went beyond what a subpoena compelled. Much of what they observe is soft information that never takes a verifiable form in the record, and the Commission learns of the defendant's cooperation through the staff's account of it. The second channel is discretionary. The Commission's frameworks are principle-based and non-binding. The staff therefore exercise broad judgment to determine which of the instruments to propose and on what terms, subject to review by the Cooperation Committee, which itself sits within the Division. These instruments include a cooperation agreement, a deferred prosecution agreement, a non-prosecution agreement, and requesting witness immunity from the Department of Justice. The Commission votes on the recommendation, but the assessment of cooperation is formed and applied by the staff long before the recommendation stage.

Internet Appendix D.3: Examples of Noncooperative Conduct During SEC Investigations

This appendix presents examples from SEC complaints, administrative orders, and releases that illustrate conduct captured by our noncooperation measure.

D.3.1 Examples involving the Fifth Amendment

Example 1

Complaint in SEC v. Home Solutions of America, Inc., et al., Civil Action No. 3:09-cv-02269-N, filed November 30, 2009, p. 4
Defendant: Brian M. Marshall

In response to the Commission's subpoenas, Marshall asserted his Fifth Amendment privilege against self-incrimination and refused to produce documents or respond to questions.

Example 2

Complaint in SEC v. Robert B. Crowe, Civil Action No. 2:16-cv-36, filed January 14, 2016, pp. 14-15
Defendant: Robert B. Crowe

The Commission subpoenaed Crowe to testify on July 10, 2014 on topics related to campaign contributions for the benefit of the Ohio Treasurer and Deputy Treasurer as well as State Street's bid for the Global Custody Contracts, among other things. In lieu of his appearance, Crowe invoked his Fifth Amendment privilege against self-incrimination in a written declaration. Crowe agreed to testify before the Commission eleven months later, but continued to assert his Fifth Amendment privilege against self-incrimination in connection with his personally reimbursing Nelson Mullins employees for their contributions to the Treasurer's campaign.

Example 3

Complaint in SEC v. Osiris Therapeutics, Inc., et al., Civil Action No. 1:17-cv-03230-CCB, filed November 2, 2017, p. 7
Defendant: Phillip R. Jacoby, Jr.

During his testimony in the SEC's investigation that preceded this action, Jacoby invoked his Fifth Amendment privilege against self-incrimination in response to all substantive questions regarding Osiris.

D.3.2 Examples of Delays and Refusals During Investigation

Example 4

SEC Litigation Release No. 21388, SEC Charges Assurant, Inc. With Improper Reinsurance Accounting, January 21, 2010
Defendant: Assurant, Inc.

The determination of this penalty amount took into account, among other things, the company's failure fully to comply with Commission subpoenas on a timely basis.

Example 5

Order in the Matter of Wells Fargo Advisors, LLC, Exchange Act Release No. 73175 and Advisers Act Release No. 3928, September 22, 2014, pp. 3-4
Respondent: Wells Fargo Advisors, LLC

Wells Fargo Advisors unreasonably delayed for six months producing documents relating to the RCG review without any explanation why they were not produced previously. When the documents were produced, the firm failed to produce an accurate record of the review as it existed at the time of the staff's request. Instead, the firm produced a document that had been altered by an employee after the Commission staff issued its follow up request.

Example 6

SEC Litigation Release No. 23183, SEC Files Subpoena Enforcement Action Against Navistar International Corporation, January 29, 2015
Respondent: Navistar International Corporation

According to the filing, the Commission's staff has not challenged many of Navistar's privilege assertions, but the staff believes that many of Navistar's other privilege assertions are incorrect, resulting in Navistar's improper redaction and withholding of many documents responsive to the Commission's subpoenas.